*[Session Name]*

# Day10

*[Case Name]*

# Prvo Plinarsko Drustvo d.o.o. v Gazprom Export LLC

Exported By ankit sharma

On

Apr 21, 2026

09:18:16
09:18:16 MS LIM: Hello, hello, hello. Last night, ma'am. Even.
09:18:42 Good morning. Morning.
09:18:47 MS MAYDANIK: How are we? All?
09:18:49 MS LIM: Good. How are you?
09:18:50 MS MAYDANIK: Yes. Last day. Let's pull this back a
09:18:54 little bit. There we go. Yeah. Oh.
09:20:23 MS LIM: Good morning. Day 10 of the hearing. This is
09:20:25 the mic testing tribunal. Mic number 1. Madam Chair.
09:20:33 Mike. Tribunal. Mic
09:20:37 number 2. Respondent
09:20:41 mic one. Respondent mic two.
09:20:48 Respondent mic three. Witness mic one. Witness mic two. Claimant mic
09:21:12 one. Claimant. Mic two. Claimant
09:21:18 mic three. Claimant. Mic four.
10:00:47 MS LIM: Good morning. We will resume today. With the
10:00:56 party's closing oral closing submissions. We have received
10:01:00 the party's demonstrative. Thank you very
10:01:03 much. And we also have received the hard copy of the
10:01:08 claimant's presentation. Claimant, you have the floor
10:01:11 and you reserve 90 minutes.
10:01:15 MS MAYDANIK: Presentation for.
10:01:18 MR TALANOV: Our hard copies have been printed.
10:01:19 PRESIDENT: Hold on one 2nd. Just hold on one 2nd.
10:01:22 MR TALANOV: Our hard copies have been printed. They

10:01:24 will be here shortly.
10:01:25 PRESIDENT: Have. Have they been exchanged between the
10:01:27 parties already?
10:01:28 DR REINER: Yes. By email.
10:01:28 MS SOLDATENKOVA: I mean by email. Yes. And we will
10:01:31 have copies for claimant as well. Thank you.
10:01:42 PRESIDENT: Members of the tribunal, Madam President, it
10:01:47 is a special privilege to address you again. In
10:01:51 closing, together with Mr Hollande, who will conclude
10:01:56 our submissions. In this closing statement, we will
10:02:05 try to answer those questions that are relevant to
10:02:11 decide the case. We have modeled these questions on
10:02:21 the questions that have been submitted to the
10:02:24 tribunal, albeit in abbreviated form. The 1st
10:02:28 question that I'm going to address is, was PPD obliged
10:02:35 to comply with the new payment mechanism under article 50 4cg? It is useful to recall the wording of
10:02:50 article 54. I quote the buyer's obligation to pay the
10:02:58 price includes taking such steps and complying with
10:03:03 such formalities as may be required under the contract or
10:03:09 any laws and
10:03:10 regulations to enable payment to be made.
10:03:18 3 points. Can already be
10:03:22 made based on the text of article 54. First article 54 is
10:03:33 not the mechanism to
10:03:35 amend the contract. It seeks to

10:03:40 enable the performance of
10:03:43 the
10:03:43 contract. It does not. Allow the parties to modify
10:03:51 the contract. As is already clear from the text of
10:03:57 the provision, which says as.
10:04:07 MS MAYDANIK: My screen doesn't work. So that's. Thank
10:04:15 you.
10:04:17 MR HAUGENEDER: As may be required under under the
10:04:21 contract or any laws and regulations to enable
10:04:25 payment. So under the contract and it is clear, as
10:04:32 already Prof Perner has pointed out, this is not
10:04:38 something that allows to change the payment mechanism,
10:04:42 which is part of the contract, not even a change of
10:04:48 currency. This is not a formal step to enable
10:04:53 payment, such as opening bank accounts, sending
10:04:59 transferring money, taking the necessary steps to
10:05:03 transfer the money. And that is crystal clear when
10:05:11 one reads the authorities party agreement is decisive
10:05:18 for the determination of currency. This authority
10:05:23 refers to currency, but of
10:05:27 course that refers to any steps and
10:05:31 formalities to enable payment agreement is paramount. And this position has particular force in our
10:05:45 contract. Our contract specifically provides for a
10:05:51 payment mechanism and a currency, and it specifies
10:05:59 that the change of the currency requires mutual

10:06:05 consent. So already from the text of the contract, it
10:06:11 is clear that the payment mechanism that was imposed
10:06:16 with the 1 April letter. Could not be imposed by
10:06:24 relying on article 54
10:06:26 of the CISG because article 54 CISG does
10:06:31 not allow to modify the contract. Second article 54
10:06:40 only concerns steps and
10:06:42 formalities such as governmental procedures,
10:06:48 banking
10:06:48 procedures. It seeks to enable payment not to change
10:06:57 the agreement on how payment is to be made, and
10:07:02 even Prof Klicka, who seems to see this
10:07:07 otherwise concedes that article 54 cannot impose an
10:07:12 unreasonable burden on the buyer as he stated in
10:07:20 relation to the the currency of payment. And when we look at the facts, the payment mechanism
10:07:37 did impose unreasonable burdens. The. And it
10:07:43 amounted to a change of contract. According to the
10:07:47 new payment mechanism, payment was only deemed to be
10:07:54 made upon
10:07:56 receipt of payment in Russian roubles, as the 1 April
10:08:01 letter said, and that was a clear departure from the
10:08:05 contract. And that, contrary to
10:08:11 what the respondent has submitted, that
10:08:14 was also confirmed by the testimony during this
10:08:18 hearing, Mr Barash has confirmed the payment duty by

10:08:25 the buyer is only deemed fulfilled when
10:08:31 roubles are
10:08:33 credited to the account. So he confirms, was the
10:08:38 letter what the letter already says. And the
10:08:44 consequence of not transferring roubles to Gazprom accounts on the payment date was an immediate
10:08:58 cut off. As we can see here from the correspondence
10:09:04 with Mr Barash, he confirms payment in euros on the
10:09:10 "K" type account
10:09:12 had already been received. Nevertheless,
10:09:16 end of May the gas was cut off. And again on 31st
10:09:30 August 2022, gas was again cut off and again. In an
10:09:35 email to Ms Ivancic, he said that the resumption of
10:09:44 deliveries will resume. I quote from
10:09:48 the email depending on the date of crediting roubles
10:09:52 to our account in Gazprombank. So clearly, so
10:10:00 clearly
10:10:01 the mechanism departed from the contract and
10:10:06 it also went far beyond steps and formalities. In
10:10:14 addition,
10:10:15 there were compliance delays because
10:10:18 European banks had doubts about the compliance of this mechanism
10:10:25 with
10:10:25 sanctions. Now, we've heard that according to
10:10:31 Gazprom, the conversion, the conversion to from euros to gas to to
10:10:39 roubles took only two days. But there were additional delays based on

10:10:45 the compliance procedures by European banks, and those
10:10:49 delays amounted to up to 14 days. Ms Ivancic has said five to
10:10:58 six or seven days now. The respondent says that's not that's not our sphere. But in actual fact,
10:11:09 these compliance delays
10:11:10 did not exist before. They were a direct consequence of
10:11:17 the
10:11:17 change of payment mechanism and the risk that the new
10:11:25 payment mechanism would be in breach of sanctions.
10:11:29 So, of course, these compliance delays are directly
10:11:37 attributable to the to the change of the payment
10:11:42 mechanism. And on the on the next slides, you will see abundant and
10:11:54 credible evidence that the the payment the new payment
10:12:02 mechanism caused delays and disruptions which in certain cases
10:12:09 led to the interruption of gas supplies. All
10:12:15 this did
10:12:16 not exist under the previous. Under
10:12:19 the contract, where PPD simply had to transfer
10:12:26 euros
10:12:27 to a. To the account of Gazprom. The. The new payment mechanism also shifted further
10:12:41 risks and burdens to PPD, so there were significant
10:12:48 financing costs because payment had to be made before
10:12:55 the contractual due date. That was. Set out by Mr Way, and this has not at
10:13:03 all been addressed by Gazprom. The payment mechanism exposed PPD to the
10:13:11 jurisdiction of the Russian courts regarding their
10:13:14 type "K" bank account. And remember, these were

10:13:19 considerable sums that were transferred to this
10:13:21 account. Again, this was not addressed by Gazprom during
10:13:27 this hearing, and the Russian administrative
10:13:31 authorities had the power to decide on the suspension
10:13:35 of supplies of gas
10:13:36 deliveries if gas was not made in roubles. Again, this change of the payment mechanism is not
10:13:50 covered by the contract. And finally, the 1 April letter also purported to give
10:13:57 the CBR the power to change the payment mechanism in
10:14:00 the future. And the 3rd point that can be made with in
10:14:06 relation to article 54 is. Article 54 concerns payment
10:14:17 of the contract price by the buyer, not impediments in
10:14:24 the sphere of the seller. So. The buyer needs to comply with steps and formalities. What has happened
10:14:38 here is of course, PPD could
10:14:44 easily transfer euros to a Gazprombank account. The
10:14:51 payment mechanism did not concern PPD's obligation to
10:14:57 pay the the price it concerns is concerned the
10:15:02 performance of Gazprom under the contract and that is not
10:15:09 covered by
10:15:11 article 54 of the CISG
10:15:14 because the entire. This entire part of the. CISG 5354 concerns
10:15:21 obligations of the buyer. Here. The invoked steps and formalities concerned
10:15:36 Gazprom's performance under the contract. Because the
10:15:44 decree and the mechanism prohibited Gazprom from
10:15:49 performing the contract, PPD was still able and
10:15:54 willing to make payments in euros. So that

10:16:00 concludes
10:16:00 this point.  PPD had no obligation to comply with
10:16:03 the
10:16:04 payment mechanism under article 54 CISG.  The next point can be brief.
10:16:17 Was PPD obliged to agree to a new payment
10:16:21 mechanism under the principle of good
10:16:22 faith?  Respondent made this
10:16:32 argument based on Prof Klicka's
10:16:35 testimony, and Prof Klicka relied on article 71 CISG.
10:16:42 If you look at that article, that
10:16:43 article has nothing to do with an obligation to agree
10:16:50 to contract changes based on the on on the principle of good faith, it concerns the
10:16:59 interpretation of the convention, the
10:17:01 interpretation of the cisg.  There is no legal
10:17:06 authority for the proposition that a party has to
10:17:09 accept amendments to the contract that are requested
10:17:13 by the other side, even if that request is reasonable.  This would be fundamentally. Against the
10:17:27 principle of the sanctity of contracts and party
10:17:29 autonomy.
10:17:30 Party autonomy means parties can make binding
10:17:34 agreements, and once these agreements are made, they
10:17:39 are binding on them.  So there is no right of a party to request an
10:17:49 amendment of the contract and the corresponding
10:17:53 obligation of the other side to accept that request.
10:18:02 The obligation to negotiate or renegotiate the

10:18:08 contract in situations of hardship is sometimes
10:18:13 discussed, and it is primarily denied under the CISG.
10:18:19 So the prevailing view is that there is no such
10:18:23 obligation.  But even if you assume that there is such an
10:18:28 obligation, this is only an obligation to negotiate,
10:18:36 which as the authorities, including the CISG advisory
10:18:42 counsel opinion say, must be based on willingness and
10:18:45 trust.  There cannot be and there is not a duty to achieve
10:18:56 a specific outcome in these negotiations.  And even
10:19:05 even Prof Klicka concedes that the obligation
10:19:12 could only go as far as an obligation to negotiate,
10:19:18 but not an obligation to agree to a request from one
10:19:23 side.  And here, as the facts have shown, there.  There
10:19:37 wasn't any negotiation and Gazprom's witnesses have that
10:19:42 may have made that clear.  There was no point to to
10:19:46 negotiate.  There was a choice to sign or not to sign the letter.
10:19:51 As
10:19:51 Mr Averkin said, that is not negotiation.  That's an
10:19:55 ultimatum.  So.  In conclusion, on that point.  There is no legal
10:20:11 authority supporting Gazprom's view that there could
10:20:13 have been an obligation of PPD, under good faith or
10:20:17 otherwise, to agree to the amendments they
10:20:23 requested
10:20:24 on 1st April.  I move now to the next question.  Dede PPD accept
10:20:38 an offer to modify the contract.  The standard.  For

10:20:46 this is contained in article 8 CISG and article 81, which is relevant in our case,
10:20:58 provides for the purposes of this convention,
10:21:01 statements, statements made by and other conduct of a
10:21:06 party are to be interpreted according to his
10:21:10 intent.
10:21:11 Where the other party knew or could not have been unaware what
10:21:16 that intent was. So the primary rule is one looks at
10:21:24 the actual intention of the parties. If the other side knew
10:21:29 what this intention was, or could not have been
10:21:34 unaware, and the 2nd relevant principle is the
10:21:43 observance of practices that have been established
10:21:47 between the parties. And once
10:21:56 these practices have been
10:21:58 established with a certain frequency, and usually one
10:22:03 looks at three or four previous instances, these
10:22:09 practices are binding. Now,
10:22:14 in our case, there was unambiguous testimony from
10:22:21 all
10:22:23 witnesses that all previous amendments of the contract
10:22:31 were contained in formal amendments called
10:22:37 amendment. But significantly, there were intense
10:22:44 negotiations and exchanges of views before these
10:22:48 amendments were
10:22:52 agreed. There was never practiced to send a one-sided
10:22:59 letter requesting the other side to simply agree. As

10:23:06 Mr confirmed and as was also confirmed by Gazprom's
10:23:10 witnesses, now having these two principles in mind, actual intent of the parties and practices established between the
10:23:22 parties. I'm going to look now at what has
10:23:27 happened on 1st April, and it is striking that Gazprom's own witnesses do
10:23:36 not call this an offer to amend the contract. They
10:23:41 call this an information, a notification. Template.
10:23:52 Notice instructions. Informing the counterparties.
10:24:00 That's how they call it. And visibly that was also
10:24:04 how it was understood by PPD. In addition.
10:24:09 Importantly, if you look at Gazprom's
10:24:14 letter five May. So that was the letter with which
10:24:20 Gazprom communicated the the the decree 254 and the
10:24:30 clarifications from the CBR. Gazprom itself refers to the 1 April letter as
10:24:39 notification, not as an offer. And it also doesn't
10:24:44 refer to a contract amendment that has been concluded.
10:24:51 As previously stated in the notification. And that
10:24:53 refers. And that's even defined here as the 1 April
10:24:58 letter. And that this understanding was
10:25:06 also confirmed by Mr Averkin. Who said, we are just
10:25:11 informing. About decree
10:25:19 paragraphs and so on. So the conclusion
10:25:23 from
10:25:24 this is Gazprom did not
10:25:28 offer to amend the contract, and when there is no
10:25:30 offer, there can be no acceptance. What Gazprom in

10:25:35 fact did, it informed PPD about
10:25:42 its request to abide by the new payments mechanism.
10:25:46 That's a request.  That's not an offer.  And you will remember the answer to the question of
10:25:55 of, Madam President, when I think Mr.  Mr Barash was
10:26:01 asked
10:26:01 and what what happened when they didn't sign that
10:26:05 didn't
10:26:06 matter to Gazprom, because all that mattered was that
10:26:11 the
10:26:11 counterparties complied with the new payment
10:26:15 mechanism, the 1 April letter does refer once to to a change
10:26:26 of contract, but when one looks at the overall context,
10:26:31 what was meant and what was clearly understood by PPD
10:26:38 was a request to abide by the new payment mechanism.
10:26:47 And then if one looks further, there were two further
10:26:52 amendments of the payment mechanism.  First, the the
10:26:57 clarification of the Central Bank and then the five May
10:27:02 letter.  And these were only notifications
10:27:06 this time.  Gazprom didn't even ask to
10:27:12 confirm agreement.  It was simply a notification and a
10:27:15 request to abide and significantly, with its letter.  26 May 2022, PPD affirmed that there had
10:27:26 been no
10:27:27 modification of the contract clearly, and Gazprom did
10:27:34 not object.  Had there been any amendment of the
10:27:38 contract, Gazprom could be expected to object to that

10:27:44 statement, which was which was not lacking in clarity.
10:27:49 And finally, there is no basis for reliance on PPD
10:27:54 conduct or a counterfactual opprobrium as a professor,
10:27:59 Schleicher argued, because reliance is can only be
10:28:09 based on trust. But in our case, it is clear that on
10:28:16 26 may 2022, PPD expressly stated that it did not
10:28:21 agree to any contract amendment and Gazprom left that
10:28:30 statement
10:28:30 unanswered and Mr Averkin confirmed he had received
10:28:35 and understood the letter. So there cannot be any
10:28:40 amendment or any obligation to agree to an
10:28:43 amendment based on subsequent conduct. Prof Schroeter argued this, but in fact, his
10:28:51 conclusions were based
10:28:52 on a wrong factual assumption, namely that there
10:28:56 had
10:28:57 not been any such communication in which PPD made its
10:29:03 position clear. So the conclusion on this is PPD did
10:29:09 not accept any offer to amend the contract. I move
10:29:13 now to duress. Was there duress? And this. This
10:29:21 question only needs to be answered. If you come to
10:29:24 the conclusion that there was an amendment. The
10:29:33 parties are largely in agreement about the legal test,
10:29:39 duress. There is duress. If there is an unjust or
10:29:43 unlawful threat, reasonable fear, and a causal
10:29:48 link

10:29:48 between the threat and the agreement to the
10:29:53 amendment
10:29:54 of the contract. Now,
10:29:57 1st, was there a threat? Of course there was a
10:30:01 threat. If one looks at the 1 April letter, Gazprom
10:30:08 wrote, and there are many, you shall you must. In
10:30:15 this letter, Gazprom clearly conditioned the further
10:30:23 performance of the contract on the. Compliance with the requests to change the
10:30:34 payment mechanism. So
10:30:35 that
10:30:35 is a threat. And this was also how Mr Averkin understood
10:30:43 it. He said there was no
10:30:47 point to negotiate, but there was a choice to sign or not to sign the letter. So that is a threat
10:30:53 because not
10:30:54 signing meant cutting off the gas. And the case law
10:31:02 and the legal literature on
10:31:03 this point are unanimous. The threat of
10:31:07 a breach of a contract is unlawful, per
10:31:10 se. So there cannot be any argument
10:31:17 that this threat was not unlawful. And that was also
10:31:26 confirmed by Prof Schroeter, who, after some
10:31:32 hesitation conceded that the Supreme Court had
10:31:39 said
10:31:41 certainly the threat of not continuing contract
10:31:44 performance is unlawful. And that's also

10:31:51 what Prof
10:31:52 Perner testified. Of course,
10:31:56 the threat was unjust
10:31:58 because there was no obligation to agree by PPD. Was there reasonable fear? Of course there was.
10:32:10 There is
10:32:12 abundant and credible testimony of Mr Vujnovac and Ms Measic that
10:32:21 they were afraid. If they did not sign the letter,
10:32:28 gas would be cut off
10:32:31 and
10:32:32 they described these moments of stress because of
10:32:39 fears about the security of supply, but also fear
10:32:43 about the
10:32:45 financial survival of
10:32:46 PPD, because not getting
10:32:51 gas
10:32:52 from Gazprom would mean
10:32:54 having to to procure gas at spot markets, at at
10:33:00 untenable prices at the time. As Mr Vujnovac says, this would have been
10:33:13 the death of the company and this. This fear was
10:33:21 reasonable because,
10:33:26 as the example of Uniper showed, not signing
10:33:31 the letter and
10:33:32 not abiding by the by the payment mechanism had dramatic
10:33:38 financial consequences. And in the case of Uniper, who
10:33:44 resisted. This resulted in insolvency and forced administration by the

10:33:51 German state. And of course, the threat was the
10:33:55 cause for
10:33:57 countersigning the 1st April letter. So that is
10:34:00 really that that is
10:34:02 that was really the only reason
10:34:06 why PPD would sign this letter. Gazprom didn't even
10:34:11 suggest any other reason. So that clearly was
10:34:14 the
10:34:14 cause. So the conclusion on this is Gazprom countersigned the 1st April letter under
10:34:22 duress and PPD validly awarded
10:34:25 the claimed amendment of the contract. I move to the next
10:34:42 question. Was there force
10:34:45 majeure? Which is regulated in article 11 of the
10:34:50 contract? There are
10:35:00 three legal
10:35:00 principles to bear in mind when interpreting article 11. First, parties may derogate from
10:35:13 article 79 CISG regulating hardship and, as Prof
10:35:19 Schwenzer says, this. This is actually quite common in international trade
10:35:25 and such derogation is, of course, binding on the
10:35:32 parties. Second, the provisions of a contract in
10:35:39 general and of course also also this provision must be
10:35:44 construed according to their purpose. And this
10:35:49 interpretation. Must be based on the presumption that
10:35:56 the parties wanted to conclude a meaningful contract,
10:36:01 so that every clause of it has actually an effect.

10:36:09 And of course, the principle of of contra proferentem.
10:36:15 So the party that drafted the contract or provided the
10:36:22 formulation of that specific provision must bear the
10:36:27 risk of possible ambiguity and that therefore it must be
10:36:34 interpreted against that
10:36:36 party. The the testimony of
10:36:43 Mr Averkin confirmed. That the the contract draft came
10:36:52 from Gazprom. And that's also what the what the
10:36:55 record shows. So if one were to conclude that
10:37:01 article 11 is ambiguous, the meaning that is more favourable to PPD
10:37:08 must prevail. Article 11 therefore defines and
10:37:22 exhaustively
10:37:23 regulates force majeure events and
10:37:29 article 114 provides for an
10:37:31 obligation of the party affected by
10:37:35 ☐202603270017 force majeure to immediately notify the
10:37:38 other party of the occurrence and the expected
10:37:43 extent and duration of these circumstances. And there
10:37:47 is also, in the case of the seller, Gazprom, the
10:37:52 obligation to confirm force majeure by the Chamber of
10:38:00 Commerce and Industry of the Russian federation.
10:38:07 Now, Gazprom says this. This does not. Even if this
10:38:10 notification was not made, this should not have any
10:38:16 consequences. But that would simply leave these
10:38:23 contract provisions without any meaning, because

10:38:28 whether these provisions are in in the contract or not,
10:38:35 Gazprom's position is exactly the same. It has no
10:38:39 consequence, and that is not a reasonable
10:38:43 interpretation. In particular, in view of the in view
10:38:49 of the clarity that is needed in relation to force majeure events. As Prof Perner
10:38:59 confirmed. In fact, there was no force
10:39:09 majeure notification. Mr Averkin confirmed that
10:39:14 the 1st April letter was no such notification.
10:39:19 And also, if one looks at the content
10:39:22 of that letter, that letter doesn't speak
10:39:24 about the hindrance to the performance. The letter
10:39:28 says. You must abide by.
10:39:32 You must abide by the new payment mechanism. That does
10:39:38 not say I'm unable to perform because there is this specific event. And Gazprom also did not provide a certificate of
10:39:59 the Chamber of Commerce and Industry and made no
10:40:04 contemporaneous attempt to attain one. As Mr Averkin
10:40:10 confirmed in his testimony. So the conclusion on this is Gazprom cannot rely
10:40:16 on force majeure. It made no notification. It cannot
10:40:25 now say that the decree was force majeure. In
10:40:30 addition, and independently of this, Gazprom
10:40:36 was required to prevent any impediment to its
10:40:41 performance in a situation of events. To its
10:40:47 performance, it was under obligation to prevent the
10:40:55 event with due care of a reasonable and prudent
10:40:59 operation, and it was obliged to take all reasonable

10:41:03 measures, which may be useful to ensure the resumption of the normal performance of the
10:41:08 contract.
10:41:11 Now, if one looks at the facts, Gazprom was over
10:41:16 compliant with Decree 172, as the testimony showed,
10:41:22 there was an instruction by President Putin to
10:41:26 change the currency. Gazprom did nothing, although
10:41:32 it
10:41:33 was evident even from media, that this would have a
10:41:39 very significant impact on their contracts with
10:41:45 foreign buyers, including PPD and Mr Averkin in his testimony, confirmed, in fact,
10:41:53 that he did nothing. We have to wait and then. On the evening of 31 March 2022, Gazprom.
10:42:12 Acted in an over compliant way in a few hours in one
10:42:16 evening. If one believes the testimony, they drafted
10:42:24 letters requesting all its customers to
10:42:29 abide by the
10:42:30 new payment mechanism, clearly no consideration whatsoever was
10:42:36 given to any steps that could be taken
10:42:39 to prevent the interference and to allow the
10:42:44 continuation of the performance. And there were ways to continue the performance
10:42:57 that it was Gazprom's burden to look for such
10:43:03 possibilities. But there are some obvious ones.
10:43:06 Gazprom controlled subsidiaries outside Russia, which
10:43:10 it could have used to fulfil its obligations, not to
10:43:14 assign the contract simply to allow payment in euros
10:43:21 under the contract to be forwarded to Gazprom under

the mechanism, but then the subsidiary would comply
with the mechanism and not the foreign buyer itself.
And it also did not seek any exemption for the decree.
It was said that there was no such possibility, but we
don't even see any attempt to change the situation.
Any letter, any petition, nothing so clearly. So clearly. Gazprom promoted, in fact, the action,
the implementation of the decree. And finally, there
was no impediment outside the
sphere of Gazprom. And that is inherent in the notion
of force majeure itself. The relevant test is whether
any government regulation is based on general considerations not
connected with the contract. The inquiry is not, in
hindsight. What specific benefits did Gazprom have
from this? The question is, as Bruner states here,
parties concluding a contract with the state
enterprise may reasonably expect that the state will
not prevent
the state enterprise from effecting performance under the
contract, except if the state intervention is not
connected with the contract and
based on general considerations. And that was clearly
not the case here, because Decree 172 had the specific
purpose of interfering with
contractual relationships of Gazprom and with
specific contracts under the legal test, Gazprom had

10:45:20 the burden to demonstrate prima facie that the decree
10:45:24 was based on general considerations, but clearly it
10:45:28 cannot actually, the evidence shows that Gazprom has
10:45:32 promoted the decree, so there was no impediment
10:45:37 outside the sphere of Gazprom.  Gazprom cannot rely on
10:45:43 force majeure.  And finally, who was in breach of
10:45:47 contract.  And here I can be brief.  It is a clear
10:45:54 that the threat of suspending performance, unless the
10:46:00 other side agrees to a modification of the contract,
10:46:03 is a fundamental breach under the CISG, the suspension
10:46:09 of deliveries under the supply contract is without a
10:46:13 doubt a breach of
10:46:15 contract.  On 31st October 2022, PPD asserted its rights to pay in
10:46:24 accordance with the terms of the
10:46:26 contract, and it confirmed its willingness to fulfil
10:46:30 its obligations under the contract.  So PPD was not
10:46:36 in
10:46:36 breach.  PPD required performance of the contracts in
10:46:42 accordance with its terms, and that's also what
10:46:45 Mr Vujnovac confirms in his testimony.  However, Gazprom responded we are
10:46:53 suspending deliveries unless you pay in accordance
10:46:59 with the payment mechanism.
10:47:02 Therefore, Gazprom was in breach.  Gazprom.  The
10:47:10 refused deliveries under the contract
10:47:12 and.  Insisted on, on, on, on a payment not foreseen

10:47:18 in the contract. Of course, this does not allow
10:47:24 Gazprom to rely on article 71 CISG to suspend the the
10:47:29 contract because it was in breach of contract, and
10:47:33 that's also confirmed by the testimony of Prof Perner.
10:47:44 In January 2023, Gazprom informed PPD
10:47:48 about Decree 992, allowing the payment of past debts
10:47:54 in euros. But in the same letter, it continued to request
10:47:59 payment in
10:48:00 Russian roubles for future
10:48:01 deliveries. So again, it made the
10:48:04 performance of the contract conditional upon
10:48:10 compliance with the payment request. PPD paid for past
10:48:17 deliveries by way of set
10:48:19 out set off. But even without this payment, Gazprom would be in breach
10:48:25 of contract because it made the continuing
10:48:29 performance of the contract conditional upon the
10:48:34 payment in roubles under the payment mechanism. And
10:48:37 that is a fundamental breach, which is a prerequisite
10:48:42 for contract avoidance and PPD in consequence, validly
10:48:47 awarded. The contract by its letter dated eight March
10:48:51 due to Gazprom's fundamental breach of contract. So
10:48:56 these are all the elements you need to find Gazprom liable
10:49:04 for the damages suffered in relation to replacement costs.
10:49:13 Mr Holland will now
10:49:15 set out the other basis of liability.

10:49:32 DR REINER: Members of the tribunal respectfully, we next
10:49:36 address sanctions and why the risk of payment under
10:49:40 the payment mechanism was such that whatever you find
10:49:45 under the contractual and Austrian law principles, PPD
10:49:51 was right to stop payment and it was right to resist Gazprom's
10:49:56 claims. And that is because
10:49:58 this hearing has been bookended at the start and at
10:50:05 the finish by two decisions that make this position
10:50:10 absolutely clear. We will talk about them
10:50:15 shortly.
10:50:16 But in summary, the 1st days before the
10:50:21 hearing ended held that it was part of public policy
10:50:26 that the prohibition to make funds available to
10:50:30 sanctioned entities is breached where there is a
10:50:36 reasonable risk that a sanctioned entity could be
10:50:42 allowed to access all or part of the funds. And
10:50:49 the
10:50:50 2nd days before the start of
10:50:54 this
10:50:55 hearing held that it was part of public policy, that a
10:51:00 claim made under a contract modification affected by sanctions was automatically
10:51:09 not satisfied. So for all
10:51:11 of us sitting here in the middle of these rulings, the
10:51:17 situation could not be clearer and nor could the obvious direction
10:51:23 of travel or development of these

10:51:28 mandatory principles. So you saw and heard about
10:51:34 the
10:51:35 payment mechanism. I will make three points on how
10:51:39 the evidence developed. But if any other aspect of
10:51:44 the operation of the payment
10:51:45 mechanism is not clear, please ask questions after. Now. Now
10:51:52 .1 relates to the
10:51:54 unquestionable, undeniable participation by PPD. In this scheme. It was forced
10:52:03 to do this on the 1st of April 2022.
10:52:08 Gazprom required gas buyers to give an irrevocable
10:52:15 order pre
10:52:17 authorisation instructions to Gazprombank, and that
10:52:21 was in Gazprombank's letter. And why is this
10:52:26 important? It made PPD
10:52:30 responsible for the euros made available. And what
10:52:36 did it require of PPD that was not pay
10:52:43 your euros into your euro account. It was also
10:52:50 convert them exactly how Gazprom want and where we
10:52:56 want and when we want. You let your euros go out to to moex to someone you
10:53:04 don't know and you get their roubles and you put
10:53:09 them
10:53:10 in your rouble "K" account, and then you pay them
10:53:14 to
10:53:15 Gazprom each step of the whole payment procedure
10:53:20 was controlled. The entire process, not just the 1st

10:53:26 step, took place because the gas buyer
10:53:30 authorised it to
10:53:31 happen. .2 relates to the unquestionable and
10:53:37 undeniable
10:53:39 fact that PPD's participation went right
10:53:42 through to the end of the payment mechanism. Now,
10:53:46 Gazprom's witnesses confirmed this. And why
10:53:49 is it important? PPD responsibility for the euros
10:53:56 that were made available is is stretched. It's
10:54:01 stretched across to everything that the payment
10:54:05 mechanism did. The gas buyer would only pay Gazprom
10:54:11 in in roubles.
10:54:13 So it mattered how it sold the euros, how it
10:54:18 bought the roubles and .3 relates to the unquestionable and
10:54:26 undeniable fact that PPD could not blame its
10:54:31 intermediary. Now to a banker, PPD gave carte blanche for
10:54:39 Gazprombank to act on its behalf. And why is this
10:54:45 important? It's because PPD's
10:54:50 responsibility for the euros that were made available
10:54:55 cannot be shifted. The payment mechanism operated under PPD's
10:55:04 instructions from the 1st step to the last. And
10:55:08 this is again because of the irrevocable order that
10:55:15 PPD had to give. And so, with these facts established, what of the
10:55:24 risk of sanctions violation? Now, there was at the
10:55:30 very least, a substantial

10:55:34 risk that payments via the mechanism would breach
10:55:39 EU
10:55:39 sanctions law. And that is because sanctioned
10:55:44 entities and the CBR traded euros on Moex and Gazprom
10:55:51 cannot deny this. And it can't because the CBR,
10:55:58 the
10:55:58 sanctioned bank, VTB Bank, and also the only experts that you heard from
10:56:07 say that euros were available to be bought by
10:56:11 sanctioned entities. And that is the reality of
10:56:16 the
10:56:17 flow of payments. Any trader on Moex could access the
10:56:24 funds. The funds were made available. Second, the
10:56:31 gas buyers only means of defence.
10:56:36 Your duty to do obligatory sanctions checks was
10:56:42 taken
10:56:42 away from it. The Russian buyer of your euros
10:56:47 was deliberately concealed and for sanctions it
10:56:53 seems that it is simple. You need to know the
10:57:00 recipient of the euros. And even if you could have done sanctions checks,
10:57:09 which you absolutely cannot. This was a totally
10:57:15 unnecessary and complex scheme. And that
10:57:19 separately raises red flags. You heard variously that
10:57:26 it was sophisticated, unnecessarily complex and very risky. And the only
10:57:36 experts you heard from told you about the risks that
10:57:41 they saw. You heard that a banker could never

10:57:47 participate in the payment mechanism, and that was the
10:57:53 case if there was even a chance that you could
10:57:59 transact with a sanctioned entity. Next, the standard of risk to be applied.
10:58:09 And for this, we look more on the risk that
10:58:13 the experts saw. The standard of risk for sanctions
10:58:17 is zero tolerance. There is no de minimis limit. So that means that there is
10:58:26 an intense risk of violation.
10:58:29 These provisions are so broad, it's an unmovable.
10:58:37 Restriction. And two points on the test that you are
10:58:42 mandated to apply. The 1st is that the
10:58:46 governing test is only whether a sanctioned entity would be allowed to access the
10:58:54 funds. And 2nd, this needs you to prove only a reasonable
10:59:04 risk. And that was clarified this week. It's the 1st
10:59:10 of the new decisions. And that related to the Yemen sanctions.
10:59:21 But you will see at the top of this slide that the language is tentacle, and it was held in that
10:59:30 decision of the advocate general. The article 2.2 of
10:59:37 the same regulation is to be interpreted as
10:59:42 meaning that the existence of a reasonable risk that a
10:59:45 designated person will benefit from all or part of the
10:59:51 funds triggers the application of the prohibition laid
10:59:56 down in that provision, and the same opinion confirmed that such a risk has to be
11:00:04 established on the basis of available public
11:00:08 information. And on this, if it is difficult for you to get
11:00:15 evidence because of the actions of a foreign state
11:00:19 like here with Russia, account is taken of this.

11:00:26 It's
11:00:27 also confirmed that once the risk has been
11:00:28 established, it is Gazprom's burden to prove that the
11:00:33 requisite legal standard of risk did not exist. So, I
11:00:38 repeat, Gazprom must prove that there is no
11:00:43 risk. See the bottom quote and this is an essential
11:00:51 point. So even on a normal standard of proof, not one
11:00:55 of zero tolerance, not one of reasonable risk, the
11:00:59 evidence of a risk of violation is overwhelming. And
11:01:02 remember, if you would like to understand more about
11:01:06 who got the euros, this is being kept from you on purpose by the Russian
11:01:13 State and Gazprom have clearly
11:01:17 failed to rebut any any burden of proof.
11:01:21 It's not
11:01:22 called any evidence from the CBR, the NCC or any other relevant
11:01:28 organisation to disprove with to
11:01:32 disprove the clear evidence and submissions on
11:01:35 behalf
11:01:35 of PPD. It's called upon no evidence from Gazprombank, which it
11:01:42 owns. And please remember all
11:01:45 of this when you hear Gazprom's only technical position.
11:01:50 And remember when you hear that that you heard that
11:01:55 foreign laws must
11:01:56 obviously be ignored when
11:01:59 considering EU sanctions. And also there is an even

11:02:07 lower standard of proof and
11:02:09 risk of circumvention, which is a separate ground of
11:02:12 illegality. And that is because circumvention is so
11:02:15 much wider than the scope of a violation itself. It
11:02:20 applies where you have not met the elements needed for
11:02:23 a
11:02:24 direct violation. You have. You have not
11:02:27 infringed the violation itself, but you have. By avoiding these elements,
11:02:34 circumvented the provision. Now, in the
11:02:36 middle of the screen, you can see the words. It
11:02:41 follows that circumvention must be taken to cover not only the
11:02:49 activities that actually frustrate the
11:02:52 objectives of the restrictive measures, but also those intended
11:02:58 to make them fail independently of the actual of
11:03:04 their actual results. So the test for
11:03:08 circumvention is whether the activity had the object
11:03:14 or the effect of circumventing sanctions, whether or not an independent of the actual result and
11:03:23 the payment mechanisms object was a powerful
11:03:27 deception. It was attacking the EU sanctions and
11:03:33 their objectives. And think about it this way there
11:03:38 was no legitimate object or effect of the decrees because the mechanism was
11:03:46 simply not needed to pay for gas. There was no
11:03:52 legitimate reason that makes any sense. And in
11:03:56 truth,
11:03:58 the payment mechanism moved safe

11:04:02 payments into deliberate yet concealed contact with
11:04:07 sanctions. So whether or not. There is a direct violation, it
11:04:15 does not matter. The payment mechanism was a clear
11:04:21 circumvention and the result is exactly the same. And
11:04:29 PPD therefore had was right and had the right to cease
11:04:34 payments in November 2022. Regardless of the position
11:04:40 under the contract. Now on Gazprom's
11:04:47 counterclaim, there are two articles. First
11:04:49 article 10, which
11:04:51 provides for no liability where funds are
11:04:55 withheld
11:04:56 without negligence. The standard is, I quote, quite low. This is again from the decision
11:05:07 from this week and it's very im
11:05:11 important.
11:05:11 Also, you need a risk based approach. And PPD did
11:05:19 this PPD refusal to make funds available was not negligent in light of all the conflicting
11:05:27 information which it received throughout 2022, not
11:05:32 least the view expressed
11:05:34 subsequently by the Croatian Ministry of
11:05:37 Foreign Affairs and also PPD and Mr Vujnovac. Doubts
11:05:43 grew over time as PPD faced genuine regulatory
11:05:50 uncertainty. And he explained this to you all in
11:05:54 person. And finally, article 11 protects EU operators from
11:06:03 having to satisfy any type of damages
11:06:08 claim in connection with any contract or

11:06:11 transaction, the performance of which has been affected directly or indirectly by regulation. 833
11:06:25 and this was the other
11:06:27 new case that came in, and that is rebel, which sets
11:06:31 out the broad application of article 11. And that
11:06:36 case also made absolutely clear that article 11 is
11:06:41 part of EU public policy. So the consequence of the
11:06:47 application of article 11 is that no favourable
11:06:51 response must be given to Gazprom's
11:06:54 counterclaim, and it's an
11:06:58 automatic autonomous.
11:07:01 Right. And it's irrelevant that the claim was later able to
11:07:06 be satisfied or not without
11:07:08 breaching sanctions. The burden of proof under article 11 is on Gazprom to show the requisite legal standard that the contract was not
11:07:22 affected by sanctions, and Gazprom has failed
11:07:25 to meet this standard. So when you apply article 11 to the facts of this
11:07:33 dispute, the conclusion is the payment mechanism
11:07:40 impacted the contract, which meant that it was
11:07:43 affected by EU sanctions. Continued payment via the
11:07:49 payment mechanism would be a breach of sanctions
11:07:52 provisions, and also that the payment mechanism was
11:07:56 imposed as a direct reaction to EU sanctions. That
11:08:04 concludes our submission on sanctions. And
11:08:10 we move next to a further separate claim, which
11:08:14 calls out for your determination. And these are PPD market manipulation claims, and
11:08:22 we move to them next.

11:08:24 And a component of these claims is the question of
11:08:27 Gazprom's dominance. Now, as you will have seen
11:08:32 and
11:08:33 heard from the experts, your for your dominance
11:08:37 assessment, you need a market and you need a market share. A market share is a
11:08:44 percentage. You do a sum. Gazprom's gas volumes is
11:08:50 the numerator at the top and the total market size or
11:08:57 the volume in total is the denominator at the bottom.
11:09:02 And I'm going to talk more
11:09:04 about this some. I do realise that we need a
11:09:07 relevant market, but to help things that does not
11:09:12 matter. If only you get this sum right. So
11:09:19 looking 1st at the total market size. If
11:09:25 you make that bigger on purpose, then Gazprom's share will
11:09:31 be false. It will be smaller. And gas is traded in Croatia. As you heard,
11:09:40 a
11:09:40 molecule of gas can be traded many times before it's
11:09:43 used. And so adding these traded volumes on top
11:09:49 of the gas that is later used increases
11:09:54 the total market size and
11:09:57 trading
11:09:57 forms. A separate market to wholesale supply. And
11:10:01 this is in line with EU decisional practice and is also
11:10:07 logical. And
11:10:10 Prof Hildebrand wrongly includes trading, but only if

11:10:14 there is not
11:10:16 very much trading. There is some arbitrary undefined
11:10:23 point at which trading
11:10:25 is not included. And as you can see from the
11:10:28 graph on the slide, this is totally
11:10:31 wrong. It cannot be right
11:10:35 because if so, as
11:10:38 trading increased in Croatia, Gazprom's market
11:10:42 share would be diluted down to near
11:10:47 zero and then trading suddenly becomes a different
11:10:51 market and its market share springs back up again.
11:10:55 And looking at it another way, this graphic shows that
11:11:02 somehow Gazprom's market share could be interrupted by
11:11:06 trading. If there is no trading, it's 100 per cent. And if
11:11:15 there is trading three trades, it would go down to
11:11:20 33 per cent. Now, Prof Hildebrand was unable to point
11:11:24 to any
11:11:26 authority for that, and it was not in any of her
11:11:30 reports. And Prof Hildebrand had agreed with
11:11:34 Dr Riechmann that gas trading is separate to the
11:11:39 wholesale gas
11:11:41 supply market, and it was even in the joint experts'
11:11:45 statement which you directed to be exchanged only one week
11:11:51 before the hearing. So this approach has all
11:11:54 the

11:11:54 signs of a party taking measures to bend reality.  And its impact is, of
11:12:01 course, that it wrongly lowers Gazprom's market
11:12:04 share.  And worse.  When looking at Gazprom supplies
11:12:16 traded volumes that were included in the market size
11:12:22 and not
11:12:23 included in Gazprom's market share.  Indirect supplies
11:12:27 of gas traded volumes are considered not part of
11:12:30 Gazprom's market share, and that's completely contrary
11:12:34 to the Gazprom decision and the gas decisions, where
11:12:39 indirect sales through intermediaries are to be
11:12:41 counted.  And you just cannot do all of this.  If
11:12:44 you did, you could never be found dominant.
11:12:47 Or you would need to do is just add an intermediary.
11:12:50 And the impact, of course, is that this wrongly lowers
11:12:55 Gazprom's market share even more.  And it's also
11:13:00 strikingly inconsistent.  And yet further worse for
11:13:09 Gazprom's market share.  Prof Hildebrand also include
11:13:14 also avoids including Gazprom's direct supply.
11:13:19 Under
11:13:20 the contract.  And this is despite accepting that imports
11:13:25 include both physical and commercial i
11:13:31 imports,
11:13:31 with the commercial term under the
11:13:34 contract being delivery in Croatia.  And as things developed, you
11:13:38 heard of the new concept of swap

11:13:42 agreements that actually double swap the contracts
11:13:45 volumes. Prof Hildebrand makes an exception to her normal
11:13:52 principles for the swap agreements, and says
11:13:54 that you do not include commercial flows for them, and that's after
11:14:00 accepting that commercial
11:14:01 delivery of the gas was in Croatia. Now somehow it's
11:14:07 allocated back to Hungary due to the swap agreements,
11:14:10 and that clearly cannot be right. Dr Riechmann is
11:14:15 correct to fully take account of the
11:14:17 effect of the swap agreements and to allocate Gazprom
11:14:21 share to Croatia. That's because
11:14:23 commercially PPD
11:14:26 helped deliver the gas on Gazprom's behalf to Croatia,
11:14:29 and there is no reason to then take any other step. You should
11:14:34 not swap that gas back again.
11:14:37 And so the correct methodology is on the left
11:14:40 of this graphic, and the wrong one is on the
11:14:45 right.
11:14:45 It's a it's a manipulation of the data. If you reduce
11:14:49 the top and
11:14:50 increase the bottom, the market is smaller and
11:14:53 that lacks any credibility or support from authority. On
11:15:00 next, on product market, Dr Riechmann is right to say
11:15:03 that you should find LNG is left open, but this doesn't
11:15:08 matter. As I said before, if you get the sum

11:15:11 right above and note that the threshold was 5 per cent
11:15:15 or 10 per cent. And if you look at the 5 per cent
11:15:18 line, we put a little
11:15:21 arrow. There's lots of prices above
11:15:23 that. So that fails this SSNIP test. Sophisticated
11:15:28 players will not pay more to buy LNG unless it's
11:15:32 reliably cheaper over a long time. And
11:15:34 Mr Averkin also said that LNG was a bit different
11:15:38 product. He said. Next geographic market. This also
11:15:43 doesn't matter if you get your sum right. Earlier,
11:15:48 Prof Hildebrand spoke to
11:15:50 you about cultural differences and
11:15:53 branded
11:15:53 products like diet Pepsi, but
11:15:55 neither of these apply to gas. It's. It's
11:15:58 invisible. Gas doesn't vary across cultures. You
11:16:01 can't tell
11:16:03 Croatian gas from anyone else's gas. And
11:16:05 given that Gazprom was an unavoidable trading partner,
11:16:08 it's all Russian gas anyway. So what gas buyers want
11:16:13 they need is this gas to be readily available at the
11:16:17 best price. And on price. The price differences that
11:16:23 Prof Hildebrand alleges are absolutely astonishing to
11:16:28 anybody in the gas industry. It can't be found in any
11:16:31 evidence on the record, and if it was true, then everybody would be

11:16:35 buying gas in
11:16:36 Croatia, nobody would be buying gas in Hungary, and that was clearly not the case. And so Dr Riechmann, when he
11:16:47 applied the market definition, noticed steps,
11:16:51 said that Gazprom said that the market was Croatia and
11:16:54 Hungary. And if he had gone further to add Slovenia,
11:16:58 which was totally possible, but conservatively was not
11:17:02 done, then Gazprom would be even more dominant.
11:17:07 Next,
11:17:07 from this position of dominance, Gazprom manipulated the
11:17:11 market in 2021 and 2022. Little was done to
11:17:17 challenge the world gas model. You don't have any
11:17:20 other model. They do exist. Gazprom likely has one
11:17:26 now. The WGM
11:17:28 is widely used. Gazprom's limited challenge to it as
11:17:32 a model misunderstood its purpose. It was not being
11:17:37 used as a predictive model, and the results were that prices
11:17:41 were 43 per cent higher than
11:17:42 they would have been. That's a decisive result. And
11:17:47 you also heard from Dr Riechmann that TTF price can be
11:17:50 manipulated, and
11:17:52 that Gazprom had both the ability and
11:17:55 the incentive to do so. And you heard that the
11:17:58 perfect storm ended around the beginning of quarter
11:18:03 421. Numerous
11:18:04 independent sources help you

11:18:06 with that end date, but it doesn't matter when the end
11:18:09 date is.  Remember that everything can happen at the
11:18:12 same time.  That's the whole point.  If the market is
11:18:18 tight and in that state, Gazprom cut supplies even
11:18:22 more, then that will lead to the price increase.  And
11:18:26 when TTF went up, Dr Riechmann showed us that prices
11:18:30 in Croatia and Hungary went up the price in the
11:18:34 relevant market is linked both by the fact that when
11:18:38 TTF prices rose, other
11:18:40 prices rose.
11:18:42 And because TTF is in the contract and that hit
11:18:47 PPD in
11:18:48 the relevant market and the huge price increase
11:18:53 dwarfed the price reduction that Gazprom gave in the
11:18:57 price review.  And that was a breach of article 102.  Gazprom barely challenged
11:19:07 that it
11:19:07 that it imposed unfair selling
11:19:10 prices or imposed unfair trading terms.  The
11:19:17 price is it's it's production price was less than
11:19:22 15 euros and prices reached 150 euros without any
11:19:26 evidence that its costs rose.  An unfair trading terms were
11:19:34 imposed as Gazprom's withholding and reduction of gas to
11:19:38 the EU met the test.  In apple streaming all
11:19:42 are met.  In particular, Gazprom's 1st April letter
11:19:47 was unfavourable and detrimental.  Obviously, it

11:19:50 didn't have any objective economic justification. Next REMIT dominance is not
11:19:57 required for REMIT. Gazprom withheld available gas, sending
11:20:04 signals of a false and misleading scarcity as to supply and demand, and
11:20:11 met the other tests for a breach of REMIT. And
11:20:15 so, moving on to the governing law and the
11:20:19 consequences of the standard of proof for causation,
11:20:24 the parties selected the governing law for tort claims
11:20:28 in article 14. They expressly selected Austrian law
11:20:33 as a substantive law, and that choice is applied
11:20:38 directly rather than through Austrian
11:20:41 conflict
11:20:41 rules. Rome II does not apply to arbitration, and
11:20:45 it's not public policy. In opening, we showed you
11:20:49 what bourne said,
11:20:50 confirming that and Prof Kalla explained
11:20:54 to you that the principle of effectiveness under EU
11:20:59 law means that Rome II, which Gazprom is trying to use
11:21:04 to obtain a higher standard of proof on PPD in order
11:21:11 to evade liability, can't be used in that way, because
11:21:15 doing that would use Rome II to hinder enforcement.
11:21:19 And it was designed to prevent the invasion of
11:21:22 enforcement. And Prof Klicka provided no
11:21:27 opinion rebutting PPD's position on Austrian governing
11:21:31 law itself. And so there is only a prima facie duty
11:21:37 to establish causation on PPD, and then the burden to

11:21:41 show that it was not the cause is passed to Gazprom, and
11:21:45 that is relevant when you evaluate the link between
11:21:50 the manipulated TTF price and PPD's losses.  So
11:21:57 if in doubt, as long as this is just shown on a
11:22:03 prima facie basis by PPD, the claim succeed as
11:22:07 Gazprom
11:22:08 has not rebutted causation.  Moving on to quantum.  PPD
11:22:22 has
11:22:22 shown that Gazprom was in breach of the contract and
11:22:25 as to PPD's remedies, the burden of proof under article 74 is
11:22:30 reasonable certainty.  Mr Gilbey
11:22:33 and his team have visited PPD's offices on several
11:22:38 occasions.  They've spent weeks with PPD, and
11:22:41 during that time they got to understand PPD's data systems.  They were able
11:22:47 to talk with PPD's employees and
11:22:51 make all the enquiries that they wished about matters
11:22:55 relevant to their task.  And you heard
11:22:58 Mr Gilbey explain during his evidence that
11:23:00 he has checked every line item in the dataset
11:23:06 to an
11:23:06 underlying document.  And in addition, when he could
11:23:11 do, he drew a straight line from the dataset through to
11:23:18 PPD's independently audited financial statements.  Mr Gilbey refers to this
11:23:23 as the gold standard, and by contrast, Mr Dev has not seen a single document
11:23:32 in this arbitration.  Next, under the contract,

11:23:39 PPD had flexibility to nominate on a
11:23:44 daily basis between what is known as the min DCQ
11:23:50 and the DCQ. Mr dev confirmed that yesterday,
11:23:56 so PPD paid a premium for that flexibility. Mr Way explained during cross that if PPD had
11:24:07 negotiated a flat contract with Gazprom, the same
11:24:10 amount of gas every day, the contract price would have
11:24:15 been cheaper. And that's
11:24:17 because PPD would have had to pay to store the
11:24:21 gas which it had taken, but not used under the contract.
11:24:30 So flexibility had to have a
11:24:34 value to PPD. Mr Nefediev explained to you that this
11:24:41 flexibility was actually gold PPD, and it was gold because it gave PPD
11:24:50 maximum flexibility as a gas trader, because if
11:24:55 the gas on the exchanges was lower than the contract
11:24:58 price, it could reduce nominations under the contract and
11:25:03 buy more on the exchanges. And if the
11:25:06 contract
11:25:06 price was lower, it could max, it could do the
11:25:10 opposite. So it's not PPD replacing the contract, it's the
11:25:19 buyer using the flexibility under the contract to
11:25:24 maximise profit from trading operations. And that is
11:25:27 entirely rational commercial behaviour and to account
11:25:32 for that benefit given to PPD in
11:25:34 the contract, you base PPD's losses on what's called
11:25:39 the a, c, q and next, another aspect of commodities

11:25:49 trading that was highlighted during the hearing was
11:25:51 the
11:25:52 fact that PPD has
11:25:55 a portfolio of gas customers and a trading
11:26:00 portfolio. The gas it purchased was used to supply
11:26:05 both its customers and to trade for profit. So
11:26:09 looking at PPD's gas portfolio as a whole, you
11:26:16 would find parallel trades in addition to replacement
11:26:21 gas. So in order to account for the fact that PPD has
11:26:28 such trading operations, Mr Way excludes transactions
11:26:34 on which PPD made a profit from the cost dataset, and that's
11:26:41 consistent with rational behaviour. The idea
11:26:46 that a commodities trader would only trade for profit,
11:26:52 Mr Way says. That's industry standard. And in
11:26:55 closing, we will set out some other cases where
11:27:00 tribunals have endorsed this approach. Most recently,
11:27:04 the tribunal in the case between Galen in next door
11:27:09 Slovenia and Gazprom. And so next related party
11:27:14 transactions and PPD's position, as you heard
11:27:17 yesterday, is that these should be excluded, and
11:27:22 that's because they may not have been performed
11:27:26 at
11:27:26 arm's length. So there would be a distortion of the
11:27:31 claim quantum. And I, I stress that
11:27:36 as counsel in gas cases, normally you try

11:27:40 very hard to prove that you have fully excluded costs
11:27:46 that are not incurred by the claimant life destroying
11:27:51 amounts of time are spent
11:27:56 trying to make that so. And Fidem suggests that the
11:28:01 gas purchase costs of the entire PPD Group,
11:28:05 which is seven entities based on its
11:28:09 definition, should be consolidated, and that will
11:28:12 give you the true costs of PPD. Now let's assume that PPD purchased three of
11:28:21 Mr AvaDavies tomatoes. From a related party.
11:28:27 Mr Nevada says it's necessary to check if those costs
11:28:30 were added when gas is sold to PPD by a related party.
11:28:35 But when he was asked how he proposed to identify the
11:28:41 relevant contract between PPD's related party and
11:28:44 the seller on the left or sellers, he said
11:28:48 it was not possible to do so and he was pressed on. This counsel asked.
11:28:52 The tribunal asked and that was wise because
11:28:56 we need to know where was all this noise going?
11:29:00 And Mr Nevado gave no solution. So instead
11:29:05 of
11:29:06 simply eliminating the three tomatoes, which
11:29:10 PPD says,
11:29:11 he suggests that you should take into account all
11:29:16 tomatoes purchased by all the related parties from
11:29:18 everyone, even though most of them were never sold to
11:29:23 PPD. And the only thing that

11:29:25 would achieve is causing substantial amounts of
11:29:28 irrelevant data. Next, the GTA there's a dispute
11:29:33 whether they can be recovered under the contract, and Prof caller assisted with this. And. But there is a. The way
11:29:41 Prof Cole explained it on day 6 was that the damages
11:29:44 arise not because of breach of the gas
11:29:47 transportation
11:29:48 agreement, but because of breach of the contract. And
11:29:51 he explained this using an example of a timber
11:29:55 seller and a furniture producer.
11:29:59 So
11:29:59 that's the top illustration. Looking at the top
11:30:02 one.
11:30:03 First, the blue arrows show what was supplied.
11:30:06 Contractually, the red cross is the breach and the red
11:30:10 lines are the claims. Red dotted lines are the losses. So if the timber seller failed to supply
11:30:18 timber to the furniture
11:30:20 producer under the timber sales agreement, the
11:30:24 furniture producer can't make the furniture and can't
11:30:28 sell it to the retailer. So it's clear that you have
11:30:32 no right to make a claim against the retailer. Under the
11:30:37 furniture sales agreement, of
11:30:39 course. Instead, the loss of sales under the
11:30:42 furniture sales agreement, that's the red dotted
11:30:45 line at the top there recovered under the
11:30:48 timber sales agreement. Now, if the timber seller and

11:30:52 the retailer are one and the same, the principle is still the same. And that's the bottom
11:30:57 picture. The failure to supply timber
11:31:00 results in the loss of the furniture seller, and such
11:31:04 loss can be recovered under the timber sales
11:31:09 agreement. Next. These losses were also foreseeable
11:31:14 because the contract was amended after the date of
11:31:20 knowledge that there was no
11:31:25 physical transportation.
11:31:26 So those are my submissions on the claim and I will
11:31:29 come to the quantum of the counterclaim. So according to
11:31:35 Gazprom, it's a lost volume seller because it has
11:31:39 supply capacities that on a commercial sale, can be treated as unlimited.
11:31:44 During her testimony yesterday, miss
11:31:48 Mitnik confirmed that the
11:31:49 ability to supply gas is subject to the availability of pipeline capacity, and
11:31:55 she also confirmed that as at today, K2 is the
11:32:00 bottleneck for gas sales to
11:32:02 Hungary. And since, as we've seen from the graph on the screen,
11:32:08 Gazprom cannot further
11:32:09 increase its sales to Europe through K2. And that's
11:32:14 even if it did have willing buyers. So there is it is
11:32:18 clear that Gazprom is not a lost volume seller. I
11:32:21 have about two minutes, if I may continue. I think
11:32:25 I'm on my time. Please to assess damages. Therefore,
11:32:31 in the absence of being a lost volume seller, you need

11:32:34 to mitigate.  So you need to know you
11:32:37 need to know if there have
11:32:39 been any replacement sales.  Ms Maydanik confirmed
11:32:43 yesterday that she has not reviewed any of Gazprom's
11:32:48 contracts, which used K2.  Ms Maydanik had no basis, therefore, to claim that the available capacity at K2
11:33:01 was being used to mitigate
11:33:04 other losses.  And it's also as well as sales
11:33:08 volumes
11:33:08 necessary to look at costs when assessing Gazprom's
11:33:12 damages.  And here Ms Maydanik confirmed that she has not reviewed
11:33:18 and did not even request any cost data from Gazprom
11:33:23 itself.
11:33:27 And then Gazprom's experts
11:33:31 approach is entirely
11:33:33 contradictory.  Over days
11:33:34 eight and nine of the hearing, you heard Mr never pick apart the process undertaken
11:33:44 by Mr Gilbey.  He said that certain essential steps
11:33:49 were
11:33:49 omitted.  But when you heard Mr Nefediev and
11:33:53 Ms Maydanik in cross-examination, they confirmed to you
11:33:58 that they they did not apply any of those steps
11:34:02 to
11:34:02 data handled by them.  They didn't know what the ETRM
11:34:06 system was at Gazprom.
11:34:08 They didn't review its individual financial

11:34:11 statements. And we've just placed the two most striking
11:34:19 contrasts on screen. But in conclusion, it's
11:34:22 clear that PPD has taken a much more robust approach than Gazprom to
11:34:28 quantifying its damages and and and Gazprom's experts. Referred to
11:34:36 garbage in, garbage out. We strongly reject that.
11:34:41 But the standard which Gazprom has tried to hold PPD to
11:34:46 cannot be taken seriously in light of Gazprom's complete failure to apply any of
11:34:53 these when quantifying its
11:34:56 counterclaim so plainly, what PPD
11:34:59 has done is infinitely better
11:35:02 than taking the approach of nothing in, nothing
11:35:07 out. PPD respectfully
11:35:14 maintains its application for the split
11:35:16 award, which. To maintain the timetable, we
11:35:20 could discuss during questions. Or could be resolved in
11:35:27 approximately a minute further.
11:35:32 PRESIDENT: I would suggest we stop here and discuss a
11:35:39 split award application, which is a matter of
11:35:43 procedure later on today, in the tribunal's question
11:35:48 time reserved. When we hold a case management
11:35:50 conference. Thank you very much. We will now take a 20 minute break. You have used
11:35:58 claimant an hour and 33 minutes in
11:36:01 my counting, so the same duration will be granted to
11:36:05 the will be allowed for the respondent and we will
11:36:10 resume at. 55, 55, 1155. Okay. No. 1155.

12:01:32 PRESIDENT: Have you seen this already?
12:01:34 MR HOLLAND: If counsel is ready, we will hear. Now the
12:01:36 respondent's closing submissions.
12:01:38 MS SOLDATENKOVA: Thank you. Thank you. The members of
12:01:41 the tribunal. We have had two weeks of lengthy
12:01:44 discussions overloaded with various evidence.
12:01:49 However, this should not derail the tribunal from the
12:01:53 very simple core of the case, which I keep reiterating. Gas for two months has been
12:02:00 taken,
12:02:02 consumed and never paid for by PPD, full stop. And it
12:02:07 is GPE actually that ultimately never received the
12:02:12 debt recovery until today. It is GPE who suffered not
12:02:17 PPD PPD managed to secure alternative supplies, take
12:02:22 two months of gas, sit on it until today for more than
12:02:28 three years. So this is the situation we are in and
12:02:31 we should be mindful of that. As we have now seen on the four April 2022,
12:02:42 PPD without a single question, a
12:02:45 single request, a single proposal or
12:02:50 demand for
12:02:51 clarification and within one business day agrees to introduce changes to
12:02:57 the contract to keep reselling the Russian gas. That
12:03:01 is also the fact. What was the
12:03:05 rush in answering? There is no explanation provided.
12:03:10 We only heard about some threats of some cutting off
12:03:14 the gas. This mantra of gas being cutting off has

12:03:19 been repeated
12:03:20 numerous times, but it is totally misleading.  There
12:03:25 was no imminent threat and there were two months to
12:03:29 reply.  As said both in the letter and according to
12:03:33 the timeline of the payments that the
12:03:36 parties have agreed upon.  Gas would not be cut off
12:03:42 unless the buyer fails to pay.  Notice that the very
12:03:48 same right to cease supplies
12:03:50 is available to the respondent in case of nonpayment
12:03:53 under the contract itself.  So nothing dramatically
12:03:57 different.  However, the gas was not cut off if the
12:04:03 buyer duly paid what happened several times during the
12:04:06 relevant period.  As we have seen.  What is also
12:04:11 important?  Just one day before the
12:04:13 1st of April, on the 31 March 2026, Ms Ivancic,
12:04:20 Ms Measic and Mr Barash have both said the parties have agreed
12:04:26 to
12:04:26 defer April supplies a day before the event.  A lot of
12:04:31 informal communication.  Both parties characterise
12:04:34 these communications as professional and friendly.
12:04:37 And then unexpectedly, overnight, everything changes
12:04:42 and both Mr Pavao Vujnovac, who has perfect personal
12:04:46 relations with the top management of Gazprom
12:04:49 Export
12:04:49 and Ms Ivancic, who has a very good working

12:04:52 relationship with Mr Barash. Become paralyzed
12:04:57 with
12:04:59 horror and do not even dare to raise a question. Do
12:05:03 not even dare to ask what happened? What is the
12:05:06 content of the decree and how it is to operate? That is how the story by PPD sounds. Do you recall
12:05:16 that Mr Vujnovac said in response to the
12:05:18 reasonable question, why did you never reach anyone at
12:05:22 Gazprom Export if you had any concerns?
12:05:25 Would you expect me to call anyone who threatens to
12:05:28 kill you? That was the answer. Well, members of the
12:05:32 tribunal, you have now seen the facts. Such
12:05:36 letters
12:05:36 were. Such letters, like the letter of the 1st of
12:05:38 April, were sent and received by dozens of European
12:05:42 counterparties, about a dozen of long-term contracts, and also a big number of short-term
12:05:49 contracts, so-called fit contracts. And this was a relatively routine issue indeed, and indeed
12:05:54 it was a notification. It
12:05:56 is not debated. Some counters, some
12:06:00 counterparties accepted it, others refused. Others
12:06:04 did not sign but paid under the mechanism.
12:06:07 Some
12:06:07 requests, contractual amendments. Amendments to adapt
12:06:12 to the modified rules. Extend the maturity date, give
12:06:16 a discount whatever else, it is only the PPD that
12:06:23 signs and then afterwards, when it becomes convenient,

12:06:26 it tries to recall the signature. The PPD. The
12:06:32 PPD's
12:06:32 case is inconceivable. A company having the best
12:06:36 possible means to communicate concerns and to be heard, as
12:06:39 compared to most of the other European
12:06:42 buyers having agreed to the deferral of the supplies just a day before is
12:06:48 so paralysed with fear of some future potential cut off of gas in no
12:06:54 less
12:06:54 than two months, that it does not even approach the
12:06:58 respondent for any clarifications informal
12:07:02 communications continue all clarifications received by
12:07:06 Ms Ivancic and they even sent GPE the contact details of
12:07:11 people that will be responsible for opening "K"
12:07:13 type accounts. And there is never anything to signal
12:07:18 the concern of PPD to Gazprom Export, and I emphasise
12:07:25 absolutely nothing that is contemporaneous. The offer
12:07:30 is accepted, countersigned
12:07:32 without any reservations.
12:07:34 Now, if we go back to 2022,
12:07:38 we understand the context
12:07:41 following the events in n February 2022, we all
12:07:44 understand there was indeed a period of
12:07:48 turbulence, and all market participants did not have clarity as to what happens
12:07:52 next. That applies to both
12:07:54 parties in the dispute, and we all understand that.

12:07:58 Mr Vujnovac,
12:07:59 who would have reasonable concerns as a businessman
12:08:02 and worry about the future
12:08:04 as generally there was indeed no clarity as
12:08:06 to what may happen. Will gas supplies be intermitted
12:08:10 because of the military operations? Will there be a
12:08:14 prohibition on the site of the European Commission?
12:08:18 Indeed, all those issues were not clear to all parties
12:08:22 and this is all understood and this is all very
12:08:24 reasonable. And Mr Vujnovac also explained in his testimony his
12:08:31 reasoning politically, it was
12:08:32 preferable for him to depart from the Russian gas supplies. And this is also
12:08:37 potentially understandable. It is a perfectly
12:08:42 understandable rationale of a businessman, and
12:08:44 this is
12:08:45 what we have started up. I mean, this is what was
12:08:53 reasonable to expect from a person in a way, in a period of turbulence. However, the actions because of
12:09:04 this, concerns by Mr Vujnovac started long before the 1st of April.
12:09:08 They started in March. In March, prior to any
12:09:13 letters, any payment mechanisms, anything. They already
12:09:18 book
12:09:18 capacities at the Krk LNG terminal to replace GPE in
12:09:23 future. Before I go to the substance, I am compelled
12:09:29 to say that I'm very sad to have witnessed such cherry
12:09:33 picking and obvious manipulation with the statements

12:09:35 made by the witnesses and experts, as well as
12:09:38 contradictions to the record that have been just made
12:09:43 by my learned colleagues on the side of the claimant's
12:09:46 counsel.  I've never seen this level of manipulation
12:09:49 in my whole professional career, to be honest, and I
12:09:52 am therefore compelled to ask the
12:09:54 tribunal pay particular attention
12:09:55 to the analysis of the statements
12:09:57 by PPD made in this very presentation, in sense of
12:10:01 their accuracy.  I'm also puzzled to hear the
12:10:05 repeated
12:10:05 reference to the Uniper case, given that Uniper did
12:10:09 accept the payment mechanism and made payments under
12:10:12 the Decree 172.  Contrary to what Mr Hoglander claims.
12:10:18 For instance, Prof Klicka is not only fully aware of
12:10:20 the letter of the 26th of May, 2026, 2022.
12:10:27 Prof Klicka, in paragraph 49 of hclca1, specifically
12:10:30 addresses it.  And he also specifically explained that
12:10:36 it could not be deemed the so-called payment under
12:10:40 protest.  The opinions of advocate
12:10:44 general are now
12:10:45 labelled as decisions for whatever reason, and there
12:10:49 are so many other examples of such statements
12:10:51 that
12:10:51 they are self speaking.  And I think I already

12:10:57 explained my request in that context. So what is the
12:11:02 dispute in the nutshell that we are witnessing here?
12:11:07 Next slide, please. The party's long-term contractual
12:11:12 relationship was affected by the decree and
12:11:17 required
12:11:17 adjustment. That is true. And we have also now, I think,
12:11:22 established several important facts. This decree
12:11:27 is a law and the respondent
12:11:30 indeed
12:11:31 had no chance to change it or negotiated. That's the fact. And indeed the
12:11:37 respondent, as a Russian legal entity,
12:11:40 also had no chance to avoid it or to circumvent it. The
12:11:45 decree, as also confirmed by the experts of the claimant,
12:11:51 was
12:11:51 clearly contrary to the interests of GPE
12:11:55 itself. There was no commercial rationale GPE could be achieving through this decree. It was
12:12:04 contrary to
12:12:04 the interest of GPE. Then PPD creates an impression
12:12:11 that it supported the adjustment for the sake of the
12:12:15 contract.
12:12:17 While earlier it already started secretly looking to replace GPE for political
12:12:23 expediency. This is even admitted, though in
12:12:27 reality all this
12:12:28 started
12:12:28 in March, as I said, and

12:12:30 Ms Ivancic confirms that we only start the analysis.
12:12:36 According to PPD from April events, that is
12:12:40 not entirely how the
12:12:41 case should be looked at once. PPD manages to do all
12:12:47 the replacement that they wanted. It walks away from
12:12:50 the contract, having taken two months of fees for gas.
12:12:55 And now, even more importantly, what we have found out during this two
12:12:59 weeks PPD was trying also to shift the
12:13:03 non. Taken April supplies to October. Why? So to
12:13:08 have the 3rd month supplied and never paid for. Very
12:13:13 impressive. And ultimately after that PPD never
12:13:19 gets back to any table of discussions, even when GPE
12:13:24 proposes the payment to be made to a euro account,
12:13:27 which my learned colleagues claimed to be so safe and
12:13:31 transparent that again never happened. As said, one can understand the
12:13:37 political environment, one can
12:13:39 understand the business rationale of the departure
12:13:42 from the Russian gas. However, that could not
12:13:46 be done the way it was done. It could be done in
12:13:49 accordance with the normal business practice and in
12:13:51 accordance with the contractual terms and the
12:13:54 applicable law. You can't terminate a contract. But PPD does not want to settle
12:14:01 and does not want to agree
12:14:02 on termination. The plan is to make most out of GPE and
12:14:07 then abandon the

12:14:08 relationship with the partner.  This is not how things
12:14:11 are to be done, and I believe that in that sense.  My
12:14:16 complaint that GPE suffered is
12:14:20 absolutely valid.  Why would not PPD want this method
12:14:28 of termination to be utilised?  Because it
12:14:31 will necessarily imply contractual penalties, and it will imply the need to return to to
12:14:38 return the payment due for the two months
12:14:41 of gas.  Supplied.  But these two months of gas supplied
12:14:45 payment is needed to buy LNG and they simply don't have
12:14:51 funds that are available for that.  Everything
12:14:55 that followed the letters of December and February 2023 avoidance set
12:15:01 off claim for contractual damages.
12:15:04 Supplemental
12:15:05 claim the Anti-suit injunction, the application to the
12:15:08 Court of Justice of the European Union.  All that has
12:15:11 just one purpose to invent a reason or better set an excuse to keep the monies owed to GPE in the
12:15:20 pockets of PPD.  To do this, PPD had and
12:15:33 did bring a case.  And during the case, PPD effectively changed
12:15:41 its stance several times and PPD is
12:15:46 really caught in.  Fraught with inconsistencies and
12:15:50 self-contradictions.  There are several examples on
12:15:53 the slide to begin with.  On
12:15:56 the 1st of April you have the letter signed, you have k
12:15:59 accounts open, but you have no concerns raised and
12:16:02 you

12:16:03 see payments being made. What could be the reasonable
12:16:05 expectation of GPE if there were no questions? If
12:16:09 they continue to nominate and if they are still in pretty
12:16:15 friendly relationship. Prior to
12:16:18 the letter of the 23rd December 2022, PPD never made
12:16:24 and there is no contemporaneous evidence on record.
12:16:27 Never made any references to duress, EU sanctions.
12:16:32 There was not even any legal opinion that was
12:16:36 requested by PPD to assess the applicability of
12:16:39 sanctions, as has been confirmed by Ms Ivancic. Then the new stand taken in
12:16:50 the course of these proceedings
12:16:53 is that the Central Bank of Russia. Clarification of
12:16:57 the 29th of April, which
12:16:59 clearly confirms shifting any
12:17:01 possible contractual risk from PPD and clearly is to
12:17:06 their benefit because it says that payment to the euro
12:17:09 account is the performance has been in fact, accepted.
12:17:13 I will show you that in one of the further
12:17:16 slides, because in the letter of
12:17:19 the 26th of May, which PPD labels as payment under
12:17:22 protest, they clearly say that they consider their
12:17:25 obligation fulfilled once the funds are transferred to
12:17:28 the euro account. That's exactly what the letter of
12:17:31 the 5th of may said. So even if you say that for
12:17:35 whatever reason, what is contested the 1st of April

12:17:40 letter and the 1st of April modification is not to be binding
12:17:45 on PPD. What would you do with this exchange
12:17:48 of letters then? The competition law issues and
12:17:54 the
12:17:55 REMIT issues regarding TTF at all arise solely after the counterclaim is filed
12:18:02 for the offset and contemporaneous statements by
12:18:06 Mr Vujnovac give all
12:18:09 other reasons for price fluctuations and emphasise
12:18:13 independence from the Russian gas. That is contemporaneous evidence.
12:18:19 Then,
12:18:20 with respect to some of the matters already mentioned, the relevant market definition in the
12:18:27 request for
12:18:28 arbitration, the relevant market for antitrust
12:18:30 purposes was determined as Croatia only. While in the
12:18:33 statement of the claim, already. Croatia and Hungary.
12:18:39 Authorize revision in 2000 and
12:18:41 21, LNG is labelled by PPD as the reason
12:18:46 for
12:18:46 the so-called replacement transactions. LNG purchases
12:18:52 are included, but when it comes to the assessment of
12:18:55 the products for the antitrust purposes, LNG turns out
12:18:59 to be a totally different product. I don't
12:19:04 need to mention
12:19:07 endless amendments and revisions of witness statements
12:19:10 by next to every witness or expert that was

12:19:14 brought to these hearings by the claimant.  Incorrect
12:19:18 statements are identified by the respondent corrections
12:19:23 amendments, addenda, errata, however you call it,
12:19:28 all
12:19:29 that was going on in rows and then strategically, all
12:19:34 that is to be filed so that GPE would not have
12:19:38 procedural chances to respond.  Now, with respect to one more interesting
12:19:46 aspect of this dispute that I wanted to draw your
12:19:50 attention to, PPD is quite inventive, because they really demand from the tribunal to be a
12:19:57 pioneer in a
12:19:58 lot of things.  So members of the tribunal, you are
12:20:04 invited to be the 1st in history of the legal science
12:20:10 and practice to do a lot of stuff that has never
12:20:14 been
12:20:14 seen in practice and heard of in the doctrine resolving a REMIT claim in
12:20:19 arbitration, for instance, in circumvention of
12:20:23 the
12:20:23 national regulatory authorities accusing respondent of breaches of article 11024 and REMIT in essence, in essence, of any decision by the commission or by the
12:20:38 national
12:20:38 regulatory authority defining the relevant
12:20:42 geographical market as
12:20:43 exceeding
12:20:43 the borders of one country prior to the commission
12:20:46 having ever made any conclusive assessment of this
12:20:50 kind in validating a commercial contract between a

12:20:53 legal entity and the other legal entity for duress
12:20:57 under the Austrian law, ahead of the Austrian Supreme
12:21:01 Court.  And contrary to its rulings, you are invited
12:21:06 to extend the scope of the application of article 10
12:21:09 of the regulation two, six, nine and article 11
12:21:12 of the
12:21:13 regulation 83, three beyond their limits and without relying on
12:21:18 any Court of Justice rulings, you are
12:21:22 invited to invoke the principle of effectiveness under
12:21:25 the EU law in order to bypass applicable national law.
12:21:33 You are invited to.  Determine
12:21:37 the payment mechanism
12:21:38 to be contrary to the sanctions.  Without the decision
12:21:41 of the competent EU sanctions authorities.  To that
12:21:45 extent and despite the contrary policy objectives that the EU was
12:21:49 pursuing, so that to keep supplies, you are also
12:21:54 invited to declare that article 6 of Rome II
12:21:56 regulation is not falling within the scope of
12:21:59 the EU
12:22:00 public policy.  So I believe it's a pretty hard burden
12:22:05 to satisfy the demands of PPD in sense of pioneering
12:22:12 the.  Legal
12:22:14 practice.  There has been a number of witness
12:22:22 statements that really
12:22:25 demonstrate that there has been a lot of

12:22:29 orchestration in the testimony, and it is also be taken into account. You would recall
12:22:35 that
12:22:36 there was a an important letter of 31st of October 2022. It is r0108. That is
12:22:46 the letter from
12:22:47 PPD to g p. Explaining that all previous type "K"
12:22:53 special account payments were
12:22:55 approved by Croatian Ministry of Foreign and European
12:22:58 affairs and due to the recent developments in
12:23:01 Croatian
12:23:01 politics, there is a lack of political and public
12:23:03 support towards further cooperation between GPE and PPD
12:23:08 due to political views of the Croatian political
12:23:11 establishment. We are not in a position to
12:23:12 fulfil our payment obligation now. And then we hear
12:23:18 Mr Vojnovic, when confronted with this document
12:23:21 requested to explain what is this approval? Because
12:23:25 we really believe there was a kind of approval of
12:23:29 this
12:23:29 kind, he says. When I say it was approved by the ministry, I mean the banks.
12:23:36 would
12:23:36 you mean the banks saying Croatian Ministry of Foreign
12:23:40 and European affairs. And then Ms Ivancic, when
12:23:44 confronted with the same question and I emphasise
12:23:47
12:23:47 Ms Ivancic was not present here when Mr Pavao Vujnovac

12:23:50 was giving his testimony.  She says the very same
12:23:52 thing.  We didn't ask for any approval.  That was for
12:23:57 the banks.  They were afraid.  That could not be any
12:24:03 reasonable
12:24:04 conclusion, having read this document, but for an
12:24:07 orchestrated testimony.  The other
12:24:11 example.  It
12:24:13 has been decided that it is beneficial for Mr Vojnovic
12:24:19 and Ms Measic to be saying that PPD is a small, tiny entity
12:24:25 suffering from the giant, terrible GPE
12:24:30 and
12:24:30 however, they keep saying that.  But you have seen the scale of the
12:24:34 company's operation, you have seen its
12:24:36 financial performance, and you now understand how far this is
12:24:40 from reality.
12:24:43 The narrative, convenient to PPD in this arbitration,
12:24:46 is also to portray GPE as unavoidable partner who is
12:24:51 dominating, abusing the poor small counterparty as
12:24:54 long as it serves the purposes here, however, in his
12:25:01 own contemporaneous interview, Mr Vojnovic claims that GPE
12:25:05 is responsible for only 20 per cent of the
12:25:07 quantities purchased by PPD.  All of these
12:25:11 statements on the slide cannot be
12:25:15 true simultaneously, to put it mildly.  You have also
12:25:19 heard a lot about the anime language and the

12:25:23 influence
12:25:24 of politics, and we have also heard of the trauma of
12:25:30 2009 gas supply cessation. And I suppose Mr Mazilov,
12:25:33 in his testimony, has perfectly explained the reasons
12:25:37 behind that historic crisis in
12:25:40 2009 and that it had completely nothing
12:25:41 to
12:25:42 do with GPE. But importantly, there is nothing to do
12:25:47 with politics in this very dispute. This is a commercial dispute. However, given that
12:25:53 there is no chance for PPD to win this case
12:25:55 as a commercial case, all of these public issues
12:25:59 start
12:25:59 arising. And are being put in the mouth of the
12:26:04 witnesses. The same orchestration is with respect
12:26:08 to
12:26:08 the allegations of the gas cut off. As said, there
12:26:12 was no risk of gas cut off in the coming two months and there was ample time to
12:26:20 discuss
12:26:21 and understand both the content of the payment
12:26:23 mechanism and the risks related to it.
12:26:27 Ultimately,
12:26:29 PPD has six chapters of reasons why not to
12:26:34 pay back. They claim that there were numerous changes
12:26:37 to the payment mechanism, and all of them
12:26:40 clearly onerous for PPD, and none of them as if

12:26:43 ever accepted.
12:26:44 They also claim that PPD was subject
12:26:46 to duress because GPE is a Russian State and nothing
12:26:49 more, and the decree
12:26:51 was not prepared by the
12:26:54 government, but was self-induced used to pressure GPE
12:26:57 counterparties and hence no force
12:27:01 majeure could apply.
12:27:03 Then they claim that PPD feared the EU sanctions.
12:27:07 There is also a claim that PPD was under pressure of
12:27:11 the GPE's market manipulation and abuse of
12:27:15 dominance,
12:27:16 and there is also a claim that there was a suspension
12:27:19 of supplies that was unlawful and
12:27:21 unexpected. So PPD has claimed for
12:27:25 damages, which it sets off with the undisputed.
12:27:31 Gazprom Export claim. As for those
12:27:37 changes, I think we have spent a lot of time in
12:27:41 the April 1st letter and therefore the tribunal needs no longer details about that, but
12:27:47 and I think it is pretty self speaking,
12:27:50 however we treat it. It is a clear acceptance and
12:27:53 then a signature is attempted to be withdrawn.
12:27:56 But
12:27:57 you have also now heard a new development of the
12:28:01 argumentation

12:28:02 is that the later amendments to the payment mechanism,
12:28:05 which were to the benefit of PPD, say, the instruction
12:28:08 of the Central Bank, which clarified that there will
12:28:11 be no risks when the
12:28:13 funds reach the euro.  Account of
12:28:15 PPD should have also been agreed as a separate
12:28:18 amendment, necessarily in a form of amendment.  Well,
12:28:22 this form requirement clearly has absolutely no ground
12:28:26 to be taken into account because, as I said one day
12:28:33 prior to the 1st of April in an email correspondence,
12:28:37 they agreed to defer the supplies.  So there were
12:28:40 indeed
12:28:40 letters, side letters, email agreements and other
12:28:44 forms of communications.  Those side letters were referred to
12:28:46 by Mr Barash as well.
12:28:50 However, even putting that into account, once there
12:28:54 was this instruction issued and GPE understanding that
12:28:59 there
12:28:59 could be a concern on the side of PPD with respect to
12:29:03 the understanding of of the legislation, informs PPD
12:29:06 with
12:29:07 the letter of the 5th of may 2022 saying that here is the
12:29:12 instruction of
12:29:13 the Central Bank, the clarification of the Central
12:29:15 Bank, and if you transfer timely in good faith, you will

12:29:20 have no risk.  It will be full compliance with the
12:29:23 contract.  What is the response that would come in 20
12:29:26 days?  The answer is simple.  We consider our
12:29:30 payment
12:29:30 obligation fulfilled once the invoiced euro amount is
12:29:35 credited on our type "K" euro account.  Exactly.  That is exactly what
12:29:40 the instruction says.  That was
12:29:42 exactly the message of the letter of the 5th of May.  And you accept it.  How would you
12:29:49 then say that there was no acceptance?  Then what happened next also matters
12:29:57 not to take you through all these events, but we mentioned
12:30:01 that many times
12:30:03 accounts are open, nominations are made, gas received,
12:30:11 money transferred.  So as for
12:30:14 the
12:30:14 decree, even if it did affect anything, we discussed
12:30:19 that it only affected the moment of payment, what is
12:30:23 admitted and it affected the account to which the
12:30:25 transfer is made.  And I really see absolutely no
12:30:29 reason to claim that there
12:30:30 was some change of currency.  There was none.  The
12:30:36 transfer was in euros to the very same Gazprombank
12:30:39 account, to the very same Gazprombank, but
12:30:40 to a different account.  Following the central bank's
12:30:46 clarification, it was absolutely clear that risk allocation has been now
12:30:53 made in favour of the foreign buyer, and therefore it

12:30:59 was even acknowledged and accepted by this letter of
12:31:02 the 26th of May, which I have just shown. Then
12:31:06 comes the
12:31:07 story of the decree 254 that we
12:31:10 also discussed. And there is one issue I would like to
12:31:15 raise here. There was a question from the tribunal also,
12:31:18 whether it was something strange to issue a separate decree to
12:31:23 address this particular issue and not amend
12:31:25 the previous decree or anything of this kind, so
12:31:29 implying that it could have some substantial change in
12:31:35 it if we were to see the text of the decree, we would
12:31:38 see that it effectively introduces changes to many of
12:31:41 these things, many of the regimes. So it is a decree
12:31:45 effectively amending the decree. And the only change.
12:31:51 Is that now NCC is specifically mentioned, whereas
12:31:57 before it was not. And I was also
12:32:01 explaining during my opening presentation as to why
12:32:03 that was made, that was exactly made. So that to simplify all those
12:32:09 compliance checks that were of concern for the
12:32:13 Russian side receiving
12:32:15 the payment and for the European side sending the payment, so that to make
12:32:19 the system totally
12:32:21 transparent to the banks and to the foreign regulators, so
12:32:25 everyone knows who will be
12:32:28 involved in

12:32:29 this mechanism. Between the 31 March 2022 and the 26th of may 2022,
12:32:47 when all of these changes unfolded, there were no payments
12:32:50 under the payment mechanism. So PPD cannot assert
12:32:54 that any other payment mechanism was possible. Any
12:32:58 alternative was available, but there were nominations
12:33:03 in that period of time. There was acceptance of
12:33:06 supplies, and there was a number of payment without
12:33:09 protest. Later in May, September 2022. In terms of
12:33:16 the burdensomeness.
12:33:19 We need to make sure we understand what was the
12:33:23 burden
12:33:24 following the decree. As I said, you still make payment in euros. You just need
12:33:29 to do it two days
12:33:30 ahead, two days ahead. And Gazprombank has
12:33:35 never made any longer conversion than two days.
12:33:38 There is no evidence otherwise because that was their risk.
12:33:42 They were not willing to
12:33:44 violate
12:33:44 the decree. Yes, you
12:33:46 pay to a different account, but
12:33:47 with the very same Gazprombank. And importantly,
12:33:52 there are absolutely no charges by Gazprombank for making all this
12:33:58 conversion,
12:33:59 opening the accounts and whatnot. So effectively, all that pretty
12:34:09 much meets the test of the steps under

12:34:14 article 54, because, as explained by Prof
12:34:16 Klicka, reasonableness is determined
12:34:20 on balance of convenience.  It was less burdensome for
12:34:24 PPD to pay this way
12:34:27 than for GPE to find some non-Russian gas and somehow
12:34:33 supply it in potential violation of the mandatory rule
12:34:38 applicable to it.  PPD objection on the actual effect
12:34:42 of the payment
12:34:43 mechanism are really misleading.  As for the
12:34:47 delays caused by the European correspondent banks and
12:34:52 their compliance checks, and the European Central
12:34:54 Bank's well, effectively that applied to any payment
12:34:59 destined to Russia, and I pretty.  I'm pretty sure
12:35:03 that everyone in this room from the personal
12:35:05 experience knows that these problems started not on
12:35:11 the 1st of April 2022 with all of the payments, there
12:35:15 is not a single document on the record demonstrating that
12:35:19 these
12:35:19 concerns have ever been raised by PPD voiced to GPE,
12:35:25 say, with the
12:35:27 request to modify the payment timing and the claimant
12:35:34 witnesses cannot clearly refute it.  They admit that
12:35:38 that was the issue of the European banking system,
12:35:40 and
12:35:40 it has nothing to do with the decree because, as was

12:35:44 said, some of the banks completely stopped
12:35:47 payments to Russia, irrespective of the regulatory framework
12:35:52 under which this payment
12:35:53 could be potentially made. Respondent witnesses
12:35:58 Mr Barash also confirmed that the problems were before
12:36:01 and after, regardless of the
12:36:02 decree. And the problems remain. As I was saying in
12:36:08 my opening, even during this arbitration, we had
12:36:10 issues with payments, but luckily
12:36:13 we managed to overcome all that. So at all relevant times risk because relevant
12:36:21 times happened when the 1st payment were to be
12:36:23 made. Risks passed with crediting of euros to GPB
12:36:29 at all
12:36:29 relevant times. From the moment of the 1st payment in
12:36:31 the end of May 2022, the risk was as provided by the
12:36:38 Central Bank on GPE and it was the party's
12:36:43 understanding from the very beginning, as explained by
12:36:47 Mr Barash and the suspension in may and August also
12:36:51 has nothing to do with that, and that was also
12:36:54 clearly
12:36:55 discussed because the funds reached Gazprombank late
12:37:00 and the two days conversion was simply not possible.
12:37:06 As for no access to the accounts, there was a
12:37:10 statement made by Ms Ivancic
12:37:13 that they were very unhappy that

12:37:14 the funds became not traceable, and they
12:37:17 did not now understand where the funds are. In
12:37:22 section 3 of the Gazprombank instruction that
12:37:25 is attached to the 1st of April letter. Everything is
12:37:30 clearly set out and it is proposed for the buyer to
12:37:36 introduce an
12:37:36 electronic document exchange system so that to have
12:37:40 all the information necessary. And when I
12:37:43 confront
12:37:44 Ms Ivancic with the question, why
12:37:45 did you not do that? Why did you reject this
12:37:48 proposal? She says, Russian hackers are
12:37:50 everywhere.
12:37:52 So my it guys said that would potentially
12:37:55 jeopardise
12:37:56 our system. So there were mechanisms to trace
12:38:02 the
12:38:02 funds, but you simply don't want to use those. And there
12:38:06 were several options in that instruction
12:38:08 proposal. Transcript of the 2nd day, Ms Ivancic specifically says Russian
12:38:17 hackers everywhere in the world. So we
12:38:20 decided we will. I mean, that was in the
12:38:22 media. This was the time, the situation. I
12:38:25 think
12:38:26 the quotation is self-speaking, the letter of the 1st

12:38:32 of April 2022 does constitute a clear, valid amendment
12:38:35 to the contract, because the requirements to these
12:38:41 amendments are stipulated in the contract itself.
12:38:45 Article 161 has clear requirements as to the
12:38:51 amendments, and there is no requirement that it should
12:38:54 be a separate document labelled amendment. Yes, it
12:38:58 happened in practice when it came to issues of price
12:39:01 or volumes, but as I said, it could be done otherwise.
12:39:08 So this letter of the 1st of April was
12:39:11 transferred
12:39:11 back by email later, and then
12:39:13 replaced
12:39:13 with an original, specifically as requested by the
12:39:17 contract terms. What definitely constitutes a valid
12:39:20 amendment. And there was indeed a discussion between
12:39:23 Mr Barash and Ms Ivancic as to delivering it to
12:39:28 Russia. Because of the intermission of the courier services in
12:39:31 those
12:39:32 period of time it was sent through Serbia. So
12:39:35 imagine
12:39:35 how much effort was put by Ms Ivancic so that to
12:39:38 deliver this document to Moscow, to St Petersburg.
12:39:43 Actually, that
12:39:45 is precisely the Way
12:39:46 two amend the contract as envisaged in article 16 of

12:39:49 it.  This alone suffices to disregard any
12:39:52 attempts of PPD to
12:39:54 dispute the
12:39:55 existence of the amendment.  More to come.
12:39:58 Contrary to Mr Vujnovac's statements under the oath on
12:40:01 the 2nd day of the evidentiary hearing, there was no
12:40:05 established practice of entering into binding
12:40:08 amendments by other means than signing numbered
12:40:12 agreements, as I said.  And I refer to the
12:40:17 31 March
12:40:18 exchange of emails confirmed by both
12:40:20 witnesses here last week.  With this in mind, it is
12:40:28 almost strange to see PPD anyhow challenging the
12:40:30 validity of the modification procured by countersignature and strictly
12:40:34 according to the formal requirements outlined in the
12:40:38 contract and actually, besides the letter of the 1st
12:40:40 of April, actually,
12:40:43 there was a said a lot of further behaviour on
12:40:48 the
12:40:48 side of PPD that supported this understanding.  Now we
12:40:55 come to the 2nd reason not to pay.  PPD claims
12:41:03 to have been under duress.  So as if PPD was threatened by VTP or
12:41:12 potentially by
12:41:13 Gazprom, the
12:41:14 mother company, or by President Putin personally, or

12:41:17 by the Russian State or by the evil empire or. This
12:41:21 fear
12:41:22 is potentially just another excuse. Let's try to
12:41:24 understand that the key part of the PPD narrative is that Mr Vujnovac was reasonably
12:41:33 feared by GPE while
12:41:35 amending the contract in accordance with the decree,
12:41:38 reasonably feared by the end of the evidentiary hearing.
12:41:41 This point clearly did not withstand any scrutiny. So
12:41:45 start with the relationship between GPE
12:41:49 and PPD were in no way at a low point by the moment.
12:41:55 When the 1st of April events
12:41:57 happened few hours before
12:41:58 the decree was published in the evening of the
12:42:00 31 March, PPD requested GPE to
12:42:02 amend the contract, as I said, not to nominate gas in April with
12:42:06 no mean DCQ payment incurred and GPE
12:42:11 amicably agreed to this. And that became binding
12:42:16 despite being enshrined in the email chain and not on
12:42:19 the paper that will follow much later. Basically, by
12:42:23 mutual agreement, no gas was supplied by PPD either
12:42:26 on
12:42:27 the 1st or the 4th of April or between these dates
12:42:29 and
12:42:29 later on until may. So the
12:42:32 inference by Mr Pavao

12:42:33 Vujnovac that he could be shut off the gas immediately
12:42:37 is complete nonsense, even technically. Furthermore,
12:42:41 exactly. In the letter it was mentioned that PPD
12:42:44 could take its time until the end of May, wait pro and
12:42:47 contra before taking a decision. However, Mr Vujnovac
12:42:51 seemingly did not need any time
12:42:53 to respond, any time to assess, any time to
12:42:56 think. So he countersigns and sends it back the next
12:43:00 business day. Due to the quite generous month plus 30
12:43:05 days payment term, Mr Vujnovac had all the time he
12:43:08 needed to get PPD ready to work under the new payment mechanism. In
12:43:13 two months after the receipt of the
12:43:14 payment, and he successfully did. However, he never
12:43:21 tried to discuss the issues he now portrays as frightening with
12:43:26 either GPE or any other higher
12:43:31 contacts in Croatian ministries, as he now
12:43:33 claims, who were also participants of the gas crisis
12:43:36 team, which was specifically formed
12:43:39 to discuss such issues or with
12:43:41 other market players, as he claims, apart from whether
12:43:45 they at all received similar letters or not. Truly
12:43:53 fearless behaviour of the person who could come,
12:43:57 actually, who could have easily called everybody to
12:44:00 get any info, he yet decided to go all alone. No
12:44:06 consultations held, no clarification sought, no legal opinions requested.

12:44:12 Despite the two month period available in conjunction
12:44:16 in conjunction with the countersigned letter of the Fourth of April,
12:44:21 Mr Vujnovac enhanced his strategy to switch to
12:44:23 switch
12:44:24 to the LNG. He in fact started arranging, as I said well before, in
12:44:30
12:44:31 March 2022, Mr Vujnovac's direct acknowledgment that he
12:44:34 decided to
12:44:35 make some payments. Some payments plainly mirrors his
12:44:39 motivation to have reliable gas supplies
12:44:43 while finding alternative
12:44:44 supply
12:44:45 routes through the Krk LNG terminal, however,
12:44:50 effectively implemented seven months planning strategy
12:44:52 has little to do with the actions you expect from a
12:44:56 verified person that is really in fear. Even from the
12:45:03 sanctions risk perspective. PPD
12:45:04 argument does not look serious, as it is quite strange
12:45:07 to expect sanctions as a political
12:45:09 instrument to be
12:45:11 used against the market player responsible for the
12:45:13 key
12:45:14 policy goal filling the gas storages. And
12:45:17 Mr Vujnovac, as part of this Croatian crisis team was
12:45:21 perfectly aware, and he confessed here that the main

12:45:25 objective of the Croatian Government was to fill
12:45:29 the storages. That was their main concern. So with
12:45:34 this respect, no serious business person
12:45:36 would believe he could be punished or sanctioned for
12:45:41 buying the Russian gas that was so needed to fill the
12:45:45 storages, because he is assisting the public
12:45:48 government in policy. That is tantamount to the
12:45:54 population. As a weapon of last resort. PPD refers to handful
12:46:00 of legal doctrines to blur the lines
12:46:03 between GPE as a separate legal entity, being a
12:46:05 party to the
12:46:05 contract. Its parent company, Gazprom PJSC and
12:46:10 the
12:46:10 Russian State. Though these attempts manifestly
12:46:14 fail
12:46:14 from the outset, they are either way irrelevant to
12:46:19 the
12:46:19 question of duress as the standard of section 870
12:46:23 of
12:46:24 the Austrian Civil Code leaves no room for the legal doctrine piercing the
12:46:29 corporate veil or whatever.
12:46:33 Anyway, no evidence of this unity has been discovered
12:46:37 throughout this evidentiary hearing. Claimants
12:46:41 witnesses cannot reliably point to any specific
12:46:43 indications of this unity apparent throughout their contractual

12:46:48 relationship.  Respondents witnesses
12:46:51 consistently and unequivocally confirm the opposite.
12:46:54 None of the experts, either legal or economic.
12:46:58 Mr Boublik and Mr Papadia managed to suggest a
12:47:02 plausible explanation of how the Decree 172 could
12:47:06 even, in theory, benefit GPE because it could not.  As a
12:47:12 result, the prongs of
12:47:14 duress were not met, as confirmed by PPD
12:47:18 appointed
12:47:19 legal expert, Dr Pernar, on Monday this week.  The criteria to establish duress
12:47:26 are cumulative and shall be proven by the
12:47:29 claimant.  In the case at hand.  The situation is
12:47:33 pretty peculiar as over the course of this
12:47:35 hearing, it
12:47:36 became almost obvious that none of the criteria is met.  None.  No threat by GPE just or
12:47:46 unjust, only the desire to uphold the
12:47:48 contractual relationship and continue the supply of
12:47:52 gas in the new legal framework until the alternative
12:47:57 supplies are secured.  No payment via the
12:48:01 mechanism
12:48:01 would have caused and eventually did cause the
12:48:04 prohibition to supply
12:48:06 further
12:48:06 regardless of GPE's will.  After countersigning on
12:48:09 the

12:48:10 next business day, PPD had two months and not days
12:48:14 as PPD's appointed expert
12:48:17 doctor claims. I think he was misled to
12:48:20 assume
12:48:21 that to switch to the new track, which he successfully
12:48:24 did. No proof of fear over the weekend
12:48:28 between the 1st and the 4th of April 2022, on
12:48:32 the side of Mr Vujnovac, there is no proof of fear
12:48:36 that was established during these two weeks of
12:48:39 the evidentiary hearing. There is
12:48:40 not a single piece of evidence showing that
12:48:42 Mr Vujnovac was in fear. You saw Mr Vujnovac. He is not easy to be made frightened, and he was perfectly
12:48:53 able to make
12:48:54 brutal commercial decisions, availing him to switch from PNG
12:48:58 to LNG. And just to understand how this letter
12:49:02 could
12:49:03 be utilised for this purpose. And one should not attribute it to his courage or fortitude, as it
12:49:11 was
12:49:11 quite hard to fear the immediate seizure of PNG supplies received of
12:49:17 PNG supplies. Given that there were no supplies
12:49:21 anticipated in the next two months as
12:49:26 agreed beforehand, be it as it may, even if there
12:49:30 was
12:49:30 an unjust threat or even if Mr Vujnovac was anyhow reasonably
12:49:34 feared, that fear definitely would not be induced by

12:49:40 GPE, which would anyway doom the whole case because
12:49:46 section 870 of the Austrian Civil Code is
12:49:49 absolutely clear that the counterparty shall be
12:49:51 specifically the one who induces fear, which is
12:49:56 obviously not the case here GPE. Even if
12:50:00 wanted or
12:50:00 if it did not want to
12:50:03 seize supplies, was not making the
12:50:06 decision.
12:50:06 According to the direct wording of the 1st of April
12:50:08 letter, it was the customs making the decision. So in
12:50:12 fact, lack of causality is so manifest that being asked
12:50:16 a plain question about whose action must be the
12:50:19 cause, so it would apply to our dispute. Dr Perner
12:50:25 suddenly changed subject and started talking
12:50:27 about section 85875 of the Austrian Civil Code due
12:50:31 raised by 3rd party, but this has never been pleaded
12:50:35 by PPD in this arbitration. Not in a single
12:50:38 submission. Never. Only 870 and Mr Pernar
12:50:44 understood that 870 is not tenable. As for the
12:50:52 causality under
12:50:54 section 870 and the attribution of the acts of state, just one more slide. Throughout its
12:50:59 pleadings, claimant was continuously
12:51:02 mixing rules of section 870 of the Austrian Civil Code
12:51:06 with tests concerning attribution of the acts of state

12:51:09 to state owned enterprises for the purposes of force
12:51:12 majeure. However, as finally established during the
12:51:16 evidentiary hearings, these two concepts shall be
12:51:19 clearly and strictly divided. Section 870 of the
12:51:24 Austrian Civil Code specifically refers to fear to be
12:51:29 induced by the counterparty, in our case
12:51:33 by GPE, in
12:51:34 order to invalidate the amendment and as
12:51:38 confirmed by the PPD appointed expert Dr Perner, this concept could be expanded to the auxiliaries of employees of GPE
12:51:48 persons empowered by GPE to act on their behalf and
12:51:52 inducing fear on PPD in this capacity. But anyway, no
12:51:55 further. And it is obvious that neither the Russian
12:52:01 State nor President Putin, while signing the decree exercising
12:52:07 their public powers, acted on behalf of
12:52:09 GPE. And anyhow, in the interest or in their capacity,
12:52:16 and
12:52:17 the contrary. The contrary has never been pleaded by
12:52:22 PPD. This alone renders the case of PPD under section 870 of the
12:52:29 Austrian Civil Code moot. Now members of the
12:52:35 tribunal let me switch to the
12:52:37 next reason not to pay so many reasons not to pay.
12:52:44 That is
12:52:44 the alleged violation of the EU sanctions
12:52:47 regime by the so-called new payment
12:52:48 mechanism. The key arguments made by PPD are

12:52:53 either making funds available to a sanctioned entity or managing the reserves of the
12:52:59 Central Bank, or nothing else. If.
12:53:01 If this
12:53:02 doesn't work, then circumvention of sanctions.
12:53:07 Well, members of the tribunal, you have seen the two witnesses who are the only source of sanctions related
12:53:14 conclusions by PPD, and you noticed that both of those
12:53:19 witnesses very clearly explained that they
12:53:22 have no legal understanding of the sanctions, that
12:53:24 they do not make any sanctions related conclusions,
12:53:27 and they even never attempted to. The
12:53:31 witnesses have
12:53:32 shown, unfortunately, complete lack of
12:53:35 understanding of some
12:53:36 of the most basic legal concepts like agency and
12:53:39 distinction between proprietary rights and
12:53:43 obligations. And most importantly, they have also
12:53:45 managed to convince the counsel to follow this logic.
12:53:49 Contrary to any
12:53:51 well-established legal theory. Unfortunately,
12:53:55 this
12:53:55 evidence may not serve any ground for any sanctions
12:53:58 related meaningful conclusions. However, what
12:54:01 is really important on the record? There is
12:54:06 evidence by a professional sanctions legal expert
12:54:11 that

12:54:11 is the law firm called dull devolve, which is among the top three
12:54:15 law firms working in the
12:54:16 sanctions cases before
12:54:17 the Court of Justice of the
12:54:19 European Union. Their opinion is available, and it fully supports the
12:54:24 position of the respondent that
12:54:25 there were no sanctions risks in the payment
12:54:30 mechanism. Notice that PPD decided not to
12:54:32 cross-examine legal experts, as clearly there would be
12:54:38 little to counter their analysis, so we emphasised to
12:54:42 the tribunal that there is a professional legal
12:54:45 assessment
12:54:46 available on the record, and it was the
12:54:49 decision of the claimant not to cross examine the
12:54:51 appropriate and
12:54:53 qualified legal
12:54:55 experts and moreover, so I emphasise once again
12:54:58 that
12:54:59 the only legal opinion
12:55:00 on the EU sanctions that
12:55:03 is on record and was prepared by the EU qualified
12:55:07 Belgian attorneys, Mr Benteke and Ms Barsanti del de
12:55:10 Wolff, one with actual expertise and experience of
12:55:16 representation in sanctions related disputes before
12:55:18 the European courts, including the Court of Justice of

12:55:21 the European Union. It is their. And if one does not
12:55:27 flag any risks of violation of EU sanctions by the
12:55:30 payment mechanism and I am really puzzled with the
12:55:34 advocacy techniques by Mr Holland, who just pretended
12:55:37 that this does not exist and even insisted on that.
12:55:40 And it was even more puzzled, actually, when
12:55:43 listening
12:55:43 to the sanctions section by Mr Holland, that
12:55:47 Gazprombank has been labelled or called to be owned by
12:55:51 the respondent. This is today at 11 oh 142 seconds.
12:55:56 This is this was a statement. This is not only
12:55:59 completely incorrect, but it is the 1st time this kind
12:56:04 of argument. Has it all been raised. And I really
12:56:08 regret to witness such level of advocacy. In my
12:56:13 opening speech, I explained in detail the nature of the
12:56:17 transactions at the Moex and that the involvement of PPD in this
12:56:21 mechanism is limited solely to PPD
12:56:24 relations with Gazprombank contractual obligations that have been
12:56:30 discussed, and
12:56:32 therefore there is no way we could speak of some PPD
12:56:36 euros from the point of view of applicable law.
12:56:40 And
12:56:41 you also saw that the
12:56:44 decree 254. In essence did not change
12:56:47 anything because the national clearing centre

12:56:49 was a mandatory central counterparty at most forex
12:56:53 trade for decay. The trading rules are
12:56:59 very straightforward on that.
12:57:00 This is r132, paragraph 213 on page 13 of that file. And it says the clearing centre
12:57:08 shall be party to all
12:57:09 the trades executed in accordance with these trading
12:57:12 rules, full stop.
12:57:13 There
12:57:14 is simply no other Way two read it. And
12:57:18 Mr Boublik
12:57:18 statements on negotiated
12:57:21 trading by passing as if the clearing centre
12:57:25 unfortunately is completely outdated and goes contrary
12:57:28 to the plain text of the rules. However, dear members of the tribunal, the
12:57:35 argument even
12:57:37 evolved in absence of any tenable legal argument. The
12:57:40 experts of the claimant and their counsel now state
12:57:43 that the rules are too difficult to
12:57:45 understand. The
12:57:46 mechanism is too complex that PPD can easily get
12:57:50 confused because even Mr Papadia got confused somehow,
12:57:54 and that is not reasonable to expect from a
12:57:58 sophisticated gas trader. To understand how forex
12:58:01 trading at an exchange works, I put aside the
12:58:05 fact

12:58:05 that no explanations were yet again requested and ever called for from GPE, and I also put
12:58:13 aside the fact
12:58:14 that the Moex trading rules are perfectly available
12:58:17 online in English. Unlike many of the Russian legal
12:58:20 acts, and they always were available in English.
12:58:24 However, even if PPD management could not understand
12:58:28 such a complex idea of trading rules of
12:58:32 Moex foreign
12:58:33 exchange, could they do at least some of the basics? They could do a basic
12:58:40 search on internet.
12:58:43 While preparing for today, I did this exercise myself and I have just visited the
12:58:48 Wikipedia
12:58:50 page devoted to Moex. I understand
12:58:52 Wikipedia is not a legal source
12:58:54 and the legal argumentation has already been addressed
12:58:57 above, but at least this is something anyone would do
12:59:00 if you have. If you wish to have even a minimum basic understanding and the members of the
12:59:06 tribunal. You may also repeat this exercise and you
12:59:08 will be puzzled to see that the Moex Wikipedia page in
12:59:12 English says specifically in the section related
12:59:14 to
12:59:14 foreign currency trading, it says all transactions spot and
12:59:19 swaps on the FX market at Moex are centrally cleared by national clearing centre. Well,
12:59:28 one can be
12:59:29 a non-lawyer, but this is so basic and so

12:59:33 plainly
12:59:33 available that saying anything to the contrary is just
12:59:36 unfair. Mr Holland was saying today that no banker
12:59:43 would participate in such a mechanism. I would just
12:59:46 refer you to rl345. The EU frequently asked questions
12:59:52 that specifically say, and I quote, EU firms are still
12:59:56 allowed to trade on
12:59:58 Russian exchanges. The evidence provided by the
13:00:02 so-called sanctions experts is unfortunately
13:00:04 useless. Mr Boublik based his
13:00:08 conclusions on outdated sources and was unable to
13:00:12 point to any sources at all, if not outdated. If the three reports. Well, in his three
13:00:22 reports presentation and an hour long
13:00:24 cross-examination, I never managed to obtain from
13:00:27 Mr Boublik any clear guidance on where in the rules
13:00:30 are. Those three modes of transactions are? Be it as
13:00:35 it may. He admitted that organised trades at
13:00:38 Moex do go through clearing with NCC. The source of
13:00:43 his knowledge is always general practice. Dating back
13:00:46 to 2008 when Mr Boublik was in Moscow, Moex did not even
13:00:51 exist in those days. However, Mr Boublik
13:00:56 feels comfortable giving testimony on these issues.
13:01:00 He is also trying to make an argument that the
13:01:03 mechanism was so inventive, so that the sending
13:01:06 bank

13:01:06 would not see where the funds go, because the idea was
13:01:12 that funds were sent from PPD to PPD, and thus the sending bank in the
13:01:17 EU would be deprived of the
13:01:19 ability to do proper anti-money laundering and the
13:01:22 sanctions checks. That was one of the arguments. So
13:01:26 as if the sending bank does not know where the funds
13:01:29 are really heading and what is the ground for this
13:01:32 transfer if it falls under the decree or not. This is
13:01:36 again nothing but yet another misleading
13:01:38 statement. My last question to Mr Boublik was whether
13:01:43 he ever saw the SWIFT messages underlying the payments,
13:01:46 and he said he
13:01:47 did. Those are also on the record and those
13:01:51 clearly show everyone who processes the payment that the payment is made under the decree to a special "K" type
13:02:01 account. It's there in the SWIFT messages visible to anyone
13:02:06 dealing with the payment. I don't even mention the
13:02:09 underlying invoices that always mentioned the
13:02:12 special t "K" type account, and the procedure of the
13:02:15 decree that was shown to Mr Vujnovic on day 2. So all
13:02:21 that was specifically inscribed to make
13:02:25 everything as clear as possible, as transparent as
13:02:29 possible. So either Mr Boublik did not see the SWIFT
13:02:33 messages or he has forgotten what he has seen there,
13:02:36 or he is intentionally misleading the tribunal to make
13:02:38 up the case for the claimant. Mr Papadias findings

13:02:43 are based on incomplete and
13:02:45 fragmented understanding of how the Decree 172 and
13:02:49 Moex trade works, yet he had to perform a very complex
13:02:55 and sophisticated macroeconomic analysis in order to
13:02:58 conclude that there was a risk. I quote that risk of
13:03:03 payment mechanism affecting not even directly
13:03:07 amounting to management, affecting the reserves and
13:03:10 assets of the Central Bank, and the risk of these PPD
13:03:15 euros. As I said, that is legal nonsense. Ending up
13:03:18 in the hands of the sanctioned
13:03:20 persons. Apparently, Mr Vujnovac
13:03:25 and Ms Ivancic clearly did not engage
13:03:28 themselves into such an
13:03:30 assessment of the risks either before accepting the letter in between the 1st
13:03:37 and the Fourth of April, nor ever
13:03:39 afterwards.
13:03:40 Hardly that could be done over one weekend. And it was not
13:03:46 even mentioned in the letter of the 31st of
13:03:49 October, where
13:03:51 they say all our prior payments were approved.
13:03:55 There were no sanctions-related concerns. Hence
13:04:00 the story about how dreaded Mr Pavao Vujnovac
13:04:03 and Ms Ivancic were by the risks of breaching the EU
13:04:06 sanctions is, to say, mildly unconvincing. PPD
13:04:10 argues that even if decree one, 72 and letter

13:04:16 of the 1st of April 2022 was accepted, the later
13:04:19 changes
13:04:19 could not be accepted because the altered the payment
13:04:22 mechanism in such a way, according to its experts,
13:04:25 which posed critical risks from the EU sanctions
13:04:28 perspective. However, if the learned experts
13:04:32 themselves accept that there is risk was not obvious, how did PPD come to a
13:04:36 conclusion that this risk at all existed and it
13:04:40 was so onerous it constituted a new modification and
13:04:44 it should not be accepted? No contemporaneous
13:04:48 document on the record? Nothing. Both the so-called sanctions experts admit that
13:04:54 there was no causal link between the stricter
13:04:56 compliance checks and delays and the payment
13:05:00 mechanism, and these delays are to be assigned to the
13:05:03 compliance policies of the EU banks. Mr Boublik also
13:05:07 admits that for any euro settlement after clearing in
13:05:10 favour of a sanctioned entity, European banks, where
13:05:14 the national clearing Center had its
13:05:15 correspondent accounts, Deutsche bank
13:05:17 and Societe Generale would be doing the sanctions
13:05:21 checks and such funds would never reach a sanctioned
13:05:23 entity or the Central Bank of Russia. As I also
13:05:28 explained during my opening presentation, sanctions
13:05:31 circumvention, which is referred to by PPD, is a very
13:05:34 specific, legally determined concept. It's not. It's

13:05:38 not just anything that goes contrary to the spirit of
13:05:41 sanctions. As Mr Holland puts it. And there is
13:05:46 nothing in the case to support the application of this
13:05:48 particular provision in the given circumstances.
13:05:52 However, given the very remote nature of this
13:05:56 sanctions expert's knowledge, this point was not even
13:05:58 raised in the reports and
13:06:00 therefore was not discussed and touched
13:06:03 upon during the hearings. But it's in detail
13:06:08 addressed in the written submissions. PPD case rests also on
13:06:14 two pillars the
13:06:15 broad interpretation of the text of
13:06:16 the sanctions
13:06:17 regulations and the opinions of the Advocate General
13:06:20 Biondi in the case, and the
13:06:24 recent opinion in the Yemen case. Well, none of these
13:06:28 pillars support the weight
13:06:30 placed upon them. The provisions of the regulation.
13:06:36 833-2014 do not apply to the circumstances of the
13:06:38 dispute. And the advocate general in rebel rebel
13:06:42 case, let alone being non-binding and factually
13:06:45 distinguishable, also cannot rescue a case
13:06:48 that
13:06:48 otherwise falls outside the scope of
13:06:50 the sanctions

13:06:51 regime. I will briefly address these points why
13:06:54 article 11 does not apply, and why the why the rehabil
13:06:58 opinion is irrelevant, and why article 10 does not
13:07:00 provide a shield. As for article 11, it prohibits the satisfaction
13:07:06 of claims made by a Russian person, where
13:07:09 the contract's performance has been affected by the
13:07:13 measures imposed under the regulation. The text here
13:07:16 is clear as submitted earlier, the Court of Justice
13:07:21 already confirmed that affected essentially means
13:07:26 prohibited. So the article works only when the EU
13:07:30 sanctions make performance of the contract illegal.
13:07:33 When it is prohibited under the sanctions rules here,
13:07:37 there is no EU measure that prohibited the supply of
13:07:41 natural gas to the EU and the subsequent payments, and
13:07:45 there remains not until today, the Central Bank of
13:07:49 Russia, by the way, is also not subject to sanctions,
13:07:53 as individual sanctions blocking sanctions, so-called
13:07:58 unlike, say, the Central Bank of Iran, as I was
13:08:01 mentioning during the opening presentation, the EU
13:08:05 commission itself confirmed repeatedly that energy
13:08:08 transactions were not subject to prohibitions under
13:08:11 regulation eight, three, three at all the relevant
13:08:13 times. And this has already been addressed in detail
13:08:17 in the opening presentation and in the written
13:08:19 submissions. So if the underlying performance, the

13:08:23 delivery of gas and payment thereof was not affected,
13:08:26 was not prohibited by the EU sanctions. The
13:08:30 foundation for article 11 crumbles PPD incorrect
13:08:35 interpretation of law. Well, and as said, not
13:08:38 surprisingly, there is no legal expert PPD involved to
13:08:41 assist them in preparing this position because I
13:08:45 assume there would be none expert
13:08:46 willing to
13:08:47 take this position with the legal qualification.
13:08:52 So PPD is incorrect. Interpretation
13:08:53 of law does not transform a
13:08:57 voluntary nonperformance into an effect of EU law. As
13:09:02 for the opinion of the advocate general, as said, we
13:09:07 believe it is completely irrelevant. PPD places
13:09:11 extraordinary weight on all advocate general
13:09:14 opinions
13:09:14 and in this particular case, concerning this dual use helicopter parts, this case
13:09:20 is a world apart from ours. First of all, the court
13:09:23 has not yet ruled to begin with and the advocate opinions general is a persuasive
13:09:29 submission. But it's
13:09:29 not yet a judgment and it does not have any force of
13:09:32 law. But in any event, in this
13:09:36 case, the contract was for the sale of goods that were
13:09:40 themselves subject to the EU export ban.
13:09:43 The performance of the contract was directly

13:09:46 affected because the goods could not be exported
13:09:50 without violating EU law. And the advocate general
13:09:54 discussion on the automated nature of article 11 must be.
13:09:57 Therefore read in this context,
13:09:59 and I would agree to the logics proposed by the
13:10:02 advocate general. In a way, his statement that
13:10:06 article 11 applies irrespective of whether satisfying the claim would entail infringement of
13:10:11 other measures, was made
13:10:13 in
13:10:13 case where a contractual performance was already
13:10:16 impossible because of the direct prohibition on the
13:10:20 subject matter. Here. In our case, there is no prohibition on gas.
13:10:27 The performance of the contract delivery and payment
13:10:30 was never made impossible by any EU measure. The
13:10:34 debtor refused to pay not because gas could
13:10:37 not be delivered, but because of unsubstantiated
13:10:40
13:10:42 fears. If we trust that that we're not grounded in
13:10:45 any applicable provision or just because of the
13:10:48 commercial decision not to do it and the rebel principle,
13:10:53 if we
13:10:53 could at all consider that such a principle exists,
13:10:56 does not extend to any indirect, speculative and
13:11:01 self-imposed obstacles. The purpose of article 11 is
13:11:05 to ensure that a Russian person cannot use a court or

13:11:09 tribunal to recover sums
13:11:11 arising from a conduct whose performance
13:11:13 was affected by EU sanctions, but where the contract's
13:11:17 performance was not
13:11:18 affected, where the gas was delivered. There is no
13:11:22 circumvention, there is no circumvention to prevent
13:11:25 it
13:11:25 all. To apply this argumentation here would extend it beyond its rationale
13:11:32 and create a windfall for a party that chose
13:11:36 not to pay. As for the opinion of the advocate
13:11:39 general in the
13:11:40 Yemen case, we will have to unfortunately address it
13:11:45 in more detail in our Post-hearing brief. However,
13:11:48 this is again nothing but detaching the rules from
13:11:52 their context and the Yemen sanctions stem from
13:11:56 the un sanctions, and that is a very significant
13:12:00 difference as compared to the Russian sanctions
13:12:03 mechanism. And they target a civil war situation with
13:12:07 competing de facto authorities. So the opinion's
13:12:09 reasoning on competing influences and reasonable risk
13:12:13 is very specific to that very context. And
13:12:17 transposing it to the Russian sanctions
13:12:20 framework would be just legally unsound. Misreading
13:12:24 and applying the Yemen opinion would encourage the
13:12:27 tribunal to import concepts such as competing

13:12:31 influences and the revised burden of proof based on
13:12:34 reasonable risk to the regime.  The Russian sanctions
13:12:38 to which they are alien.  These concepts are alien to
13:12:41 the Russian sanctions regime and are not known in any
13:12:46 of the interpretations of that regime available.  And
13:12:51 as for article 10, article 10 of the regulation 269
13:12:57 does not really absolve liability.  Article 10
13:13:04 provides that freezing of funds or refusal to make
13:13:07 funds available, if carried out in good faith, shall
13:13:10 not give rise to liability.  But this is not a
13:13:15 provision that is a blank check.  PPD claims it faced
13:13:21 regulatory uncertainty, but uncertainty does not
13:13:24 equate to good faith.  Good faith requires a
13:13:27 reasonable basis for the belief that compliance required the refusal at the
13:13:33 relevant time, the European Commission and the
13:13:35 competent national authorities had made it clear that
13:13:38 the payment for gas was not prohibited and the
13:13:42 payments were made and are still being made under the
13:13:45 mechanism.  PPD ignored that guidance.  A party that
13:13:49 chooses the most
13:13:50 restrictive possible interpretation, contrary to the
13:13:53 official guidance and then withholds payment, can not
13:13:56 invoke article 10 as a shield.  Article 10 also
13:14:01 provides that unless it is proved that the freezing of
13:14:05 refusal or refusal was carried out as a result of

13:14:08 negligence.  Sorry, article 10 also
13:14:12 provides that.
13:14:16 The burden is on the debtor to show that the conduct was
13:14:20 not negligent.  My colleagues have not discharged that burden, that they
13:14:26 merely point some general opinions of
13:14:29 officials, none of
13:14:31 which stated that paying for gas would violate
13:14:34 sanctions to the contrary.  As Mr Vujnovac himself
13:14:37 states, they were all worried about only the maintaining supplies and
13:14:42 filling up the
13:14:43 storages.  Negligence is established when a party
13:14:46 fails to take reasonable steps to assert its obligations.  Here, PPD
13:14:52 had access to clear
13:14:53 guidance, but it chose to ignore it.
13:14:56 That is negligence.  I will now hand
13:15:00 the floor to Ms Soldatenkova.
13:15:03 MR HOLLAND:  Thank you.
13:15:15 MR TALANOV:  Members of the tribunal.  I will focus on
13:15:17 the supplemental claim and as we have the time limits,
13:15:20 I will of course
13:15:22 not make this presentation exhaustive, but I will try to focus on
13:15:25 the key points.  Now on this slide, the tribunal can
13:15:28 see a roadmap, a roadmap of the steps that the
13:15:32 tribunal has to pass to grant the supplemental claim.
13:15:36 It all starts with establishing the jurisdiction over

13:15:39 the supplemental claim.  Then you need to establish
13:15:43 the violation of the competition law provisions or
13:15:46 REMIT, and then you have to identify the applicable
13:15:50 law.  And as I will further
13:15:52 demonstrate, claimant struggles at each of
13:15:56 these stages.  Now, if you can move to the next slide,
13:16:00 the 1st
13:16:01 point concerns the jurisdiction over the supplemental
13:16:03 claim.  In general, whether the
13:16:05 supplemental claim is covered by the arbitration
13:16:08 agreement or not.  To clarify from the beginning,
13:16:12 respondent and I
13:16:13 think we emphasised it also in our legal
13:16:15 submissions,
13:16:16 does not challenge the tribunal's jurisdiction or one
13:16:19 of the invalidity grounds, which is that respondent
13:16:24 allegedly abused its dominant position.  This is not
13:16:27 the part of our documentation.  We challenge the
13:16:31 tribunal's jurisdiction only with respect to the supplemental claim, which relates to the rise
13:16:36 in the TTF price index.  Now, claimant's
13:16:40 position in this respect was
13:16:42 supported by the expert report of Dr Koller and
13:16:47 Dr Koller, inter alia, commented on the criteria of a
13:16:51 defined legal relationship which is contained both in
13:16:54 Austrian law and in the New York Convention.  And what

13:16:57 is very important in the present case is that
13:17:00 this
13:17:01 criterion applies irrespective of the European
13:17:04 convention, which indeed does not require the
13:17:07 legal relationship to be defined.  This is because
13:17:11 clause 14 in the contract specifically refers to a
13:17:14 need for the arbitral award to be enforceable under
13:17:17 the New York Convention.  Now, Dr Koller suggested that this test would be
13:17:22 met because clause 14 relates to the parties business
13:17:26 relationship.  Respectfully, this is incorrect.
13:17:30 As
13:17:30 Dr Koller
13:17:31 admitted during his
13:17:33 cross-examination, the GTA, which is the gas
13:17:36 transportation agreement, also relates to the parties
13:17:40 business relationship.  Yet the gas transportation
13:17:44 agreement includes a
13:17:44 totally different arbitration clause in a sense
13:17:46 that
13:17:46 one of the substantial elements, the seat of
13:17:49 arbitration, is different.  That is Switzerland.  Now
13:17:54 the.  What claimant would need to determine if
13:17:57 you
13:17:57 decide that the defined legal relationship cannot be
13:18:01 simply a business relationship, claimant would need to

13:18:04 determine a connection to the contract.  At this
13:18:08 stage.  Claimant also fails because the doctor
13:18:10 caller's report does not support its position in this
13:18:13 respect, as acknowledged by Dr Koller during
13:18:17 his cross-examination, he bases his position on the
13:18:21 understanding of the claimant's claim as referring to
13:18:25 the contract price.  Nevertheless, claimant's claims
13:18:28 do not refer to the contract price when the
13:18:31 supplemental claim was filed.  Initially,
13:18:34 the
13:18:34 supplemental claim did mention that the
13:18:37 damages that are sought are connected to the
13:18:39 difference in the contract price.  Nevertheless, it
13:18:42 was later abandoned and therefore
13:18:45 the current claims as they're currently formulated,
13:18:48 have no connection to the contract price or to other
13:18:50 provisions of the contract.  The authority, which
13:18:55 doctor colon mentioned in this
13:18:58 respect cw911, which is a decision of the Austrian
13:19:00 Supreme Court of 2000 of of 2020, concerned a
13:19:08 situation where a party claimed that the abuse
13:19:10 of
13:19:11 dominance resulted in the conclusion of the contract, and this
13:19:14 is manifestly
13:19:15 different from the claimant's claims in the present

13:19:17 case. If you can move to the next slide. The tribunal
13:19:23 heard detailed submissions from the
13:19:24 respondent in relation to the REMIT regulation during the opening submission. The REMIT
13:19:30 regulation is distinct from the European
13:19:33 competition law, although claimant continues to
13:19:36 confuse those two sets of EU law. Now, the only point
13:19:41 which I probably need to add is that the claimant's
13:19:45 experts actually do concede that there
13:19:47 is no case law which would support either
13:19:50 the existence of positions of the Court of Justice,
13:19:53 which deals specifically with REMIT and which support
13:19:57 a possibility of private action, specifically under
13:19:59 REMIT, or they do not provide examples of any
13:20:04 decisions of arbitral tribunals or national courts on
13:20:08 enforcement of on private enforcement of damages
13:20:11 connected to the REMIT breach. Absent the decision of
13:20:15 the national regulatory authority and in the
13:20:18 present
13:20:18 case, the respondents breach of
13:20:21 REMIT has not been established by any competent and
13:20:24 array. Moving to the next slide. Just a brief recap.
13:20:32 There are also several layers
13:20:34 to establish abuse of dominance under
13:20:37 article 102. And if you could proceed further, I will
13:20:40 just focus on some points which seem to be most

13:20:44 discussed during the evidentiary hearing. So 1st of all, the issue of the
13:20:49 relevant geographic market respondent maintains its
13:20:52 position that this is Croatia and as
13:20:55 explained by Prof Dr Hildebrand during the hearing,
13:20:58 there is an
13:20:59 established practice of the commission which includes,
13:21:03 I think, one of the most popular decisions during
13:21:05 those hearings, the Gazprom decision of 2018. There
13:21:09 is Dr Riechmann, the claimant's expert, provided no
13:21:13 conclusive case law where the commission would reach a
13:21:17 conclusion that, in fact, the geographic
13:21:20 market would be larger than national. The only case
13:21:23 which was referenced by Dr Riechmann in this respect. In that particular case, the definition of
13:21:29 the geographic market was specifically
13:21:31 left open. So this case is irrelevant. And in
13:21:34 fact,
13:21:34 this tribunal is indeed suggested to be the 1st body which reaches reaches a conclusive
13:21:40 finding of a geographic market which is larger than
13:21:43 national. With respect to the economic analysis,
13:21:46
13:21:46 Dr Riechmann accepted that he did not actually see swap
13:21:50 agreements
13:21:51 between Croatian and Hungarian parties, other than
13:21:54 those agreements which were
13:21:55 presented to him by PPD. He also admitted that it

13:21:59 would not be alone sufficient to integrate the
13:22:03 markets. And finally, he admitted that the swap
13:22:06 agreement does not add volumes in either country.
13:22:11 Further, Dr Riechmann admitted. Can we see the
13:22:16 presentation still? Because I can't.
13:22:19 MR HOLLAND: See.
13:22:19 MS SOLDATENKOVA: Can we please resolve it? Oh, it's back. And the
13:22:32 last point, which I probably wanted to make in
13:22:35 this respect, is that the dispute between the experts in relation to the pricing of PPD contracts in Croatia
13:22:41 and Hungary hinges on data which was provided
13:22:44 by PPD. The data on the difference between different
13:22:48 PPD contracts and this data cannot be verified by this
13:22:53 tribunal or by respondents experts because the
13:22:57 contracts. As with the dataset on which claimant
13:23:01 basis damages were not attached to claimant
13:23:04 submission. Moving to the next point, which concerns
13:23:09 the relevant product market, the key issue in relation
13:23:13 to the relevant product market, if you could go to the next slide. The key issue
13:23:22 seems to be the application of the
13:23:25 SSNIP test and whether there are any other
13:23:27 approaches which could be applied instead of the sniff
13:23:30 test. Now, the sniff test, which was suggested by
13:23:34 Dr Riechmann, is in fact, and Dr Riechmann admitted it, although he
13:23:38 later took his words back to a certain
13:23:40 extent during the cross-examination. But the SSNIP

13:23:42 test can clearly be seen from the market definition.
13:23:46 Notice is not the only appropriate evidence to
13:23:50 determine the unity between different products. What Dr , Prof Dr Hildebrand applies is historical
13:23:58 substitution between PNG and LNG, and the
13:24:02 market definition. Notice clearly says that this approach where
13:24:06 you rely on the substitution during different
13:24:09 shock events on the market, is one of the
13:24:11 types of
13:24:11 the
13:24:11 acceptable evidence. Dr Riechmann acknowledged that
13:24:17 in 2022, the gas market experienced a shock. Now,
13:24:22 moving to the next point, even if we consider the SSNIP test conducted by
13:24:27 Dr Riechmann, in fact, it
13:24:30 supports substitutability between LNG and PNG climate
13:24:33 demonstrated the very same figure. Now, what I invite
13:24:36 the tribunal to consider is when you look
13:24:40 at
13:24:41 this line, is the majority of this line under the this
13:24:45 blue section on the graph, or is it above? I
13:24:49 think the answer to this question is very
13:24:50 clear, and this demonstrates that in most situations, prices for
13:24:57 LNG were in fact within a margin of 5 per cent
13:25:01 difference with PNG, and on many occasions they were
13:25:05 even lower than prices for PNG. And this is in fact
13:25:09 the key takeaway from this graph. Now, moving to

13:25:12 the
13:25:13 next point in this respect concerning
13:25:16 Dr Reichman's methodology for assessing respondents
13:25:18 market share.  It was partially touched
13:25:23 upon in the claimant's presentation.  What is the
13:25:26 appropriate size of the market?  Because of course, the
13:25:28 respondents share would depend on this
13:25:31 determination.  Now, what Dr Riechmann does he
13:25:35 considers the downstream volumes or what appears to be
13:25:38 downstream volumes per Prof
13:25:41 Dr Hildebrandt's
13:25:41 conclusions.  Where is Prof?
13:25:43 Dr Hildebrand relies on upstream volumes
13:25:47 which reflect actual retail demand, plus commercial
13:25:51 sales between wholesalers.  Now, there was a point
13:25:53 raised by
13:25:54 the opposing party concerning the alleged speculation, which is inherent
13:26:00 in this type of analysis, because the more
13:26:02 there are trades, as it suggests, the bigger would be
13:26:06 the market size.  Well, I would respectfully disagree
13:26:09 with this
13:26:09 because of course, if you compare the VTT Croatia and
13:26:13 TTF price in the Netherlands, the difference would be
13:26:17 quite dramatic.  And in fact, historically, TTF was
13:26:20 not always a separate market.  It evolved into

13:26:24 becoming a separate trading market when it became the
13:26:27 most liquid hub in Europe.  It's very hard to
13:26:31 compare
13:26:31 the most liquid hub in Europe with
13:26:35 VTT Croatia, with all due respect, but
13:26:38 evolutionary, if you consider the evolutionary
13:26:40 approach in the future, maybe if there are more traits
13:26:43 in Croatia, at a certain point in time, VTT Croatia
13:26:46 could become a separate market.  But this is not the
13:26:49 current point of development of VTT Croatia and HERA
13:26:53 HERA, the national regulator for Croatia, confirms
13:26:57 this approach.  Now, if we could move, can we go back for a
13:27:02 moment?  Another issue which is particularly relevant
13:27:05 in relation to the dispute between the two experts is reliability
13:27:10 of Dr Riechmann's market share
13:27:12 calculations.  During the cross-examination.  Dr Riechmann.
13:27:18 Dr Riechmann reviewed the data presented in his exhibit CWS
13:27:25 598,
13:27:26 which provides information on different sources of
13:27:28 supply to Croatia.  What
13:27:30 appears from this
13:27:31 document is that in 2022, gas entered Croatia from 19 different
13:27:35 countries via so-called indirect LNG imports and from
13:27:39 a further five countries via direct LNG imports.  At
13:27:42 the same time, the annual report by HERA for 2022

13:27:47 shows that LNG in Croatia originated from four sources
13:27:51 from four countries, to be precise, so there is a
13:27:55 clear contravention between the data which is used.  A
13:27:58 clear contradiction between the data which is used by
13:28:01 Dr Riechmann or the results of the code that he uses,
13:28:06 and the position of the national regulator in Croatia.
13:28:10 Now, if you can move further, there's the tribunal can
13:28:14 see the difference in the market size, which claimant
13:28:17 considers to be dramatic.  And what I would like to
13:28:20 emphasise is that the difference appears in 2021.  So following the
13:28:24 opening of terminal.  And this is
13:28:26 exactly what Prof Dr Hildebrand emphasised during her
13:28:30 cross-examination.  Moving to the next
13:28:32 slide.  I will briefly address the Dukic decision,
13:28:36 which was also relied upon by claimant.  Contrary to what claimant
13:28:41 suggested, this decision lists four
13:28:43 cumulative
13:28:44 criteria for the definition of the market for
13:28:47 wholesale supplies of gas for Denmark, which was the
13:28:49 subject of consideration in
13:28:50 that case, and the 4th
13:28:52 and most critical criterion in that case was that to
13:28:56 be considered supplies of gas for Denmark, those sales
13:28:59 were supposed to satisfy the needs of
13:29:02 customers in

13:29:02 Denmark.  And this is exactly the reason
13:29:06 why Prof
13:29:07 Dr Hildebrand treats the volumes which were
13:29:11 swapped,
13:29:13 which claimant swapped, which stayed in Hungary as volumes
13:29:17 contributing to the
13:29:18 supply in Hungary.  Because this is exactly in line
13:29:20 with the definition in the Don case.  And of course,
13:29:24 in that case there was no mention of the
13:29:27 physical
13:29:27 origin of the gas.  Moving further, I will just keep those slides
13:29:32 because the purpose was just to illustrate the shares
13:29:35 as estimated by the experts.  Perhaps if we
13:29:38 could pause here for a moment, if the tribunal looks
13:29:44 into the red box, I think on the right side of the
13:29:46 slide, the tribunal would see the results of the
13:29:49 calculation of the market share of the respondent,
13:29:52 even if Prof Dr Hildebrand adds the swapped amounts
13:29:56 artificially to the market share of the respondent in
13:29:58 Croatia.  And as you can see there below the dominance
13:30:02 threshold.  And perhaps one last point in this respect
13:30:05 is that it is incorrect to suggest that
13:30:09 Prof Dr Hildebrand does not take into account the indirect sales.  In fact, she does,
13:30:13 because she attributes all PGNiG in Croatia to the
13:30:16 respondent's market share.  So this is a very

13:30:19 conservative approach. I would say. Moving further. The key point in relation to the substance
13:30:26 of the violation is that claimant allergies,
13:30:29 abuse on a different market. Dr Riechmann confirmed
13:30:33 in the joint experts' statement that gas
13:30:36 trading is a
13:30:36 distinct and separate product market. As I mentioned,
13:30:39 there is no contradiction in relation to TPH because
13:30:42 TPH is certainly much more involved
13:30:45 evolved than VTP and Croatia and of course, VP in
13:30:48 Croatia can follow the same destiny in the future but quite
13:30:52 distant future. And in the present
13:30:56 case, Dr Riechmann confirmed that
13:30:57 he did not make any determination for Croatia and
13:31:00 Hungary. He made a determination for Croatia and
13:31:04 Hungary only, but not for Dutch TTF price. So the
13:31:07 dominance of the respondent at the Dutch
13:31:10 TTF has not been moving further. We can probably skip skip this. Madam
13:31:21 Chair, how much time do I have left? 2
13:31:24 minutes. Okay.
13:31:25 MR HOLLAND: 3. 3.
13:31:26 MS SOLDATENKOVA: Yes. I will just briefly address the
13:31:30 modification and why modification is not unlawful.
13:31:33 If. Even if the tribunal establishes an abuse of
13:31:36 dominance. Well, 1st of all, before the tribunal can
13:31:40 even establish that abuse of dominance, which claimant

13:31:43 allergies the tribunal would need to consider. The
13:31:46 state action defence which respondent raised in the
13:31:48 present case. Now the doctrine. This doctrine
13:31:52 applies under article 102 of the treaty, and it
13:31:56 also applies to states outside the European Union.
13:31:58 If you move to the
13:32:00 next
13:32:02 slide. The tribunal can see a brief
13:32:04 summary of PPD arguments why this doctrine does not
13:32:06 apply, and basically what PPD suggests that there was
13:32:09 a margin of discretion with
13:32:11 which we disagree, for the reasons which were
13:32:13 explained by my colleague. And the same goes to the
13:32:16 exemption which was covered during the opening. If we
13:32:19 move further, there is also a civil law point, so to
13:32:23 say why this argument cannot be raised. The reason for this is that for the 1st
13:32:28 time,
13:32:29 claimant raised this ground for invalidity
13:32:31 of the modification on the 23rd of
13:32:35 December 2022. There is, as a tribunal
13:32:37 should be now aware, claimant had alternative
13:32:40 sources of supply starting from at least
13:32:44 November 2022.
13:32:45 So even if there was any abuse of
13:32:47 dominance with the claimant, certainly

13:32:49 claimant was no longer dependent on the respondent. In
13:32:54 November 2022. Now, if you can
13:32:57 just scroll further. Perhaps one
13:33:03 last point before I pause. So Mr Fulvus
13:33:05 counterfactual model was something which was heavily
13:33:08 relied upon by claimant as claimant suggested,
13:33:12 like the only model of the market situation which would show that respondent is for some
13:33:18 reason
13:33:18 responsible for the price developments on the market.
13:33:20 Now, what's really important to consider about that
13:33:23 model was in fact admitted by Mr Fulwood is that this
13:33:26 is not a counterfactual against respondent.
13:33:29 This is a
13:33:30 counterfactual with respect to volume deficit on the
13:33:33 market in general. So even if 10 bcm would
13:33:37 come
13:33:37 not from the respondent but from some other parties,
13:33:41 say
13:33:41 from LNG supplier from Asia, well, the
13:33:45 result would be the same because under
13:33:48 Mr Fulford's model 10 bcm decreases the
13:33:51 prices. And it doesn't matter whether this comes from
13:33:54 the respondent or from the claimant. And there is a
13:33:57 separate slide. But I will pause here which explains
13:34:00 that actually none of the experts which were engaged

13:34:03 by claimant on this matter and tasked with different
13:34:05 aspects of its supplemental claim, none of those
13:34:10 experts established an abuse of dominance or a
13:34:12 breach.
13:34:13 All of them just considered an impact or an effect of
13:34:17 the respondent's conduct on the market. This would end my submission due to time
13:34:21 constraints, but further in this
13:34:22 presentation, the tribunal can see
13:34:24 some additional details on
13:34:25 competition law claim and some slides on damages,
13:34:28 which I think we discussed so extensively that I
13:34:30 wouldn't even go there today.
13:34:32 MR HOLLAND: Thank you very much, counsel, for this
13:34:35 presentation. We will now take as. Decided to take a. It says
13:34:47 20 minutes. Let's. We. We want to have the lunch
13:34:57 break. How would the parties want to to continue. Do you
13:35:03 want to have a one-hour break before we meet
13:35:07 again?
13:35:08 As you can see, respondent is of the opinion that
13:35:12 lunch break is appropriate now. Claimant.
13:35:14 MR HAUGENEDER: We have no objection against that.
13:35:16 PRESIDENT: Very good then. And we're very happy to have
13:35:19 a lunch break now, but let's make it maybe 45
13:35:22 minutes. Okay. 1 hour, one hour, one hour. We will resume at 235. 235.
13:35:31 MR HAUGENEDER: Madam President, yes. Before we we we

13:35:35 take the break, we would just like to put one thing on
13:35:41 the record during Mr c's presentation, there were
13:35:46 various statements and accusations about orchestrating
13:35:50 witness
13:35:50 evidence, manipulating the evidence intentionally
13:35:56 misleading the tribunal.  We reject these accusations in the
13:36:03 strongest terms, and we find the language that was used totally inappropriate
13:36:11 and unnecessary.
13:36:15 PRESIDENT:  Respondents reply and statement is duly
13:36:19 noted.  Claimants.  Claimants.  Thank
13:36:24 allergies.
13:36:25 Thank you.  13235.
14:33:05 PRESIDENT:  So welcome back.  We're now opening a
14:33:07 procedural hearing procedural conference.  This is
14:33:11 mismanagement
14:33:11 conference number 3.  If I'm not wrong, we have
14:33:14 two
14:33:14 matters on our agenda.  First, tribunals questions.  So
14:33:20 at this point, the tribunal has no questions to
14:33:23 share with the parties.
14:33:25 We are going to ask you questions as to
14:33:28 procedural matters.  And there are two main.  Items on
14:33:34 our agenda.  First claimants, which I
14:33:36 used to call option three
14:33:38 application.  Now it is called it is named

14:33:42 split award
14:33:43 application. So we will hear the claimant's
14:33:46 application in this respect and we'll hear the
14:33:50 respondents views. The 2nd point on the agenda is the post
14:33:56 post-hearing procedural steps
14:33:58 procedural matters. Those are
14:34:00 the two main items. But maybe, claimant, you have you
14:34:05 would like to add something to the
14:34:08 agenda.
14:34:08 PRESIDENT: No thank you.
14:34:10 MR TALANOV: Responded no thank you.
14:34:12 PRESIDENT: Claimant, would you like to start with the
14:34:16 split award application?
14:34:18 PRESIDENT: Yes.
14:34:19 PRESIDENT: You mentioned this morning, which is
14:34:21 maintained. We understand.
14:34:24 PRESIDENT: The. We refer to the application that we
14:34:26 already made and we maintain it. We. We maintain it for the, the, the
14:34:35 reasons we set out in, in the
14:34:38 application. In addition, we would like to stress the
14:34:45 following. If you. If you go to pages 139, 140, 141
14:34:57 and 143 of our of our presentation of today, this is the
14:35:01 table that we have already shared with the
14:35:05 tribunal. You will see how many variables there are. And some of
14:35:11 those, many of those

14:35:14 have been addressed
14:35:16 in the examination of the
14:35:18 experts. Now, we believe it is efficient and
14:35:29 fair for
14:35:29 the parties to allow to address them all aspects of quantum to 1st determine in a in a
14:35:40 1st award, which. So to say, on which side you decide for each of these variables, because
14:35:50 otherwise in our post-hearing
14:35:52 submissions we will face the quite substantial problem
14:35:58 that we will have for any possible combination, we will
14:36:04 have to specify quantum because we don't know in
14:36:08 which direction you might go on on each of these
14:36:11 variables. So the matrix for a
14:36:15 decision on
14:36:16 quantum is is, is quite complex. And therefore we suggest that
14:36:23 it
14:36:24 is
14:36:25 efficient to 1st plead the. And decides the principles of of quantification
14:36:37 which we submit should be these
14:36:41 variables that that you see here. And then after that
14:36:45 has been determined in an award on liability and on principles of quantum
14:36:53 calculation to
14:36:56 actually submit the the. Full the full calculation of
14:37:04 the,
14:37:05 of of the quantum of the party's claims based on, on your decision,
14:37:10 because

14:37:11 otherwise we would be facing the, the
14:37:16 problem
14:37:16 that we would have to address all possible sorts of, of
14:37:22 combinations of, of quantum, which would take
14:37:28 significant time to address in, in post-hearing submissions and,
14:37:34 and will also
14:37:36 involve a lot of unnecessary work for the experts who
14:37:40 will,
14:37:41 will have to perform quantum calculations that ultimately will not be retained and not be used in an
14:37:50 award. So we,
14:37:52 we suggest and submit that in addition to the
14:37:58 fairness and, and due process arguments that we have
14:38:01 already submitted, and I'm not going to repeat them
14:38:02 here. But in addition, in addition to this efficiency
14:38:08 considerations militate in favour of of having this split award
14:38:15 and
14:38:15 then in a, in a 2nd phase update, the quantum calculations
14:38:22 based on the 1st decision, only submit an updated
14:38:31 quantum calculation for this 2nd phase and then have an award on quantum, which we believe will be
14:38:41 this. This will involve significantly less effort because it will. It
14:38:46 basically only concerns the actual quantification.
14:38:49 The experts may still disagree on how to calculate
14:38:54 certain parameters, but we believe that the the differences
14:39:00 between the experts should be very, very
14:39:04 considerably narrowed down. If if this approach is

14:39:09 adopted.
14:39:13 PRESIDENT: Let me ask you two questions. First
14:39:19 question. At this point in time, have those.
14:39:24 Have the experts on quantum completed a full determination or
14:39:31 assessment of the quantum.
14:39:34 MR HAUGENEDER: They have, but not. Of course not. Not
14:39:38 for all variables, because the experts have retained
14:39:42 those
14:39:43 choices which they were of the opinion are
14:39:48 appropriate. So if there is a full quantification of our of all
14:39:52 our claims on the record, and sometimes there are also
14:39:57 alternative calculations. But what is not on the record is
14:40:02 a full alternative calculation of all
14:40:06 possible combinations, because that is simply too
14:40:08 complex.
14:40:10 PRESIDENT: The 2nd point is this becomes relevant
14:40:15 when the tribunal reaches the point of examining the
14:40:22 disputed quantum parameters. That means, in the work
14:40:27 of the tribunal, whether
14:40:30 it is reasonable or fair or appropriate to split the
14:40:36 dispute into two awards, it is to be actually examined
14:40:44 upon the determination of any principles or of
14:40:52 liability and entitlement to damages. What you're
14:40:56 asking us to do, if I understand, is
14:40:59 to make a determination on a split award before we

14:41:06 receive the posturing submissions and before we
14:41:11 actually deliberate on jurisdiction liability and
14:41:14 quantum.
14:41:16 MR HAUGENEDER: We we suggest that the tribunal makes a
14:41:21 decision in principle on, on, on the split award
14:41:25 application as soon as possible. And we would suggest within 28
14:41:30 days,
14:41:33 because that will not not whether not not on the
14:41:37 determination of, of, of the the the substance, but simply on whether the post-hearing briefs should deal
14:41:48 with
14:41:49 issues of
14:41:52 liability and principles of quantum, and then leave out the
14:41:58 actual
14:41:59 calculation, the actual determination, or whether the
14:42:03 post-hearing briefs should deal with all aspects of
14:42:07 the case, because that would be a quite significant task,
14:42:11 because then we would have to not only address all
14:42:15 these variables, but we would also have, and the
14:42:17 experts would also have to submit a detailed
14:42:24 calculation of all possible combinations of, of,
14:42:31 of
14:42:31 parameters.
14:42:44 PRESIDENT: Okay. You have answered my my 2nd question.
14:42:46 So I had two questions, but you have answered my 2nd
14:42:50 question. Before we hear the respondent, let me

14:42:52 invite my co-arbitrator if they have any questions,
14:42:56 because what you're asking us is to make, within the coming weeks,
14:43:02 a determination on split of issues to be
14:43:08 determined without having examined the posturing
14:43:13 submission, without the benefit of the
14:43:16 post-hearing
14:43:16 submissions, because you need that determination, if I
14:43:20 understand your views correctly, to complete to
14:43:25 determine whether you are going to deal
14:43:27 with this in your post-hearing submissions.
14:43:30 MR HAUGENEDER: We are going to deal with the principles
14:43:33 of quantum calculation. In any event in the
14:43:38 post-hearing submissions, what would be an
14:43:44 additional significant effort is
14:43:48 not only to decide on the principles, but also to
14:43:53 actually calculate the numbers for each possible
14:43:58 combination. Because what we have so far is a calculation of
14:44:04 our claim, where certain certain of these parameters are
14:44:10 decided in one or the other direction, and the parties
14:44:13 disagree on those points. So we believe the the actual calculation. If you,
14:44:20 for instance, say on this point I go with the
14:44:22 respondent
14:44:23 on this, I go with the claimant, then it will be
14:44:28 very
14:44:29 difficult for the tribunal, we believe, to make an

14:44:33 actual calculation of the outcome.
14:44:36 PRESIDENT: Then this is clear. Let's hear the
14:44:38 respondent.
14:44:39 MS SOLDATENKOVA: Members of tribunal. We maintain our
14:44:41 objection to this application, which should properly
14:44:44 be qualified as a bifurcation application, because
14:44:46 there is no separate notion of a split award, and
14:44:49 ☐202603270117 there are several points in this respect which give
14:44:51 rise to our objection. First of all, just a
14:44:54 procedural observation. This is the 2nd bifurcation
14:44:57 application which is submitted by the claimant very
14:45:01 shortly before before the tribunal proceeds to
14:45:04 actually start considering the dispute to render the final award. The previous
14:45:09 application, as the
14:45:10 tribunal would recall, was made
14:45:12 shortly before the CMC on the 17th of February 2026, and
14:45:17 the basis was completely different. The basis was
14:45:19 that claimant was concerned. Claimant
14:45:23 was concerned about the prospects of annulment of the
14:45:26 arbitral award, and for that reason, claimant
14:45:28 asked the tribunal to render an arbitral
14:45:31 award without quantum specifically to be able to seek annulment of that award without paying
14:45:38 an elevated
14:45:39 court fee. Now the base is shifted. Now the basis seems to be the issue
14:45:43 of quantum solely, and

14:45:45 there is quite a detailed submission in the slides
14:45:47 in
14:45:47 this respect. And this brings me to the 2nd point,
14:45:51 which is that this further application still does not
14:45:55 meet the grounds for
14:45:57 bifurcation, which are primarily cost
14:46:00 efficiency and procedural efficiency and time efficiency. And in the present case, these proceedings have been running
14:46:07 for quite a lot of time,
14:46:09 so to say, and the parties have exchanged substantial number of submissions,
14:46:14 and the experts have prepared a joint
14:46:18 statement both on the contact limb and in the claim.
14:46:20 So the experts had an opportunity to try to reach
14:46:23 an
14:46:23 agreement. But the experts, as the tribunal could
14:46:26 see, could not reach an agreement on many issues.
14:46:29 And
14:46:29 the problem here is inherent within the claimant's proposal that in every arbitration, the experts would have
14:46:36 different views on the methodology and on the
14:46:38 quantum. This is completely natural and this is not
14:46:41 a
14:46:42 reason to bifurcate the proceedings. After all, the
14:46:45 associated
14:46:45 costs were already incurred
14:46:48 and we also we share the concern that if the tribunal
14:46:52 is to determine the bifurcation issue before

14:46:54 considering the post-hearing briefs, which would definitely reflect the evidence
14:46:59 given during these hearings, that would
14:47:01 clearly be prejudicial and generally, we do not see a
14:47:07 basis here for any split award. Now, as I mentioned,
14:47:12 the experts try to reach agreement on methodology.
14:47:15 They try to reach agreement
14:47:17 on quantum essentially, but the experts hold their views. Maybe
14:47:22 my colleague has something to add.
14:47:24 MR TALANOV: Yes. There is just one more issue that I
14:47:28 think should be relevant and it has has been just
14:47:32 emitted already by the counsel for the claimant.
14:47:37 There has
14:47:38 already been all calculations made and they are
14:47:40 already on the record. And therefore, even if the
14:47:45 experts would have any guidance as to the same
14:47:49 principles as the claimant calls it, it will not change the
14:47:53 calculations effectively. And I am afraid
14:47:56 that yet again, those issues of economic
14:48:02 expertise is
14:48:03 not something that the tribunal may
14:48:08 decide on itself. I mean, without the assessment
14:48:11 of those reports that are already on the record.
14:48:15 So
14:48:15 to our understanding, both teams of experts
14:48:19 have provided all possible evidence and documents and

14:48:24 all calculations they considered possible, available.
14:48:28 And therefore, in this format, we really don't see any
14:48:32 value in doing that to the benefit of the tribunal.
14:48:35 MS SOLDATENKOVA: Sorry, I forgot two additional points
14:48:37 in this respect. So the tribunal would also recall
14:48:40 that there was a
14:48:40 bifurcation application from the respondent at the
14:48:43 outset of this proceedings, and we believe that that
14:48:45 was the appropriate moment to also submit a request to
14:48:48 have a split award or essentially bifurcation
14:48:52 application. This is usually determined at the
14:48:54
14:48:55 outset, and in relation to the potential concern
14:48:57 that the
14:48:57 tribunal would not have a number to include into
14:49:00 the award, because the tribunal chooses a methodology which was not calculated, it's
14:49:06 not a reason to split
14:49:07 the award. The tribunal could potentially invite the parties to make
14:49:10 a submission on this very limited
14:49:12 basis, to basically provide a calculation that
14:49:16 probably ends the points which we wanted to raise.
14:49:23 PRESIDENT: Well, I have two questions. The claimant has
14:49:27 referred to the table of disputed quantum parameters,
14:49:30 which been made available to everyone since the last
14:49:35 hearing on February 17. Do you have any comment on on these disputed this list of disputed quantum

14:49:45 parameters. Do you agree or do you
14:49:49 disagree on each of these heads of items under each
14:49:52 head of claims and counterclaims? Thus, these are relevant
14:49:59 disputed parameters.
14:50:03 MS SOLDATENKOVA: Members. We did not participate in the
14:50:07 so to say, preparation of the table. We did not until
14:50:10 today know that that would be the basis basically for
14:50:13 the new bifurcation application. So we did
14:50:15 not review it. I would say to a sufficient
14:50:17 extent to comment on it immediately.
14:50:20 PRESIDENT: Because this was submitted together with
14:50:23 option three, you remember. So that was a bit
14:50:25 understand that on 17 of February it was not you had
14:50:31 no chance to review it. Now the the application is
14:50:35 maintained today. So what is important at some stage
14:50:41 is to the tribunal to know whether on each of these
14:50:45 items you agree or you disagree, that these are
14:50:49 disputed quantum
14:50:50 parameters that needs to be addressed by the tribunal.
14:50:52 Now, I understand it was prepared by claimant,
14:50:59 but at some point we need some
14:51:01 methodology
14:51:01 within the tribunal. So you may disagree
14:51:04 as to whether these parameters should
14:51:06 be decided in

14:51:09 later or at a earlier, but you may have a view on what is
14:51:15 supporting the
14:51:15 claimant's application.  Maybe it's too early this
14:51:18 afternoon, but so that that is a
14:51:23 question the tribunal
14:51:24 has.
14:51:25 MS SOLDATENKOVA:  So we are ready to comment if that is
14:51:28 helpful to the tribunal on this table in more detail,
14:51:31 but we would prefer to do this in writing if possible.
14:51:33 But I I'm actually told by the expert team of a very
14:51:37 important point that in relation to the calculation,
14:51:39 the general concern that claimant raises, that in
14:51:42 fact, those workbooks, the workbooks which experts
14:51:46 submit together with their reports, those Excel
14:51:48 sheets, they have an option where you can adjust the
14:51:51 calculation depending on different parameters.  So
14:51:54 basically, if the tribunal disagrees, for example,
14:51:57 with one element of the methodology, it can simply
14:52:00 switch in this Excel sheet, this parameter, it can
14:52:03 switch it off, or it can apply an additional parameter.  Essentially the workbooks, at
14:52:09 least on our
14:52:10 side, I understand already provide for this option.
14:52:19 PRESIDENT:  The 2nd point I would like to ask you has to
14:52:23 do with the timing of the tribunal's decision, because
14:52:26 the tribunal will have to make a determination on

14:52:29 whether to to render a partial award and to split the
14:52:35 final decision into one or two award. I mean, to to
14:52:38 split it or not. What is your view on the timetable
14:52:46 submitted on slide 137? That was just explained to
14:52:51 the tribunal.
14:52:52 MS SOLDATENKOVA: Just a moment. We will double-check
14:52:54 the data.
14:52:59 MR TALANOV: So the proposal of the claimant is for that
14:53:02 to be determined within 28 days, as we understand.
14:53:06 Well, as we said, we believe it would be prejudicial
14:53:10 to decide that prior to the post-hearing submissions
14:53:14 filed, and we believe that the parties could
14:53:19 potentially try to reach some solution or maybe narrow
14:53:23 down the issues on that and have that filed together
14:53:27 with the post-hearing submissions potentially, and
14:53:30 then afterwards, the tribunal, in any case, can make
14:53:34 directions to the parties that it deems necessary if
14:53:37 something would be missing.
14:53:39 So that could
14:53:39 be an
14:53:42 option.
14:53:44 PRESIDENT: Reply. Do you have any questions?
14:53:46 MR HAUGENEDER: I'm just not certain if you would be so
14:53:49 kind to perhaps re-explain your proposal. I'm not
14:53:52 sure I fully understood its content, so.

14:53:57 MR TALANOV: I believe that the post-hearing submissions
14:54:01 shall be prepared together with the post-hearing
14:54:03 submissions, parties can explain further views and
14:54:08 proposals with respect to this issue. And in
14:54:12 parallel, while preparing the post-hearing
14:54:14 submissions, the parties may try to reach some common
14:54:18 ground and try propose some common vision of this kind
14:54:23 of a table or methodology, as we call it. And then
14:54:27 having observed the post hearing submissions and that
14:54:30 additional document, the tribunal may call a CMC or
14:54:35 decide how to proceed best further.
14:54:38 PRESIDENT: Claimant.
14:54:39 MS SOLDATENKOVA: Thank you.
14:54:40 MR HAUGENEDER: First of all, to to clarify, we have made
14:54:45 the application long ago and also this table is long
14:54:51 before the tribunal and also the respondent has this
14:54:54 table for some time. So this is still the same
14:54:57 application. This is not a new application. And and
14:55:00 we believe it could have been addressed. And I think
14:55:04 that was the initial planning of the tribunal.
14:55:11
14:55:11 Second, the absence of agreements on the parameters between
14:55:19 the experts and the parties is actually, in
14:55:23 our view, a reason why the the proposed approach is
14:55:29 reasonable, because it is true. Part

14:55:34 experts sometimes often disagree on on methods and
14:55:39 principles as well as on calculation. But there are few
14:55:44 cases where there are so many parameters which are so
14:55:50 difficult to determine. Third, there is we do not fully understand how the. How
14:56:02 how the respondents proposal should work in practice
14:56:05 because if we now make if we now make a submissions on liability and quantum principles and. The tribunal
14:56:19 should then give directions what to calculate. This is, in
14:56:25 essence a
14:56:27 decision on. On the substance of these disagreements between the parties so that we believe
14:56:32 can as well
14:56:33 be
14:56:33 made in an award. And it will then also have the the, the
14:56:38 additional benefit that this issue is then
14:56:42 determined and may not be reopened because it is
14:56:47 Decatur. And lastly, on complexity, we strongly disagree
14:56:56 that that it would be possible for the
14:56:59 arbitral tribunal to calculate the. The quantum based
14:57:04 on the workbooks submitted by the experts and
14:57:09 Mr Holland will address you on this point further.
14:57:13 MR NEFEDIEV: We have two points to make on complexity in
14:57:16 a billion dollar gas dispute. And could we 1st go to
14:57:20 one of the documents that the respondent admitted to
14:57:24 the record as a demonstrative. During this week's
14:57:28 hearing? It is RED-40. And what that is, is an
14:57:34 updated chart from the quantum

14:57:36 experts Fidem. And it was submitted for the purpose of showing what we
14:57:43 call a a waterfall. That is a way
14:57:52 of
14:57:52 showing on a graph the impact of different variables.
14:58:11 MR HAUGENEDER: We're trying to show the document.
14:58:38 MR HOLLAND: So this is the document to explain what this
14:58:40 is. This is an updated
14:58:44 worksheet to respondents. Quantum experts. Quantum
14:58:51 report. And the worksheet was submitted to allow
14:58:58 what
14:58:59 appears to be at 1st impression, a helpful way of showing the
14:59:07 interrelation between on the left-hand side,
14:59:12 Mr Way's calculation of the correct outcome on the
14:59:19 right respondents counter to that, and the steps
14:59:23 of
14:59:24 the different variables in. In order to get
14:59:28 there.
14:59:29 And I said that this seemed on 1st impression to be
14:59:35 helpful. But if you look at the small text underneath
14:59:43 this graph, it reads, for the avoidance of
14:59:46 double counting, the adjustments are presented with a
14:59:50 cumulative effect.
14:59:52 Therefore, the effect of each adjustment also includes the results of
14:59:56 the previous adjustment and may not
14:59:59 correspond to the individual effects, ie, without

15:00:04 other adjustments applied which were described in
15:00:07 the
15:00:08 in paragraphs above. And so this helps to explain how
15:00:14 hard it is to isolate the correct number when. In
15:00:21 order to arrive at that number, you take a series
15:00:25 of
15:00:25 decisions, one after the other, where the
15:00:29 sequence and
15:00:30 outcome of each binary choice is, is impacts on,
15:00:35 on,
15:00:35 on the other. And so even this table, which is the
15:00:41 height of the party's ability to assist you in
15:00:46 isolating the economic effect of the choices you must make, is incapable of telling you, without help from
15:00:56 the
15:00:56 experts. Further, what the outcome of your sequence of
15:01:04 choices will be. So and
15:01:06 this is common in. In cases like this. And our 2nd
15:01:13 submission. By the way, this is that was obviously just one input.
15:01:20 It was one
15:01:21 element of the case. But if you go back to perhaps
15:01:26 the table from the opening this morning, our opening
15:01:30 this morning, supporting the split award. And a page 100 and. 40. So what, for example, would be the effect of at row 10, deciding that the volume of gas
15:01:57 to calculate PPD's loss would be,
15:01:59 let's say, in
15:02:00 favour of respondent 86 per cent plus that damage.

15:02:07 Looking at row 14. Looking at the date of of assessment and the date of
15:02:16 discounting, let's say it was the date of the
15:02:20 award, which is what claimant
15:02:23 says. Plus, if you go down to row 16, that's on page 1 for 1
15:02:33 set of. So
15:02:34 let's say the set off applies, but not retrospectively
15:02:40 for example. And, and and so on and so forth. So the,
15:02:46 the the overall
15:02:50 ability to reach a
15:02:54 known number, a fee certain in this case,
15:02:59 without assistance from the experts and the parties.
15:03:06 Should not be underestimated. And we, we challenge respondents view that this part of the
15:03:17 case could
15:03:18 proceed so smoothly when. For the last four
15:03:22 years there has been little agreement between them.
15:03:29 PRESIDENT: Let me ask you a question. On the parameters
15:03:37 that apply to the counterclaim. Which is on
15:03:47 slide 143. Loss of future profit item two
15:03:53 whether article 10 and 11 of the regulations are
15:03:57 applicable, such as no damage arise or whether the
15:04:01 mechanism becomes inoperative on 12 June as a
15:04:04 result
15:04:05 that no damage apply there. In that table.
15:04:08 There is
15:04:09 no reference to any expert quantum determination, is

15:04:14 there?
15:04:14 MR HOLLAND: Well, let's think about this. So if you
15:04:19 were looking at the counterclaim, the tribunal's
15:04:22 choice would be that the claimant was in breach of the
15:04:25 contract. And and so you would be considering whether
15:04:31 the claims were prevented or not to be satisfied. And
15:04:36 you would be considering other issues like that. But
15:04:40 you would also have, at least on one scenario. A
15:04:47 finding that there might be damages due under the
15:04:51 separate claims
15:04:51 under the market manipulation
15:04:54 claims.
15:04:54 Then even in that scenario, it would be
15:04:58 necessary to establish that amount, whether it
15:05:00 should be set off, the date of which set off
15:05:04
15:05:04 should, should apply, and so on. And so, whilst it
15:05:11 may appear that some of these are binary, there are
15:05:17 others that are not or force majeure. For example, when was force
15:05:21 majeure? The 1st of April is
15:05:25 contended
15:05:25 for. The 31st of October is contended for. The 19th
15:05:30 of January 2023 is contended for. And.
15:05:35 PRESIDENT: And that's a factual determination to be made
15:05:37 by the tribunal, is it not?

15:05:39 MR HOLLAND: It of course, but the quantum impact of that
15:05:44 may be relevant because if force majeure took took
15:05:47 effect on a certain date, damages would have accrued
15:05:51 and interest and on claim on respondent's case
15:05:54 penalties would have accrued and interest on the
15:05:57 penalties would have accrued and interest on interest.
15:06:00 PRESIDENT: Would I hear you on the interest point? But
15:06:03 we agree that, for example, on the counterclaim table
15:06:07 there's no reference to any expert disagreement on
15:06:13 quantum on the calculation of the quantum that might
15:06:15 have. There are implications, of course, on interest.
15:06:19 But in the table you provided. We don't see this.
15:06:23 MR HOLLAND: Well for the counterclaim where you'll have
15:06:25 heard our submissions that there is very. There is no
15:06:31 evidence on which the counterclaim should succeed.
15:06:36 The lost profits counterclaim, it's it's respondent's
15:06:40 burden. Were you to be looking at the counterclaim,
15:06:43 to have established the reasonable steps to mitigate
15:06:47 and to therefore have established the loss which can
15:06:51 be claimed under CISG 77 and so were you to find for
15:07:00 respondent in the scenario suggest you suggest if you
15:07:04 were not able to calculate that amount because of an
15:07:08 absence of data, not an absence of of mathematics, but
15:07:14 an absence of data, then that is a that is a different
15:07:18 matter.

15:07:18 PRESIDENT: I think. My, my, what I wanted to point to
15:07:22 is to try to identify in that tables disputed points
15:07:27 that were a matter of actually disputed quantum that
15:07:32 needed further elaboration rather than. Determination
15:07:42 of either entitlement or breach or entitlement to
15:07:47 quantum. So I try to to see where the fine line goes
15:07:51 as I see it, when there is a reference to the expert
15:07:55 report, it looks very clear to me. It looks less
15:07:59 clear when you refer to submissions, for which it
15:08:03 seems that you have not relied either party on quantum
15:08:09 expert determination for the calculation of these
15:08:11 issues. So that was all my my concern. So it seems
15:08:15 to apply for all the claims for historical damages,
15:08:21 future damages and GTA damages. If the line is less easy for me to
15:08:27 see for the market manipulation claim,
15:08:30 in view of the tables provided and the counterclaims that that that's when I when I look at the references.
15:08:39 MR HAUGENEDER: Maybe maybe two observations on that 1st.
15:08:41 PRESIDENT: And then I'll invite, respond.
15:08:43 MR HAUGENEDER: On, on, on the claims. Of course, we
15:08:47 have provided these calculations and the calculations
15:08:50 are referenced in our submission. So we have not each
15:08:54 time made cross references to the experts position as
15:08:58 well. So if you go to the submission there, you will find
15:09:03 a
15:09:04 reference to the expert reports. And then as, as,

15:09:07 as we said before it, there are so
15:09:12 many combinations. For instance, if
15:09:14 you look at force majeure, the question is what legal
15:09:18 consequence it flows from from force majeure is can any party. And from when on, can a
15:09:29 party claim damages. If there is
15:09:31 a force majeure
15:09:33 event and for which duration. So for
15:09:37 that we have. We. It is practically not possible to.
15:09:46 To make alternative calculations for all the possible
15:09:52 scenarios that could arise from the parties pleadings.
15:09:57 PRESIDENT: I have another question because it's a
15:10:00 follow-up question. Then we'll hear the respondent in
15:10:04 your option three application. I will read it here.
15:10:07 It was like 27. Sorry, I thought it was February, but
15:10:09 actually the hearing was on January 13. It is stated
15:10:14 on slide 27. Option three. The tribunal decides in a 1st award only all
15:10:21 liability issues under principles
15:10:24 of quantification, but not the actual quantum. The award on quantum is made after a potential court review of the
15:10:34 1st award, and is
15:10:36 limited to the quantification of the monetary
15:10:41 claims.
15:10:41 So do you still maintain this as a ground for your
15:10:44 application?
15:10:45 MR HAUGENEDER: We still maintain this, but already in in
15:10:48 the last procedural hearing, we made the point that

15:10:53 this is a possibility to allow the parties to
15:11:02 factually make such a court to apply for such a court
15:11:05 review at at a reasonable cost, otherwise the costs
15:11:10 would be prohibitive. That having said that, nothing.
15:11:16 There is. We cannot predict whether any party will
15:11:20 make such a. A request to the courts. So this. The.
15:11:27 This split award would give the parties the
15:11:31 opportunity to make such an application to the courts.
15:11:37 But of course, the decision as to whether to proceed
15:11:41 with the arbitration and when to proceed is entirely
15:11:46 yours and is within your control. But the parties
15:11:49 would. Both parties would have the opportunity to make
15:11:55 the. To to apply to the courts and not have to pay exorbitant court fees, but that that that is a
15:12:05 fairness argument. But we also submit that these
15:12:12 efficiency
15:12:14 arguments that we
15:12:15 have now submitted are
15:12:17 also. And on top of that, compelling.
15:12:21 PRESIDENT: Thank you. This is clear responded.
15:12:24 MR TALANOV: Yes, I would start a few points that I
15:12:27 wanted to make in response to the arguments by the
15:12:32 learned colleagues. There was a reference to this
15:12:36 document Mr Holland was showing. However, I would
15:12:40 need to refer to a document called r30380. It is not
15:12:46 only that demonstrative that is there, but it also

15:12:50 gives. Spreadsheets with individually accounted
15:12:56 aspects determined. There are.
15:13:01 MS SOLDATENKOVA: Yes, there is a field titled control,
15:13:04 namely where you can apply all those filters and see
15:13:08 the combinations. So the waterfalls are no more than
15:13:10 just an illustrative example, of course, when I was
15:13:13 referring to a possibility to determine different
15:13:17 quantum modes, I was not referring to that waterfall.
15:13:20 I was referring exactly to the control field.
15:13:23 MR TALANOV: So the experts have already done that work
15:13:25 and it is available. Second, with respect to the
15:13:31 interest calculations and some of the other things
15:13:32 raised by the claimant, we believe that it is typical
15:13:37 of any arbitration and the arbitral tribunal is fully
15:13:41 equipped to do that. It does not require any
15:13:44 additional involvement of experts. And then there is
15:13:49 one more thing that I wanted to make to make clear it
15:13:52 has been agreed between the parties and also confirmed
15:13:55 by Dr Koller in this arbitration that in accordance
15:14:00 with paragraph 273 of the Austrian code of Civil
15:14:07 procedure, there is a clear rule with respect to
15:14:11 circumstances when the tribunal is called to decide on
15:14:15 complex matters of quantification of damages, and it
15:14:20 clearly says, I will read it, that if it is
15:14:23 established that a party is entitled to compensation

15:14:26 for damages or interest, and that it has another
15:14:29 claim, but proof of the disputed amount of the damages
15:14:32 or interested to be compensated, or the claim itself
15:14:35 cannot be provided at all or only with
15:14:38 disproportionate difficulty. The court may, upon
15:14:41 application or ex-officio, even disregard evidence
15:14:45 offered by the party, determine this amount according
15:14:47 to its own conviction. So the applicable procedural law
15:14:51 is also contrary to the proposal of the claimant.
15:14:56 And lastly, we strongly believe that it is. Related to
15:15:03 get to this point. Now, given that we already
15:15:08 incurred costs on several fee reports, several
15:15:12 Mr Way's reports to be reports,
15:15:15 and therefore there is
15:15:18 no cost efficiency in this approach. And clearly it is
15:15:24 in a way, an issue that needs to be also taken into account given the
15:15:29 length of the proceedings and the
15:15:32 concerns that we raised with respect to the reduction
15:15:38 of
15:15:38 assets available to the respondent on the side of the claimant. And in any
15:15:45 case, it is the burden of
15:15:47 proof of every party to demonstrate, with ample evidence, all
15:15:55 necessary heads of claims and explain the calculation
15:15:59 of it.
15:16:00 Therefore, if the parties following so many reports

15:16:04 submitted failed to meet this burden of proof, we would not consider it
15:16:08 ☐202603270136 prudent to give the parties
15:16:10 any further chances to do that, and especially given there is a
15:16:16 part of the claim of GPE that is three more
15:16:21 than 300 million which is not disputed and it's in any
15:16:24 case, there. So we believe that the parties had ample
15:16:28 opportunities to present their case.
15:16:29 MS SOLDATENKOVA: To be precise, the number is
15:16:33 455 million, because that is both the unrepaid debt
15:16:36 and the penalties, which are not disputed by the other
15:16:39 side in terms of quantum, they are disputed in terms
15:16:43 of claimant's reference to other grounds, why those
15:16:46 amounts should not be repeated, but not quantum. And
15:16:49 one last point perhaps we also do not understand the
15:16:52 references of claimant to the need to address quantum
15:16:55 exhaustively in the post-hearing briefs,
15:16:58 because respondents understanding was that a post-hearing brief is a submission which
15:17:02 does not add anything new
15:17:03 to the party submission, but rather, of course, take
15:17:06 stock of the hearing. But we did not understand it to
15:17:10 be the evolution of the position.
15:17:15 MR HAUGENEDER: Could could we please reply on this new
15:17:18 point on on additional.
15:17:20 PRESIDENT: Yes.
15:17:22 MR HAUGENEDER: 237 of the Austrian civil procedure code.

15:17:25 First of all, it's not part of the arbitration law.
15:17:30 So it does not and certainly not directly apply in
15:17:35 this arbitration.  And secondly.  Second, even if it
15:17:38 were to apply, it applies when the quantum of a claim
15:17:45 can not be proven or only be proven with
15:17:48 disproportionate efforts.  And we submit in a
15:17:53 (600)000-0000 euros case, parties
15:17:58 and tribunals must make efforts to base the the quantum decision not on
15:18:06 an estimate, because this is a provision to
15:18:09 estimate quantum, but on actual evidence and actual
15:18:14 calculations.  And we submit that these that these
15:18:19 calculations can be made with the
15:18:24 support
15:18:25 of experts.  The 2nd point is on evidence, we do not
15:18:30 suggest to open open the the evidentiary record.  We
15:18:35 submit that the evidence taking should be closed.  But
15:18:41 still the calculation of quantum is so
15:18:48 complex that that it is
15:18:52 only with great difficulty possible to calculate all
15:18:57 variables, and on.  And, Mr Holland, we would just
15:19:02 like to make one final point on.  On the graph that
15:19:06 we've seen from the respondent's.
15:19:09 MR HOLLAND:  Thank you again, just on the variables.  So
15:19:14 the waterfall that we were showing to you a moment
15:19:19 ago, RED-40 had four parameters.  And depending on the

15:19:29 sequence in which
15:19:31 you select those parameters, there are 24
15:19:38 separate outcomes yielding different
15:19:41 results depending on the sequence. It's like a
15:19:44 combination lock. Furthermore. It is not uncommon
15:19:56 in gas contracts to decide principles and for the parties to
15:20:06 be asked to find a number.
15:20:11 Reporting
15:20:11 back to the tribunal whether
15:20:15 they can reach agreement. The advantage of
15:20:19 that is that the tribunal remains functus after the
15:20:23 1st partial award and can continue to control its proceedings, and there is much written in the gas world about
15:20:42 numbers coming from lawyers. And one problem is issuing a final award is that
15:20:51 the tribunal then leave the parties with with that
15:20:58 number
15:20:59 and their job is done and it may prove, as the next few weeks develop, there
15:21:10 may be outcomes as the tribunal deliberates where the number that they seek is more difficult to
15:21:20 find than might be the case here.
15:21:26 PRESIDENT: Let me. I see the points in in both parties, I mean
15:21:33 views and. And that exchange of views is very useful
15:21:36 to the tribunal to plan its work, if you could.
15:21:39 The.
15:21:40 It's important for us to, to determine if we are going to
15:21:44 make a decision, at which point in time in our work,
15:21:48 we make that decision and it may be that it is useful for the tribunal

15:21:59 to have the hearing submissions in order to make that decision. But it is difficult
15:22:08 for the tribunal, maybe, to assess
15:22:12 whether
15:22:12 there would be a split in the 248 days from this, from this. From, from, from this hearing,
15:22:24 because we may need to work together, as you were mentioning, and as
15:22:28 we go through the issues let's
15:22:32 review the difficulties we may face that would
15:22:36 lead us
15:22:37 to decide on a split. So reviewing the time table. We have to keep this in mind
15:22:47 because
15:22:48 it is quite an early determination, a bifurcation.
15:22:52 The 2nd element I wanted to raise was in this
15:22:57 arbitration. We have already made a decision at
15:23:00 the early stage of
15:23:02 the proceedings not to bifurcate.
15:23:05 So
15:23:05 we rejected the respondent's. Objections. I
15:23:10 mean, a
15:23:11 request for bifurcation. And and it was different
15:23:17 grounds, but we requested the parties to
15:23:21 submit
15:23:22 written submissions and grounds in terms of
15:23:27 efficiency, procedural fairness. And we were provided
15:23:30 with quite a few legal
15:23:33 authorities in support of the applications submitted

15:23:36 by the by the respondent and by the claimant.  So in all
15:23:41 procedural fairness, we would ask the
15:23:44 parties to make a written exchange on the application.
15:23:48 This time not so much that it would be limited to a
15:23:55 technical review or fairness review or.  Review oral
15:24:03 review with the arguments that are made today by the parties.
15:24:06 But we would we would need to determine, under the ICC
15:24:11 Rules and under all the same criteria that have been applied
15:24:20 for.  When reviewing the respondent's application,
15:24:22 we
15:24:23 would need to review the criteria that are
15:24:25 submitted
15:24:26 by the claimants in their application.  So we would
15:24:29 invite the parties to exchange in writing reasonably shortly after this hearing, all the
15:24:42 grounds that are submitted and we understand this
15:24:46 not to be, as you mentioned, a
15:24:49 fresh application, but it's an application that has
15:24:51 been on the record since January.  All the grounds in
15:24:55 support, factual and legal grounds in support.  It may
15:24:59 be that they're already on record because I checked,
15:25:01 there are quite a few legal references on both sides.
15:25:04 Just reference back to to the original legal
15:25:07 authorities.  You may have this is this could be
15:25:10 a possibility.  And that would make us that would help
15:25:15 ☐202603270141 us to determine the criteria and and review.  Also

15:25:21 ask
15:25:22 the respondent to review those criteria and the
15:25:25 parameters that are submitted by the claimant in terms
15:25:29 of efficiency, in terms of cost and in terms of
15:25:32 procedural fairness, when the tribunal will make a
15:25:36 decision, would that be agreeable to the party? We
15:25:39 may not need another hearing online, just an exchange in
15:25:43 writing, of
15:25:44 course, if parties wish to have online presentation, we would not
15:25:49 we would of course grant it
15:25:51 claimant, because you you're the applicant on this
15:25:54 question.
15:25:55 MR HAUGENEDER: Yes, that would be agreeable to us. And
15:25:57 we would mean that the easter break is coming and and
15:25:59 we've just checked. So on our side there, there will be quite a few who
15:26:07 will will be away for the easter break. So we
15:26:09 would
15:26:09 ask for two weeks to, to make. From today. From
15:26:13 today.
15:26:14 MS SOLDATENKOVA: Okay.
15:26:15 PRESIDENT: To make short holidays.
15:26:21 MR HAUGENEDER: To, to make that application. And we
15:26:25 would then ask that we, we discuss after the decision
15:26:32 the further timetable because this has quite an impact
15:26:35 on the timetable, because the the scope of our

15:26:39 post-hearing briefs depends on the tribunal's decision
15:26:42 of, of this point.
15:26:48 PRESIDENT: What are the respondent's views on, on on
15:26:52 what was just discussed?
15:26:54 MS SOLDATENKOVA: We support the decision of written
15:26:56 comments on the claimant's application, but we do not
15:26:59 understand why that should influence the deadline for
15:27:01 the submission of post-hearing briefs. So to us,
15:27:04 those are two things that can be done in parallel. As
15:27:08 to the timeline. 2 weeks, what is your opinion of
15:27:12 timeline?
15:27:13 PRESIDENT: 2 weeks from the receipt of the respondent's.
15:27:15 MR TALANOV: Should be fine. We just need to make sure
15:27:17 the dates and not to fall within the May holidays
15:27:20 because there will be public holidays, but otherwise
15:27:22 we will be happy to accommodate the equal time frame.
15:27:27 PRESIDENT: Well, at this point we're going to take a
15:27:29 short break and we'll be back in about five, five, 10
15:27:34 minutes. The tribunal needs to to consult. So thank you for for waiting for us. We have
16:24:07 heard the the parties presentations on the claimant's
16:24:14 ☐202603270142 request for a split award. Here is our views and how we
16:24:18 would like to process. First, we welcome the claimant's
16:24:25 submission within two weeks or any other deadline that may
16:24:29 be agreed upon between the parties for a. What we
16:24:33 understand is

16:24:33 a request for
16:24:35 bifurcation.
16:24:39 And the request for bifurcation is to
16:24:42 bifurcate. So liability issues, which I
16:24:52 understand covers also jurisdiction and the
16:24:56 principle of the principles of quantification, but
16:24:58 not
16:24:59 the actual quantum and the respondent's response to
16:25:07 that application within two weeks or any other
16:25:09 deadlines the parties would like. To agree upon, then, without prejudice to the tribunal's decision
16:25:23 on bifurcation, the tribunal would like the parties to
16:25:29 split their post-hearing submissions as to 1st, a
16:25:35 simultaneous submission on jurisdiction liability
16:25:46 and
16:25:47 all liability issues, and the principles of
16:25:50 quantification. We would expect this to be submitted within any
16:25:59 agreed deadline between the parties, but the
16:26:01 preference of the tribunal would be to receive that
16:26:06 submission within 10 weeks from now, which is on or
16:26:14 around the 5th of June. With this submission, we that would allow us to
16:26:22 make a determination of whether or not to bifurcate.
16:26:30 We would make a decision to bifurcate later in the
16:26:36 year through a procedural order, and we may decide
16:26:41 to bifurcate the case and render a partial award that
16:26:46 would cover jurisdiction liability or and principles

16:26:52 of quantification. Or we may decide not to
16:26:55 bifurcate.
16:26:57 And when we reach that decision, we would give further
16:27:02 procedural directions to the parties. In the
16:27:07 meantime, we would like the parties, upon
16:27:10 completion of their post-hearing submissions to
16:27:19 submit within the time frame. They agree, but I
16:27:22 understand which is two weeks after these submissions, their cost submission so that we have we
16:27:28 have your
16:27:29 cost submission, which would include all your costs,
16:27:33 legal costs, administrative costs and the expert costs
16:27:37 and any other costs according to the ICC Rules. And we
16:27:40 would have two rounds on submissions on this. We feel that in order to make a decision on and
16:27:50 determine that difficult split between within damages,
16:27:59 between principles of damages and quantum of damages,
16:28:02 we would benefit from the submissions of the parties
16:28:07 on all these issues that would be covered. But at the
16:28:11 same time, to be fair to the parties and to be efficient to the procedure we do not want.
16:28:17 If we were to bifurcate, or if we were to need the
16:28:21 help of the assistance of the experts to have and
16:28:26 decide a partial decision. We don't want the
16:28:29 parties
16:28:29 to make that work twice in abstract, 1st and 2nd by
16:28:34 application of the partial award. We also do not want to delay our work because we have planned, I
16:28:42 would say, months in advance, the work in

16:28:46 this case, so as to make a prompt determination of
16:28:50 this case to the parties. So this is why we're asking
16:28:55 the parties to make
16:28:56 submissions in parallel to the applications for
16:29:03 bifurcation, without prejudice to our decision, so as
16:29:06 not to postpone any final determination of this case.
16:29:13 So this is an administrative decision to walk
16:29:17 through the path of the post-hearing. Procedure. And
16:29:23 with this in mind, we have only one question when
16:29:27 can we expect the post-hearing submissions, which
16:29:30 is
16:29:31 determinative of our work. So I would like to
16:29:36 continue now, and the members
16:29:37 of the tribunal would like to explore the further
16:29:41 steps and can start considering deadlines so we can
16:29:46 issue a procedural timetable up to the submissions of
16:29:51 the costs. So I understand you would have liked to review the
16:29:59 timetable after we make a decision on bifurcation, but
16:30:02 this will not be the case. We're going all the way
16:30:06 through until at least our decision on whether to buy
16:30:12 furcate or not. So we need a date for the hearing
16:30:14 submissions. So maybe claimant and if there is any
16:30:20 other aspect of the procedural timetable, apart from the decision that the
16:30:24 tribunal just made as to as to how to the path to
16:30:30 determine the the bifurcation, any other procedural

16:30:34 aspects, such as reviewing the transcript, any other
16:30:38 aspects, please feel free. And then we're going to
16:30:40 compute all this.
16:30:42 MS SOLDATENKOVA: Yeah.
16:30:43 MR NEFEDIEV: Thank you, Madam President. President,
16:30:44 that is very clear. We are.
16:30:50 MR HAUGENEDER: We agree that 10 weeks for the
16:30:53 post-hearing briefs is is doable for us. We just
16:30:56 would ask that we start counting these 10 weeks from
16:31:01 the finalization of the transcripts and the we would suggest that we reserve two weeks. We reserve two
16:31:13 weeks after. After receiving the
16:31:15 transcripts, we reserve two weeks for review of the
16:31:19 transcript and then another week for the parties to
16:31:26 exchange their
16:31:30 suggested corrections of the transcript, and then to
16:31:33 make a submission of agreed changes or in case we are
16:31:38 not able to fully agree on all changes to to make
16:31:43 applications for corrections. So that would be in
16:31:46 total three weeks. And from
16:31:48 that date we would start the 10, the 10 weeks.
16:31:52 PRESIDENT: So three plus 10. And that is in parallel to
16:31:58 the submissions of the
16:31:59 on bifurcation. That is run in parallel. Have you
16:32:05 had a chance to discuss this with the respondent.
16:32:09 MR TALANOV: Not yet.

16:32:09 PRESIDENT: Not yet responded.
16:32:10 MR TALANOV: Not yet. We believe that the deadline of
16:32:15 the 5th of June is very reasonable, and we would be
16:32:19 happy to stick to that. And we strongly believe that
16:32:25 the transcript in the current form is very close to
16:32:29 what the parties may agree upon. So we would like to
16:32:35 potentially seek not to add such long period for the
16:32:40 parties to agree on the transcript. Maybe a week could be added
16:32:45 for these
16:32:45 purposes, but that
16:32:48 should suffice.
16:32:51 PRESIDENT: So you you would say one week plus 10 weeks.
16:32:54 MR TALANOV: There could be.
16:32:58 PRESIDENT: When are you when are we going to receive?
16:33:05 The. Are you going to work on the transcript, the
16:33:08 daily transcript you have received or are you
16:33:10 expecting a final draft? What was the arrangement
16:33:16 made?
16:33:17 MR TALANOV: I think the transcript is shared daily on a
16:33:19 daily basis.
16:33:20 PRESIDENT: Yes, but that's that's the 1st draft. So do
16:33:24 you are you expecting.
16:33:27 MR HAUGENEDER: I think.
16:33:28 PRESIDENT: A final a final.
16:33:32 DR REINER: We have provided the final transcript. But

16:33:35 of course, if there are corrections, we will issue.
16:33:37 Okay.
16:33:38 PRESIDENT: So we're not expecting another one. Another
16:33:42 transcript. So final transcript today would mean in
16:33:50 three weeks we would have then that would be the 15th
16:33:55 of April to 15 of April and counting. 10 weeks would
16:34:00 be help me. 1, two, two. That pushes.
16:34:18 MR HAUGENEDER: Yes, we believe it's it's the 26th of
16:34:22 June.
16:34:22 MR WAY: Which is. Started on.
16:34:34 MS HOFFMANN: 2, three, four.
16:34:37 MR WAY: Yes.
16:34:38 MS HOFFMANN: That's good.
16:35:01 PRESIDENT: You see, let's see from the respondent. So
16:35:06 26 of June because you see if the parties reach an
16:35:10 agreement this is this is fine with the tribunal.
16:35:12 This is the party's agreement. If there is a
16:35:15 disagreement, we have to determine it. But we also
16:35:19 have to to see our respective timetable in order to
16:35:25 make decisions and meet. So 26 of June is little bit late
16:35:36 to. It might
16:35:38 have a huge impact on, on. So I'm just. But I understand
16:35:44 this is two week hearing. There is a long
16:35:47 review of the transcripts. Do. It may be
16:35:51 burdensome, but the timetable was indicative of six to

16:35:58 10 weeks from the closing of
16:36:00 the
16:36:00 submission. And we've reduced the scope to. So I'm
16:36:07 just concerned. Is there do you want.
16:36:11 Let's take a five-minute break. You discuss it among
16:36:14 yourselves and you let us know if you can agree
16:36:16 on a date, because your view is
16:36:21 the 5th of June. The claimants
16:36:22 view is the 26th of June.
16:36:25 It's not very far apart, but if.
16:36:29 MR TALANOV: You potentially could agree on, say, the
16:36:34 19th to make our positions meet.
16:36:37 PRESIDENT: Just let's take a five-minute break and you
16:36:39 come back to us if you have an agreement, because this
16:36:43 is bargaining deadlines. And I think it's, it's
16:36:45 better if you can have a reach, an agreement, if you
16:36:47 can't reach an agreement, then we'll give you a date.
16:36:50 MS SOLDATENKOVA: Let's take the.
16:39:07 PRESIDENT: Claimant. I heard there was an agreement.
16:39:09 MR HAUGENEDER: Yes. We agree with with 19th of June.
16:39:14 We would also propose to to clarify that there should
16:39:22 be no new factual submit exhibits. No new. Legal exhibits except
16:39:40 those that could not have been reasonably
16:39:46 submitted before. And no new arguments. And of
16:39:56 course, the development of arguments that has

16:39:58 been made, but no new arguments that have not been
16:40:01 made.
16:40:12 PRESIDENT: Respondent agreed. We agreed. 191st the 19.
16:40:15 MR TALANOV: We agree on the 19th we agree that the
16:40:18 post-hearing submission shall not contain any new
16:40:21 factual exhibits, legal exhibits. We believe any new
16:40:24 legal exhibits shall be subject to a separate
16:40:27 application as the procedure that has been followed in the
16:40:32 course of these hearings as well. And we also
16:40:36 agree that no new arguments should be raised by
16:40:39 the parties in the post-hearing submissions.
16:40:41 PRESIDENT: And again, the hearing submissions are we are
16:40:45 we have decided to split the scope of the posterior
16:40:50 submissions we have. This is pending any decision as to
16:40:56 whether a partial award should be rendered or not.
16:40:59 This is not. This is not a split of. This is
16:41:07 without
16:41:07 prejudice to any decision
16:41:08 we may make on on whether to to bifurcate or
16:41:15 not.
16:41:20 The. On the page limit. Now, have you considered page
16:41:24 limit? And have you discussed because we mentioned
16:41:30 earlier this week page limit. So is there oh,
16:41:35 page
16:41:36 word limit. Sorry. Is there

16:41:39 any view.
16:41:43 MR HAUGENEDER: We we believe we, we should not have a
16:41:47 page limit simply because we, we don't know how, how
16:41:55 the,
16:41:56 what length of argument is, is necessary. We recognise that it is
16:42:03 in
16:42:03 our interest to be as
16:42:05 succinct as possible, but then will never know how in
16:42:09 advance how how many pages are necessary. So in the
16:42:12 case of this complexity, we would rather not have a
16:42:14 page limit responded.
16:42:16 MR TALANOV: We believe that the page limit is absolutely
16:42:19 necessary, given the volume of submissions already on
16:42:22 the record, and we believe that a page limit of, say,
16:42:28 150 pages or 75,000 words would suffice. Both parties
16:42:34 and the development of the argumentation referred to by the claimant.
16:42:40 PRESIDENT: You see the problem with okay word limit, we
16:42:43 can have 75,000, we can have 90,000. There are cases
16:42:47 where tribunals do request page limit or
16:42:52 word limit. And there are cases where the parties do
16:42:58 agree to word limit. So. Unless the parties agree, we we want to go for efficiency. We encourage the
16:43:13 parties to to consider that this is an additional
16:43:17 submission that does not introduce any new facts or
16:43:23 elements of legal elements. So everything is already on record.
16:43:27 Now there is a request for efficiency from the

16:43:31 tribunal so that we're able to read actually the the
16:43:35 submissions. But at the same time, we acknowledge
16:43:38 that the parties are free to present their case
16:43:40 the
16:43:40 way they want to present their case. So I would I would suggest to the parties
16:43:47 that the footnotes be limited
16:43:51 to addressing only references to legal
16:43:57 exhibits and factual exhibit with a hyperlink, a
16:44:01 hyperlink to the to the to the to the record and the transcript, and that there have
16:44:10 been no developments in the footnotes so that all the
16:44:15 developments are in the briefs, in, in the
16:44:18 submissions
16:44:18 to make, to make, to simplify our reading, we would
16:44:24 also
16:44:24 ask you. To
16:44:30 provide us, which was not always provided in the submissions. A detailed table
16:44:38 of contents of the submissions. That means any
16:44:43 subheading that is added in the
16:44:45 text be incorporated into the table of contents. And
16:44:52 with this in mind, we encourage you not to exceed
16:44:58 90 words. This is an encouragement from the tribunal.
16:45:02 This is not a word limit. 390,000 sorry, I could see
16:45:10 I said something wrong, but 90,000 words to my
16:45:15 understanding is 300 page. But this is an
16:45:20 encouragement from the tribunal. This is

16:45:21 not a word count.  I think we've addressed
16:45:30 most of the format we had in mind.  What would also
16:45:35 be helpful in the footnote, and that
16:45:37 will be in the procedural order, is that in addition to the
16:45:42 reference to the e table reference, so
16:45:47 that the the bundle reference were provided with the
16:45:52 original reference to the exhibits.  And we have
16:45:56 noted
16:45:57 that some exhibits have been submitted three times,
16:46:01 sometimes as an attachment to an expert
16:46:04 report, sometimes as an attachment as a
16:46:07 legal authority.  So it would be good to have
16:46:11 those
16:46:12 references as well.  So if some regulation was
16:46:16 submitted three times, it's important when we to be able to to see that it's
16:46:21 actually the same document by now we know it, but it
16:46:24 would simplify our reading of the additional
16:46:27 submission.  With this in mind, I just want to ask my
16:46:30 co-arbitrators if they have anything.  So we're back on record.  We want to
16:50:58 cover everything.  We want to make sure everything is is
16:51:01 covered.  1 final
16:51:04 point.  The claimant's application for bifurcation is submitted together with a chart and
16:51:15 the
16:51:15 chart is entitled claimants table.  Undisputed quantum
16:51:20 parameters.  So in order to make sure what the

16:51:26 scope of the postering submission to be filed by
16:51:30 the
16:51:31 party will cover, I will. We're asking the claimant
16:51:36 to explain very carefully in
16:51:38 their application for bifurcation.
16:51:40 What is, in the claimant's view, to be covered in a
16:51:45 partial award and what would remain to be covered in a
16:51:50 final
16:51:50 award on calculation of quantum. If the
16:51:59 claimant's
16:51:59 table undisputed quantum
16:52:01 parameter can be of any use, then this should be
16:52:06 submitted together. If a. If a new table needs to be
16:52:09 submitted, then a new table should be made so that the
16:52:13 respondent has an opportunity to comment on the
16:52:18 scope
16:52:19 of the partial award, which is to be bifurcated or not, and
16:52:27 if bifurcated, wishes to be
16:52:28 bifurcated. But the. The
16:52:30 question is, we would not want the parties to be faced
16:52:35 with the dispute of what should be in the
16:52:39 post-hearing submissions, and that we discovered
16:52:43 that
16:52:43 some items are covered by the claimant and some items
16:52:47 are not covered by the respondent. So at some point,

16:52:51 irrespective of the decision of
16:52:53 the tribunal, to to to bifurcate, it would be good
16:52:59 that the parties confer and try to reach an agreement as to
16:53:06 what, in your view, I mean is should be in in that
16:53:11 by should be those bifurcated issues and identify on
16:53:15 your
16:53:15 part what you agree is, is, is, is, is if it was to be
16:53:22 bifurcated, should be inserted in it or not, because
16:53:25 it will be
16:53:27 relevant for the completion of the post-hearing
16:53:30 briefs
16:53:32 step phase one and then phase two. We don't want the
16:53:35 parties to miss one argument in the 1st phase because
16:53:39 they they think it could be in the 2nd phase. I'm explaining this maybe a little bit in a
16:53:45 complex way, but we want to ensure that there is
16:53:49 communication by the parties and that you don't
16:53:51 leave this room thinking,
16:53:52 oh, I understand what principles
16:53:57 of quantifications are. And actually, there may be a
16:54:01 gap between the parties respective understanding. So
16:54:06 communications with the parties is encouraged. And in
16:54:10 particular, if the parties can agree or propose to
16:54:16 each other tables, then the tables will be useful and they
16:54:22 may be annexed to the submissions. And we can you may
16:54:25 want to start with the claimant's table

16:54:28 that is in the slides. It may be a different fresh
16:54:32 table that the parties will will work on, but we will have
16:54:37 time to adjust any difference between
16:54:41 the
16:54:42 parties after the round of submissions, which will
16:54:45 take one month, and the submissions of the
16:54:48 post-hearing briefs if there is any disputed area.
16:54:53 Claimant, was I clear?
16:54:55 MR HAUGENEDER: Yes, absolutely.
16:54:57 PRESIDENT: Respondent was I clear?
16:54:58 MR TALANOV: Yes. Thank you.
16:54:59 PRESIDENT: Okay. Submission on cost deadlines.
16:55:06 MR HAUGENEDER: We would propose then, in accordance with
16:55:09 the timetable, two weeks after the post-hearing
16:55:13 briefs, that would be three July. And then comments
16:55:20 on cost submissions, 17 July. And we would propose that the cost submissions are
16:55:30 made in table format only. That is, without
16:55:37 supporting invoices unless they are specifically
16:55:44 questions by a party.
16:55:46 PRESIDENT: For fees or costs.
16:55:48 MR HAUGENEDER: Both.
16:55:48 MS SOLDATENKOVA: Both.
16:55:53 PRESIDENT: Respondent's. What are your views?
16:55:54 MR TALANOV: We are agreeable with these terms. As for
16:55:57 the table format, we would be happy to consider the

16:56:01 format the claimant deems fit and agree on the format
16:56:04 that the parties will use.
16:56:06 PRESIDENT: Right, but no underlying invoice bills or
16:56:11 statement of fees or expenses unless there is a
16:56:16 specific request in that respect.
16:56:17 MR TALANOV: Agreed?
16:56:19 PRESIDENT: Yes.
16:56:19 MR TALANOV: Agreed.
16:56:20 PRESIDENT: Agreed. Submission. It's not a statement.
16:56:29 In your submission. You should. Okay. Please go
16:56:35 ahead.
16:56:35 DR REINER: I was just trying to clarify that when you
16:56:39 say table format, you will still set out the
16:56:41 principles of allocation you think should be followed.
16:56:42 Yes, yes.
16:56:43 MR HAUGENEDER: Okay. The the costs will be.
16:56:46 DR REINER: Yes. Just making sure it's not just a table,
16:56:48 you know, giving us the fees and costs and then say
16:56:49 here, deal with it. Okay. Thank you. I've seen it.
16:56:53 I've seen it. That's why I'm asking.
16:57:03 PRESIDENT: Claimant.
16:57:03 MR HAUGENEDER: We would just like to to just recall the
16:57:08 dates that we've agreed upon just to have that. Sure.
16:57:12 So the application for bifurcation will be made on, on
16:57:16 10 April. The response to the application on

16:57:23 24 April, the post-hearing submissions on 19th of June
16:57:28 cost submissions three July and then replies to cost
16:57:33 submission, 17 July.
16:57:38 MR TALANOV: That is agreed.
16:57:40 PRESIDENT: And when should we receive step one the
16:57:44 comments you exchange comments among yourselves on the
16:57:48 transcript and if there is any modification, we will
16:57:52 receive the information from Tabela if there is any
16:57:56 change. But I just want to make sure you have agreed
16:58:00 on a deadline among yourselves that may not involve
16:58:03 the tribunal.
16:58:06 MR HAUGENEDER: We I think we said two weeks from now.
16:58:09 PRESIDENT: From now.
16:58:10 MR HAUGENEDER: Okay.
16:58:11 DR REINER: Yes.
16:58:11 MS SOLDATENKOVA: It's fine on our side. 2 weeks.
16:58:13 PRESIDENT: So. So that's April 10 as well. Okay.
16:58:16 MR HOLLAND: And on that subject, we're told at least we
16:58:20 understand that in order for the audio of the hearing
16:58:23 to be made available to the hearing provider, the
16:58:27 tribunal is asked to authorise that. I think that's
16:58:30 right.
16:58:31 PRESIDENT: It is true that it is for us to authorise
16:58:35 that unless any party object. We have no objection
16:58:39 to. We actually authorise access to the audio, but

16:58:45 not to the video.  If there has been a video
16:58:49 recording.  Are you okay with that?  And okay.
16:58:53 MR HAUGENEDER:  Just to be clear on the cost submissions,
16:58:55 so two weeks, a two week deadline to exchange our
16:59:02 suggested corrections bilaterally, and then another
16:59:05 week to agree and to make the submission to the
16:59:09 tribunal.
16:59:10 PRESIDENT:  So that would be the 17th of April.  So two
16:59:12 weeks, 10 April to exchange and one week to review
16:59:19 your respective comments and to agree and to send this
16:59:23 to tabela.  So that means 17 April, that process is
16:59:28 finished.  And in the meantime, you will have
16:59:33 submitted your application for bifurcation and the
16:59:36 respondent will have a will on 24 April, submit its response.  Anything else from
16:59:53 the claimant side responded.
16:59:56 MR TALANOV:  No, nothing from our side.
16:59:59 PRESIDENT:  So on behalf of the tribunal, we would like
17:00:04 to thank you very much.  Both teams.  We appreciate
17:00:08 the effort of all the teams.  It was nice actually, to
17:00:11 meet with all the team members and we
17:00:16 really appreciate the hard work, the efficiency
17:00:20 and the presentations that were made to
17:00:22 us.
17:00:22 Thank you very much for organizing the hearing in
17:00:27 these premises, which are wonderful premises, and

17:00:31 thank you for hiring Lloyd Michaud. And thank you for
17:00:35 the Lloyd Michaud team. We we have listened to your
17:00:42 arguments. We have listened to the
17:00:47 professional work you have provided the tribunal
17:00:49 with. We have seen your efforts from the
17:00:53 lead counsel to all the team members. We want to to tell you that we will work now
17:01:02 efficiently on providing you with the determination of
17:01:07 this dispute. We have worked on our timetable. We have already
17:01:15 arranged for time to meet, study the case and work on
17:01:21 the writing of the award. We will keep you
17:01:25 informed. We are not able at
17:01:27 this moment to provide you with the date for an
17:01:31 estimate. Time to submit the award to the court. We
17:01:38 will provide you with updates as we go along so
17:01:42 you will not be in the dark asking yourself when
17:01:46 will we get an award? We believe it is important that
17:01:51 after providing us years of work, we follow up on now on our side with what you
17:01:57 expect from us, which is a decision. With
17:02:02 this in mind, we are going back to work, but
17:02:07 we have one final point is, is there any
17:02:11 reservation on the way? The hearing was conducted
17:02:14 by the tribunal from the part of the the
17:02:18 claimant.
17:02:19 MR HAUGENEDER: Thank you madam. Madam President,
17:02:22 members of the tribunal, we would like to thank the

17:02:26 tribunal for the fair
17:02:29 conduct of the hearing to be. To be clear, we
17:02:33 maintain our objection regarding
17:02:36 the admission of. Of Dr Gert as counsel, but we said that
17:02:41 already out. We also would like to thank everyone who
17:02:49 has assisted in the organisation of this hearing.
17:02:52 Technical support the court reporter and our respective team members,
17:02:59 without whom this hearing
17:03:02 certainly could not have been organised.
17:03:05 And, of
17:03:06 course, the secretary of the tribunal who has attended
17:03:12 online. Thank you.
17:03:16 MR TALANOV: So to answer your question specifically, no
17:03:19 reservations and nothing else but for the. Thanks.
17:03:23 Very many thanks for being
17:03:25 with us through these two hard weeks, and very many
17:03:30 thanks to everyone who made this possible. Thank you.
17:03:32 MS SOLDATENKOVA: Thank you very much to the technical
17:03:33 team. Thank you.
17:03:36 PRESIDENT: Thank you. This closes the hearing. Thank
17:03:38 you very much and have a safe trip back home.